

SOLVING THE INVOICE PAYMENT PREDICTION PROBLEM (IPPP):

A MULTI-STAGE APPROACH

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RECOMMENDATION FOR ORAL EXAMINATION

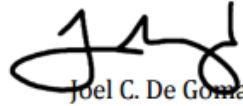
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CHAPTER 1: INTRODUCTION

Machine learning (ML), as a branch of artificial intelligence, enables systems to discover patterns from historical data without explicit programming. In financial management, ML has been widely applied to credit scoring, default prediction, accounts receivable optimization, and payment forecasting, consistently outperforming traditional statistical baselines [1, 2]. Its capacity to integrate heterogeneous, high-dimensional feature spaces makes it particularly suitable for the *Invoice Payment Prediction Problem (IPPP)*, the task of predicting when a customer will settle an outstanding invoice and into which payment-delay class a transaction will fall [3, 4].

A substantial body of machine learning research has addressed the IPPP and adjacent receivables-prediction problems, employing models such as Logistic Regression, Random Forest, XGBoost, LightGBM, and neural networks. Schoonbee, Moore, and van Vuuren [5] applied a machine-learning decision-support approach to invoice payment prediction in an educational setting and reported classification accuracies of approximately 80–85% using tree-based ensembles, while Moore and van Vuuren [4] combined survival analysis with machine learning in their Modeling Invoice Payment Predictions (MIPP) framework to forecast the settlement timing of customer invoices. In the educational domain, Mugorobin et al. [3] developed an estimation system for late payment of school tuition fees, and Martikainen [6] demonstrated that statistical learning methods such as logistic regression can predict late payment of sales invoices with actionable discrimination. At the customer level, Cheong [7] and Appel et al. [8] showed that ensemble models trained on transaction histories can reduce unnecessary collection interventions, and Abbas and

24 Hussein [9] confirmed that modern boosting algorithms such as XGBoost and LightGBM
25 significantly outperform conventional statistical baselines in loan default prediction.

26 Despite these advances, existing approaches share three limitations: first, they model
27 payment behavior using aggregate customer- or student-level features, discarding the line-
28 item granularity at which invoices are actually issued; second, they treat payment delay as
29 a binary or nominal multi-class target, ignoring the inherent ordering of delay brackets;
30 and third, they benchmark only a narrow set of five to eight standard classifiers, leaving
31 ordinal decompositions, hierarchical two-stage architectures, and survival-analysis-
32 derived features systematically untested. This study addresses these gaps by introducing a
33 multi-stage pipeline across 1,092 experimental configurations.

34

Table 1.1 summarizes the most directly comparable invoice payment prediction studies, the datasets and models they employed, their reported performance, and the principal limitation each leaves unaddressed.

Table 1.1. Summary of existing machine learning approaches to invoice payment prediction.

STUDY	DATASET		BEST	
	TYPE	MODELS USED	ACCURACY / F1	KEY LIMITATION
MOORE & VAN VUUREN (2020) [4]	Corporate customer invoices	Survival analysis + ML (MIPP framework)	Time-to-payment estimates; bracket-level F1 not reported	Aggregate customer features; no ordinal target
SCHOONBEE ET AL. (2021) [5]	Educational institution invoices (South Africa)	Logistic Regression, Random Forest, XGBoost, Neural Networks	Accuracy $\approx$ 80–85%	Broad student-level features; single-stage classifiers only
MUGOROBIN ET AL. (2020) [3]	School tuition fee records	Rule-based estimation with classification	Not reported on standardized metrics	Heuristic system; no ensemble benchmarking
MARTIKAINEN (2023) [6]	B2B sales invoices (Finland)	Logistic Regression, statistical learning	Moderate discrimination (AUC-based)	Few classifiers; no class-imbalance treatment
CHEONG (2022) [7]	Corporate accounts receivable	Customer-level gradient boosting	Reduced intervention actions; per-class F1 not reported	Customer-level aggregation; no line-item granularity

41 Two patterns emerge from Table 1.1. Across studies, predictive accuracy clusters
42 around 80–85% for binary or coarse multi-class formulations, yet none of the cited works
43 decomposes performance across ordered delay brackets, and none operates at the
44 granularity of individual fee categories. These omissions motivate the granular, ordinal,
45 and multi-stage design benchmarked in this study.

46 **1.1 Context of the Study**

47 Existing IPPP research has largely focused on corporate trade credit and retail
48 contexts [4, 6, 10], where the primary signal is aggregate invoice history, customer size,
49 and industry classification. Educational institutions present a structurally distinct setting
50 that has received comparatively little attention. In the Philippine private school sector,
51 invoicing is shaped by installment plan selection (annual, semi-annual, quarterly, monthly),
52 category-level subcategory charges (tuition, miscellaneous fees, course materials), and
53 strong regulatory constraints that prevent service denial. Notably, the No Permit, No Exam
54 Prohibition Act (Republic Act 11984) [11] bars schools from withholding examination
55 privileges for outstanding tuition, while DepEd and CHED memoranda further restrict the
56 enforcement of collection. Schools must therefore continue instructional delivery
57 regardless of receivable status, creating a structural vulnerability where cash flow
58 management depends entirely on forecasting rather than enforcement.

59

60 1.2 The Problem, Gap, or Opportunity

61 Data from the partner institution, which is a private school in Montalban, Rizal,
62 illustrate this challenge concretely. Over the 2019–2025 period, Bad Debts Expense rose
63 from PHP 244,111 to PHP 469,102, the number of students in arrears climbed to 27, and
64 Days Sales Outstanding reached 34 days. Despite flexible installment plans, reactive
65 strategies like reminders, restructuring, and penalties have proven insufficient to preempt
66 cash-flow shortfalls.

67 A proactive, predictive framework is operationally necessary. Prior work on IPPP in
68 educational contexts has used broad student-level features without disaggregating by
69 product or service category [3, 4, 5]. At the same time, methodological gaps persist in the
70 general IPPP literature: existing benchmarks compare a small number of standard
71 classifiers (typically 5–8 models) and rarely evaluate approaches that exploit the ordinal
72 structure of payment-delay targets. Payment delays are ordered as: on time, 1–30 days late,
73 31–60 days late, and 61–90+ days late. Yet most classifiers treat it as a nominal multi-class
74 problem, discarding the ranking information embedded in the label ordering. Ordinal
75 classifiers [12] and two-stage ensemble architectures have demonstrated improvements in
76 other ordered multi-class problems but have not been systematically evaluated in the IPPP
77 context. Furthermore, the integration of survival analysis techniques for modeling time-to-
78 payment has not been benchmarked against standard resampling methods in this domain.

79

80 **1.3 Research Questions**

81 This study seeks to answer the following questions:

82 **(1)** How do advanced ensemble architectures, specifically two-stage and ordinal
83 classifiers, compare against traditional single-stage base models in predicting
84 granular payment brackets within a private educational context?

85 **(2)** How do survival-analysis-derived features (hazard rates, survival probabilities)
86 improve the predictive performance of classification models?

87 **(3)** Which class-balancing strategies (SMOTE, hybrid undersampling, etc.) provide
88 the most robust performance for educational accounts receivable data characterized
89 by extreme class imbalance?

90 **(4)** How do granular line-item features (product types, specific fees) influence
91 payment timing compared to aggregate student-level variables?

92 **1.4 Research Objectives**

93 The primary goal of this research is to develop and benchmark a high-performance machine
94 learning pipeline for educational IPPP. Specifically, the study aims to:

95 **(1)** Conduct a large-scale benchmarking over 1,092 experimental configurations to
96 identify the optimal model/preprocessing combination.

97 **(2)** Develop a two-stage ensemble architecture that separates delinquent from on-
98 time invoices before classifying delay severity.

99 **(3)** Evaluate the impact of survival-feature engineering on classifier sensitivity and
100 recall for late-payment brackets.

101 **(4)** Provide an empirically grounded framework for private schools to transition
102 from reactive to proactive receivable management.

103 **1.5 Significance of the Study**

104 This study offers direct operational value to the partner institution. As shown in
105 Table 2.1, bad debts expense rose from PHP 248,650 in school year 2019 to PHP 352,075
106 in 2025, with Days Sales Outstanding persisting between 36 and 49 days in recent years,
107 indicating that reactive collection practices have not sufficiently contained receivable risk.
108 By predicting the payment bracket for every invoice at issuance, the system enables finance
109 officers to anticipate cash shortfalls, target reminders and restructuring offers before due
110 dates lapse, and reduce bad-debt exposure by shifting from reactive to proactive cash-flow
111 management. Beyond the partner school, the framework is transferable to Philippine
112 private schools broadly: such institutions share substantially similar installment-billing
113 structures and operate under the same enforcement constraints imposed by Republic Act
114 11984 [11], so any school capable of exporting standard revenue and enrollment records
115 can retrain the pipeline on its own data without architectural modification.

116 For the academic community, this is the first study to benchmark ordinal
117 classifiers and two-stage ensemble architectures specifically for the educational Invoice
118 Payment Prediction Problem, directly addressing the methodological gaps identified in
119 Schoonbee et al. [5] and Moore and van Vuuren [4]. For data science practice more
120 generally, the study demonstrates that survival-analysis feature engineering has conditional
121 rather than universal utility: Cox-derived hazard features improve distance-based and
122 probabilistic learners while contributing redundant or noisy signal to high-capacity tree
123 ensembles. This finding carries implications beyond the IPPP, suggesting that feature
124 engineering effort should be allocated according to the inductive capacity of the
125 downstream learner rather than applied uniformly across model families.

126 **1.6 Alignment with United Nations Sustainable Development Goals**

127 This research contributes to several of the United Nations Sustainable Development
128 Goals (SDGs) articulated in the 2030 Agenda for Sustainable Development [13]. With
129 respect to SDG 4 (Quality Education), the prediction system protects an institution's
130 capacity to deliver quality education by helping it maintain financial sustainability: schools
131 facing cash flow crises may be forced to cut staff, reduce learning resources, or close
132 programs, so proactive receivables management directly protects educational continuity.
133 With respect to SDG 8 (Decent Work and Economic Growth), predictive accounts
134 receivable management reduces financial uncertainty for small and medium-sized private
135 educational institutions, supporting their role as employers and contributors to local
136 economic activity.

137 The study likewise advances SDG 10 (Reduced Inequalities) because the model
138 enables schools to identify at-risk families earlier and offer targeted payment assistance,
139 installment restructuring, or referrals for social welfare certification, rather than punitive
140 enforcement, consistent with the equity-oriented intent of Republic Act 11984 [11]. With
141 respect to SDG 16 (Peace, Justice, and Strong Institutions), the use of pseudonymized data,
142 compliance with the Data Privacy Act of 2012, and a transparent, fully logged machine
143 learning methodology demonstrate responsible institutional governance and data
144 stewardship. Finally, in support of SDG 17 (Partnerships for the Goals), the open
145 benchmarking framework and accompanying web prototype are designed to be replicated
146 by other institutions, supporting knowledge sharing and institutional capacity
147 building across the sector.

148 **1.7 Scope and Limitations**

149 This study focuses on the Invoice Payment Prediction Problem at a single private
150 educational institution in the Philippines. The dataset comprises 6,527 unique invoice
151 records spanning three academic years (2022–2025). The research evaluates 15 specific
152 classifier types across 7 resampling strategies and 2 feature regimes.

153 Several limitations bound the interpretation of these results. The study draws on
154 data from a single institution, which may limit generalizability to schools with significantly
155 different demographic or socioeconomic profiles. The predictive models are trained on
156 historical journal entries. They therefore cannot account for real-time external economic
157 shocks, such as localized inflation or family-level crises, that are not captured in the
158 pseudonymized financial records. Finally, the survival features are derived from a Cox
159 Proportional Hazards model, which assumes a linear relationship between covariates and
160 the log-hazard and may consequently miss non-linear temporal interactions.

CHAPTER 2

REVIEW OF RELATED LITERATURE & STUDIES

2.1 Introduction

This chapter reviews the literature on predicting invoice payment behavior using machine learning (ML), with a focus on the unique challenges faced by educational institutions. It establishes the institutional and financial context of the partner school, compares invoicing and receivables practices across sectors, and examines the role of ML in financial forecasting and invoice payment prediction, highlighting the importance of granular, student- and product-specific variables in improving predictive accuracy.

The chapter subsequently discusses tuition debt collection in educational institutions, covering industry practices, school-level strategies, the operational consequences of unpaid fees, and the socioeconomic and behavioral factors that influence payment behavior. It then assesses existing intervention strategies and justifies the study's chosen approach, reviews methodological advances in ordinal classification, two-stage ensemble architectures, and survival analysis that inform this study's expanded model set, and concludes with a synthesis of findings and gaps to position this research within the academic discourse.

Through this structure, this chapter not only reviews existing knowledge but also clarifies the specific gaps this study addresses: the lack of granular, institution-specific features in predictive models; the absence of ordinal and two-stage classifiers in educational IPPP benchmarks; and the untested utility of survival-derived features as engineered inputs for payment-timing models.

183 **2.2 Global and Cross-Sector Practices in Receivables and Debt Management**

184 Invoicing and managing receivables vary by sector, reflecting differences in service
185 delivery, customer expectations, and regulations. Restaurants and the retail industry follow
186 a full-payment model: customers pay upfront before receiving goods or services, which
187 minimizes the risk of unpaid bills. The healthcare industry, meanwhile, typically handles
188 emergency services upfront but depends on insurance or post-care billing to manage
189 receivables. In the education sector, however, access to learning is considered crucial, and
190 withholding it would breach both legal rights and policy commitments. These differences
191 show how schools face a unique challenge, requiring the need to balance accessibility with
192 financial sustainability.

193 On the corporate finance side, companies often use smart, data-backed methods to
194 manage their receivables. Peng and Tian [14] developed an intelligent optimization model
195 that demonstrates how predictive analytics can reduce financial pressure by anticipating
196 potential late payments. Similarly, Ramkumar and Karthick [15] found that machine
197 learning techniques significantly outperform traditional methods for predicting when and
198 how payments will be made. More recent studies, such as Abbas and Hussein [9], confirm
199 that ML models like XGBoost and LightGBM significantly improve the accuracy of loan
200 default prediction compared to conventional statistical approaches. These findings
201 underscore the growing reliance on predictive modeling across industries to safeguard
202 liquidity and reduce the accumulation of bad debt.

203 This challenge has become more pronounced in the Philippine context with the
204 enactment of the No Permit, No Exam Prohibition Act (RA 11984) [11], which bars
205 schools from denying students access to examinations due to unpaid tuition. While the law

206 promotes educational equity, it also removes one of the primary reinforcement mechanisms
207 schools previously relied on to ensure timely payments. Respicio and Co. Law [16] warned
208 that this shift may lead to higher accounts receivable balances, delayed cash inflows, and
209 increased risk of bad debts unless schools adopt proactive financial management strategies.
210 The implementing guidelines further introduce administrative steps. Requiring students to
211 submit social welfare certifications and promissory documents lengthens collection cycles
212 and extends credit exposure.

213 These cross-sector practices reveal two insights relevant to this study. First,
214 industries that minimize receivable risk do so by requiring upfront payment or leveraging
215 external systems like insurance; options unavailable to schools. Second, sectors with higher
216 receivable risk increasingly rely on predictive analytics and ML to anticipate defaults and
217 prioritize interventions. These insights provide a foundation for examining how similar
218 approaches can be adapted to the educational context, where financial sustainability must
219 be balanced with accessibility. The following section examines how educational
220 institutions worldwide have responded to this challenge through their tuition collection
221 strategies.

222 **2.3 Tuition Collection Strategies in Educational Institutions Worldwide**

223 Educational institutions across the globe employ a variety of tuition collection
224 strategies, shaped by their financial structures, regulatory environments, and commitments
225 to accessibility. Unlike corporate sectors, where upfront payment is the norm, schools often
226 extend credit to students and families through installment plans, deferred payments, or fee
227 exemptions. These arrangements are designed to promote inclusivity but also expose
228 institutions to heightened risks of delayed or non-payment.

229 In South Africa, Mestry [17] emphasized that non-payment or partial payment of
230 school fees disrupts budget execution and undermines institutional goals. At the same time,
231 Naicker [18] found that fluctuating fee payments complicate financial planning and
232 threaten sustainability. The Education Policy and Data Center [19] similarly documented
233 implementation gaps in fee-collection policies, in which unclear guidelines led to
234 inconsistent and delayed payments. MRI Software TPN [20] also noted that unpaid fees
235 force reductions in staff and infrastructure investment. Broader reports by the Associated
236 Press [21] and the World Bank [22] confirm that unpredictable school-fee systems across
237 Sub-Saharan Africa have caused both increased arrears and higher dropout rates, further
238 destabilizing education systems.

239 In Asia, similar patterns emerge. Thuy et al. [23] compared machine learning and
240 deep learning models in student credit scoring in Vietnam, highlighting the growing need
241 for predictive approaches to manage tuition-related risks. Their findings suggest that data-
242 driven models can help schools anticipate defaults and design targeted interventions. In the
243 Philippines, Carvajal et al. [24] found that low levels of financial literacy contribute to poor
244 debt management among students, while Mencias-Tabernilla [25] documented that
245 teachers themselves often struggle with debt, which indirectly affects households' capacity
246 to meet tuition obligations.

247 These international experiences show two consistent themes. First, tuition-based
248 institutions must balance their social mission of accessibility with the financial necessity
249 of sustainability. Second, traditional collection mechanisms such as installment plans,
250 promissory notes, or punitive restrictions are increasingly inadequate in volatile economic
251 and policy environments. As a result, schools worldwide are beginning to explore more

proactive and data-driven approaches to receivables management to anticipate defaults and mitigate their operational impact. These global pressures take a specific institutional form in the Philippines, where regulatory constraints further narrow the collection options available to private schools, as the next section details.

2.4 Institutional Context: Philippine Schools and the Partner Institution

The data for this study were drawn from a private Christian educational institution located in Montalban, Rizal, established in 2006. The school offers a comprehensive curriculum spanning pre-elementary (Nursery to Kinder 2), elementary (Grades 1-6), junior high school (Grades 7-10), and special education programs.

Table 2.1 summarizes the institution's bad debts expense, student balances, and Days Sales Outstanding across school years 2019–2025, documenting the receivables trend that motivates this study.

Table 2.1. Trend of Bad Debts Expense (BDE), Student Balances, and Days Sales Outstanding (DSO), School Years 2019-2025.

<i>School year</i>	<i>Amount of BDE (in PHP)</i>	<i>% (Bad Debts vs Gross Accounts Receivable)</i>	<i>No. Of Enrolled</i>	<i>No. Of Students with Balance Left</i>	<i>Days Sales Outstanding</i>
2019	248,650	12.0%	290	16	88
2020	7,850	0.8%	150	1	134
2021	3,450	0.1%	197	1	38
2022	51,172	0.8%	446	7	53
2023	256,592	2.5%	477	17	49
2024	347,824	3.2%	441	18	38
2025	352,075	3.3%	415	39	36

These patterns reveal that, despite offering flexible payment options, schools remain at risk when families fail to pay on time. The upward trend in bad debt expense lowers an institution's liquidity, challenging its ability to fund operations, invest in resources, and maintain educational quality. In contrast with other businesses that can vet clients for

270 creditworthiness, Philippine educational institutions operate under laws that emphasize
271 accessibility. The 1987 Philippine Constitution (Art. XIV, Sec. 1-2) and various DepEd
272 Orders make clear that schools cannot turn families away based on financial situation.
273 Recent legislation, RA 11984, further ensures that students cannot be barred from exams
274 over unpaid tuition [11, 16, 26]. While these regulations promote fairness, they amplify the
275 financial challenges faced by private schools, making receivable predictions all the more
276 critical.

277 Taken together, the institutional record in Table 2.1 motivates the prediction
278 problem at the center of this study. Bad debt expense has risen sharply since 2021; the
279 number of students carrying unpaid balances has grown even as enrollment has stabilized;
280 and Days Sales Outstanding has remained in the 36–49-day range despite the availability
281 of installment plans. Because the school can neither screen enrollees for creditworthiness
282 nor enforce payment through academic sanctions, the only remaining managerial lever is
283 anticipation: knowing, at the moment an invoice is issued, how likely it is to be paid late
284 and by how much. That is precisely the granular forecasting capability this study develops.

285 **2.5 Machine Learning in Credit Default Risk Forecasting**

286 Machine learning (ML) is increasingly redefining the industry's approach to
287 financial forecasting. Research shows it can sift through complex datasets, uncovering
288 patterns that improve decision-making accuracy [1, 2]. Its greatest strength lies in handling
289 vast amounts of data and revealing nonlinear patterns that traditional statistical methods
290 often miss, making ML an indispensable asset in fields like risk assessment, credit scoring,
291 and payment prediction.

292 Foundational research by Breiman (2001) [1] introduced random forests, an
293 ensemble method that has become fundamental in risk assessment and payment prediction
294 tasks. Lessman et al. (2015) [27] benchmarked leading classification algorithms for credit
295 scoring. They found that ML models, such as gradient boosting and random forests,
296 markedly improve predictive accuracy over traditional methods like logistic regression.
297 Baesens et al. (2003) [28] highlighted the interpretability of neural networks when
298 combined with rule extraction, bridging the gap between predictive power and decision
299 transparency. Recent developments by Xu et al. (2024) [29] demonstrated how deep
300 learning and big data can be leveraged to predict financial risk behaviors, underscoring the
301 growing importance of contextual and behavioral variables in model performance.

302 Despite these advances, challenges remain. Feature selection and interpretability
303 remain critical issues, especially in institutional contexts where decision-makers require
304 not only accurate predictions but also transparent justifications for interventions. As Tsai,
305 Huang, and Chen (2017) [30] noted in their study on hybrid ML techniques for credit
306 rating, combining multiple algorithms can improve accuracy but often at the cost of
307 interpretability. This tension between predictive performance and explainability is
308 particularly relevant in education finance, where stakeholders must balance technical
309 sophistication with accountability and trust. While these studies address credit risk in
310 general, the same algorithmic advances form the technical foundation for the more specific
311 task at hand, predicting when individual invoices will be paid, which the next section
312 reviews.

313 **2.6 Invoice Payment Prediction Models**

314 A central theme in the invoice payment prediction literature is the continuous effort
315 to refine models through improved variable selection and methodological approaches.
316 Early studies applied ML to accounts receivable and customer-level data, demonstrating
317 the potential of predictive analytics in managing cash flow. Appel et al. [8] developed ML
318 models to predict accounts receivable, emphasizing the importance of transaction histories
319 and customer segmentation. Cheong [7] introduced customer-level predictive modeling for
320 receivables, showing how individualized features could reduce unnecessary interventions.

321 In the educational context, Moore and van Vuuren [4] proposed the Modeling
322 Invoice Payment Predictions (MIPP) framework, which combines survival analysis with
323 ML to forecast students' payment behavior. Their work demonstrated that historical
324 payment patterns could improve accuracy, though the framework did not incorporate
325 granular product or service categories. Extending this line of inquiry, Schoonbee, Moore,
326 and van Vuuren [5] applied ML to South African educational data, to create a decision-
327 support system that improved institutional forecasting. However, their models remained
328 focused on broad student-level features rather than detailed, transaction-specific variables.

329 Other studies have explored statistical and hybrid approaches. Martikainen [6]
330 applied statistical learning methods to predict late payment of sales invoices, providing
331 evidence that even relatively simple models can yield actionable insights when applied to
332 institutional data. In parallel, Mugorobin et al. [3] developed an estimation system for late
333 tuition payments, underscoring the operational importance of predictive tools in schools.
334 Khedr and Sheeja [10] reviewed ML applications in supply chain management,

335 highlighting the role of digitization and transaction-level granularity in improving payment
 336 behavior analysis.

337 Across these studies, a specific methodological gap emerges: none of the cited works
 338 benchmarked ordinal classifiers or two-stage hierarchical architectures at scale for invoice
 339 payment prediction. Reported comparisons are limited to small sets of single-stage
 340 classifiers, typically five to eight models evaluated under one or two preprocessing
 341 regimes. This leaves open the question of whether architectures that explicitly exploit the
 342 ordered, heavily imbalanced structure of payment-delay targets can outperform
 343 conventional designs, a question this study answers across 1,092 experimental
 344 configurations.

345 **2.7 Granular Feature Modeling and Student-Specific Variables**

346 While existing invoice prediction models have demonstrated the value of historical
 347 payment data, recent research suggests that granularity (the inclusion of fine-grained,
 348 transaction-specific variables) can substantially improve predictive accuracy. In retail
 349 analytics, Wei et al. [31] introduced the Retail Product Checkout (RPC) dataset, which
 350 demonstrated that fine-grained product differentiation significantly improved model
 351 performance.

352 To address this gap, this study integrates student-product categories into invoice
 353 prediction. Features identified from the literature include: **(a)** Demographic and
 354 socioeconomic variables: family income, household debt, and financial literacy [24, 25].
 355 **(b)** Academic and institutional variables: program type, year level, installment plan [11,
 356 17, 18, 19, 20, 23]. **(c)** Behavioral and transactional variables: historical arrears, frequency

of late payments [3, 11, 16]. **(d)** Policy and contextual variables: RA 11984 compliance, macroeconomic shocks [11, 21, 22, 26].

2.8 Socioeconomic and Behavioral Factors Affecting Payment

At the macro level, political and economic stressors directly affect household income and, consequently, tuition payment behavior. Voghouei et al. [32] demonstrated that political and economic instability can significantly affect financial development, thereby reducing households' capacity to meet recurring obligations. Legal and policy frameworks further shape payment dynamics. The 1987 Philippine Constitution (Art. XIV, Sec. 1-2) guarantees the right to education, while DepEd Orders prohibit schools from denying enrollment based on financial incapacity. Together, these factors explain why invoices in private schools often remain unpaid for extended periods, underscoring the need for predictive interventions.

Philippine evidence sharpens this picture at the household level. Carvajal et al. [24] surveyed financial literacy and debt management practices and found that low financial literacy is associated with poor debt management, a mechanism that translates directly into erratic tuition payment: families that do not budget for recurring obligations accumulate school balances even when income is nominally sufficient. Mencias-Tabernilla [25] documented the expenditure patterns and debt profiles of Filipino teachers, showing that chronic indebtedness extends even to salaried education professionals; if the households of stable wage earners struggle with recurring debt, tuition-paying families with irregular incomes are plausibly at greater risk. Finally, the implementing context of RA 11984 [11, 16, 26] shapes behavior on both sides of the transaction: students cannot be barred from examinations over unpaid fees, while schools must channel hardship cases through social

welfare certification and restructuring procedures. These local realities make payment-timing prediction more valuable in the Philippine setting than in jurisdictions where enforcement remains available.

2.9 Intervention Strategies and Justification

2.9.1 Current Institutional Practices in Tuition Collection

Educational institutions typically employ a layered set of collection mechanisms. The most common first-line instrument is the administrative reminder campaign, ranging from printed statements of account to scheduled text-message and email reminders ahead of due dates, which practitioner literature identifies as the cheapest and most scalable intervention [33, 34]. When reminders fail, schools escalate to formal instruments: promissory notes that document a committed payment date, late-payment fees or surcharge schedules intended to price delinquency, and installment restructuring that converts an overdue lump sum into smaller scheduled payments [34, 35]. Some institutions complement these with incentives such as early-payment discounts or sibling rebates to reward timely settlement [33]. These practices, consistent with the tuition collection literature [33, 34, 35], remain the dominant standard operating procedures in many schools, including the partner institution. Their common weakness is that, aside from early-payment incentives, they are triggered only after an invoice has become delinquent.

2.9.2 Structural and Policy Constraints on Enforcement

The effectiveness of these strategies is procedurally constrained by RA 11984 [11, 16, 26]. The law categorically prohibits schools from denying students with outstanding balances access to examinations, removing the single strongest enforcement mechanism previously available to private institutions [11]. Its implementing guidelines add further

403 procedural requirements: students invoking financial hardship must submit certifications
404 from the Department of Social Welfare and Development (DSWD), and schools, in turn,
405 are expected to provide installment restructuring or deferred payment arrangements rather
406 than refuse service [16, 26]. Legal commentary has warned that this combination lengthens
407 collection cycles, extends credit exposure, and may raise accounts receivable balances
408 unless schools adopt proactive financial management [16]. As a result, institutions are
409 structurally bound to continue providing instruction even as receivables accumulate, which
410 converts collections from an enforcement problem into a forecasting problem.

411 **2.9.3 Machine Learning as a Proactive Alternative**

412 Given the limitations of traditional strategies, machine learning offers a
413 fundamentally different alternative: rather than reacting to delinquency after a due date has
414 passed, a predictive model assigns every invoice a payment-delay risk estimate when it is
415 issued. Studies in credit scoring and receivables management [7, 10, 27, 36] demonstrate
416 that predictive models trained on granular behavioral features consistently outperform
417 reactive heuristics by converting historical payment patterns into forward-looking early-
418 warning signals.

419 The operational mechanism is straightforward. An invoice predicted to fall into a
420 late bracket can be routed to a pre-due-date intervention, such as an earlier reminder, a
421 proactive offer of installment restructuring, or a guidance conversation with the family,
422 whereas invoices predicted to be paid on time require no action. This targeting matters
423 under RA 11984: since post-due-date enforcement is legally restricted, the value of
424 knowing which invoices are at risk before they become delinquent is amplified. Cheong
425 [7] showed that customer-level prediction reduces unnecessary intervention actions, and

426 Schoonbee et al. [5] demonstrated decision-support value in an educational context; this
427 study extends that logic to category-level invoices in a Philippine private school.

428 **2.10 Ordinal Classification and Two-Stage Architectures**

429 A fundamental property of payment-delay targets is their inherent ordering, from
430 on-time settlement through progressively later payment brackets. Frank and Hall [12]
431 introduced a simple and influential approach to ordinal classification that decomposes a k-
432 class ordinal problem into k-1 binary sub-problems: for the four payment brackets used in
433 this study, three binary classifiers are trained to estimate $P(\text{target} > \text{on-time})$, $P(\text{target} > 1\text{--}30 \text{ days})$, and $P(\text{target} > 31\text{--}60 \text{ days})$, and the per-class probabilities are then recovered by
434 differencing the cumulative estimates. Because each binary sub-problem preserves the
435 ordering of the label space, the decomposition allows any probabilistic base classifier to
436 exploit ranking information that a nominal multi-class formulation discards.

438 Two-stage architectures approach the same label structure from a different angle:
439 whereas the Frank–Hall scheme is a decomposed view of a single ordinal problem, a two-
440 stage design is hierarchical. A first-stage binary classifier separates on-time from late
441 invoices, directly addressing the dominant source of class imbalance, and a second-stage
442 multi-class model, trained only on delinquent records, determines the severity of the delay.
443 The hierarchy mirrors institutional decision-making (first, will this invoice be late; second,
444 how late) and allows each stage to specialize in a better-balanced sub-problem.
445 Architectures of this kind have proven effective in credit risk [27], medical diagnosis [28],
446 and receivables management [36], but had not previously been benchmarked at scale for
447 the IPPP.

448 **2.11 Survival Analysis in Accounts Receivable Prediction**

449 Survival analysis provides a statistical framework for modeling the time until an
450 event occurs, here, the time until an invoice is fully paid. Its defining advantage over
451 standard classification is its treatment of censoring: at any observation cutoff, some
452 invoices remain unpaid, and their eventual payment delay is unknown rather than missing.
453 A conventional late/not-late variable must either discard these records or mislabel them. In
454 contrast, survival methods retain censored invoices and extract partial information from
455 the fact that they survived unpaid until the cutoff. The Cox Proportional Hazards model
456 [37] formalizes this by expressing each invoice's hazard rate, the instantaneous probability
457 of payment at time t given non-payment up to t , as the baseline hazard multiplied by an
458 exponential function of the invoice's covariates. Each invoice, therefore, receives a
459 continuous risk profile (partial hazard, expected settlement time, survival probability at
460 reference horizons) rather than a single binary flag, a conceptually richer representation of
461 payment timing.

462 Moore and van Vuuren [4] integrated survival analysis with machine learning in the
463 MIPP framework, using time-to-payment modeling to inform invoice predictions. This
464 study extends that work in a specific way: instead of using the survival model as the
465 predictor, it uses Cox PH outputs (hazard rates, survival probabilities, expected settlement
466 times) as engineered input features for downstream classifiers, and then experimentally
467 measures their marginal value. Prior work in credit risk suggests such features help
468 probabilistic models more than tree ensembles [28, 36], a hypothesis this study tests
469 directly across feature regimes.

470 **2.12 Synthesis of Methods, Findings, and Gaps in Literature**

471 ML models outperform baseline statistical approaches in forecasting late payments
 472 and credit risk [7, 36]. Several gaps remain: (1) lack of granular student-product variables
 473 [3, 4, 5]; (2) limited application in private educational institutions [10, 31]; (3) few ordinal
 474 IPPP benchmarks; and (4) lack of two-stage architectures and systematic survival feature
 475 testing.

476 Each of these gaps maps directly onto the research objectives stated in Section 1.4.
 477 Gap (1), the lack of granular student-product variables, is directly addressed by Objective
 478 (4), which evaluates how line-item features derived from category-level invoices influence
 479 payment timing relative to aggregate student-level variables. Gap (2), the limited
 480 application of invoice prediction in private educational institutions, is addressed by
 481 Objective (1), which conducts the benchmarking on six years of records from a Philippine
 482 private school, and by Objective (4)'s institution-specific feature set. Gap (3), the scarcity
 483 of ordinal IPPP benchmarks, and gap (4), the absence of two-stage architectures and
 484 systematic survival-feature testing, are addressed jointly by Objectives (1), (2), and (3): the
 485 1,092-configuration benchmark includes three ordinal decompositions and six two-stage
 486 pipelines (Objective 2). It isolates the marginal contribution of survival-analysis-derived
 487 features across all model families (Objective 3). The synthesis of the literature thus leads
 488 directly to the methodology developed in Chapter 3.

489

490 **2.13 Comparative Analysis of Existing Technologies**

491 Before positioning this study's methodology, it is necessary to compare existing
 492 technologies for invoice payment prediction side by side. The studies reviewed differ in
 493 domain, feature granularity, algorithmic family, and evaluation protocol, differences easily
 494 lost in narrative form. A structured comparison serves three purposes: it reveals which
 495 methodological choices recur across unrelated domains, distinguishing genuine best
 496 practices from domain-specific conventions; it exposes evaluation gaps that limit the
 497 comparability of published results; and it establishes the baseline against which the present
 498 study's contribution can be judged. Table 2.2, presented over the next two pages,
 499 consolidates the eight studies most relevant to the IPPP, spanning the educational,
 500 corporate, and consumer credit domains.

501 Four patterns emerge from Table 2.2. First, tree-based ensembles and boosting
 502 algorithms are the consistent performance leaders across every domain tested, displacing
 503 both classical statistical models and deep learning alternatives on tabular financial data.
 504 Second, reported performance clusters around 80–85% accuracy for binary or coarse multi-
 505 class formulations, suggesting a practical ceiling for aggregate-feature approaches. Third,
 506 every study operates on aggregate customer- or student-level features; no model receives
 507 receivables at the granularity of individual fee categories, despite evidence that fine-
 508 grained features improve prediction. Fourth, and most consequentially, none evaluates
 509 ordinal decompositions, hierarchical two-stage architectures, or survival-derived features
 510 against resampling strategies. The present study fills this gap precisely, benchmarking
 511 fifteen architectures, three ordinal and six two-stage designs, across seven balancing
 512 strategies and two feature regimes on category-level educational invoices.

Table 2.2. Comparative analysis of existing invoice payment prediction and related studies.

Study	Year	Domain	Method	Features Used	Performance	Limitations
					Metrics	
Schoonbee et al. [5]	2021	Educational invoices (South Africa)	LR, RF, XGBoost, NN decision support	Student-level payment history, demographics	Accuracy $\approx$ 80–85%	Aggregate features; nominal targets
Moore & van Vuuren [4]	2020	Customer invoices	Survival analysis + ML (MIPP)	Invoice history, customer attributes	Time-to-payment estimates	No ordinal brackets; no resampling study
Mugorobin et al. [3]	2020	School tuition (Indonesia)	Rule-based estimation with classification	Tuition payment timeliness records	Accuracy on a small institutional sample	Heuristic; no ensemble benchmarking
Martikainen [6]	2023	B2B sales invoices (Finland)	Statistical learning, logistic regression	Invoice and customer attributes	Moderate AUC discrimination	Few classifiers: imbalance, untreated

Cheong [7]	2022	Corporate accounts receivable	Customer-level gradient boosting	Customer payment history, segmentation	Reduction in unnecessary interventions	Customer aggregation; no line-item detail
Appel et al. [8]	2021	Corporate accounts receivable	Supervised ML on transaction histories	Transaction history, customer segmentation	Precision on overdue-account detection	Corporate context; binary target
Thuy et al. [23]	2025	Student credit scoring (Vietnam)	ML vs. deep learning comparison	Academic, demographic, and financial features	ML ensembles are competitive with deep learning	Credit scoring, not invoice-level prediction
Abbas & Hussein [9]	2024	Consumer loan default	XGBoost, LightGBM	Borrower financial attributes	Boosting outperforms statistical baselines	Default prediction; no payment delay granularity

2.14 Theoretical Framework

Figure 2.1 presents the conceptual framework that integrates the four theoretical lenses guiding this study and traces how raw institutional data flow through preprocessing, predictive modeling, and decision support to inform receivables management.

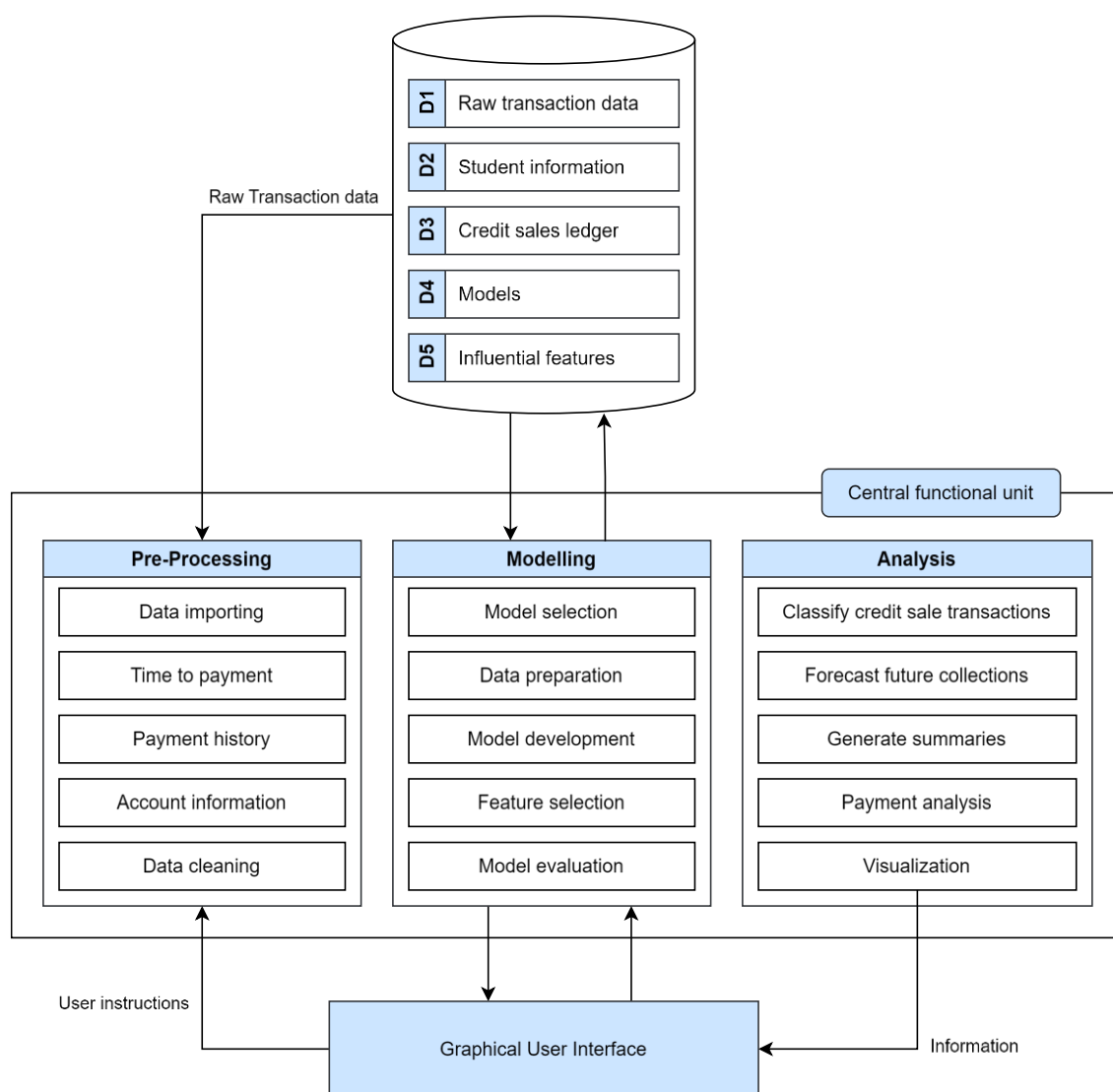


Figure 2.1: Conceptual Framework.

523 First, Information Processing Theory (IPT) [38] provides the foundation for data
524 flow and preprocessing [1, 2]. Second, the Predictive Analytics and Machine Learning
525 Paradigm (PA-MLP) supports the modeling stage [1, 2]. Third, Decision Support Systems
526 (DSS) Theory [39, 40] justifies the analysis and interface components. Finally, Receivables
527 Management Theory (RMT) [14, 41, 42] grounds the study in its financial context.
528

529

CHAPTER 3

530

METHODOLOGY

531

3.1 Research Design

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This study employs a quantitative, experimental research design. The research paradigm is a controlled benchmarking study: fifteen machine learning architectures are compared under identical data, split, and evaluation conditions, with the manipulated factors being model family, hyperparameter configuration, class-balancing strategy, and feature regime, a factorial space of 1,092 configurations. Experimental comparison is the standard methodology for evaluating machine learning systems, as established by large-scale credit-scoring benchmarks such as Lessmann et al. [27].

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The data are observational institutional records rather than instruments administered to human subjects: the study draws on pseudonymized journal entries from a private school, so no surveys, interviews, or interventions on students were conducted. The design is therefore experimental with respect to model evaluation, not with respect to data collection. The data flow diagrams presented in Figures 3.1 through 3.5 illustrate the architecture of the developed system (its preprocessing, modeling, and analysis components) rather than the research design itself; the research design is the benchmarking protocol described in Section 3.6, which fixes the temporal train–test split, the evaluation metrics, and the experimental grid within which every architecture is assessed. The remainder of this chapter describes each component in the order data flows through the pipeline: data acquisition, granular feature engineering, survival analysis modeling, class balancing, and hierarchical ensemble classification.

551 **3.2 Data Acquisition and Preprocessing**

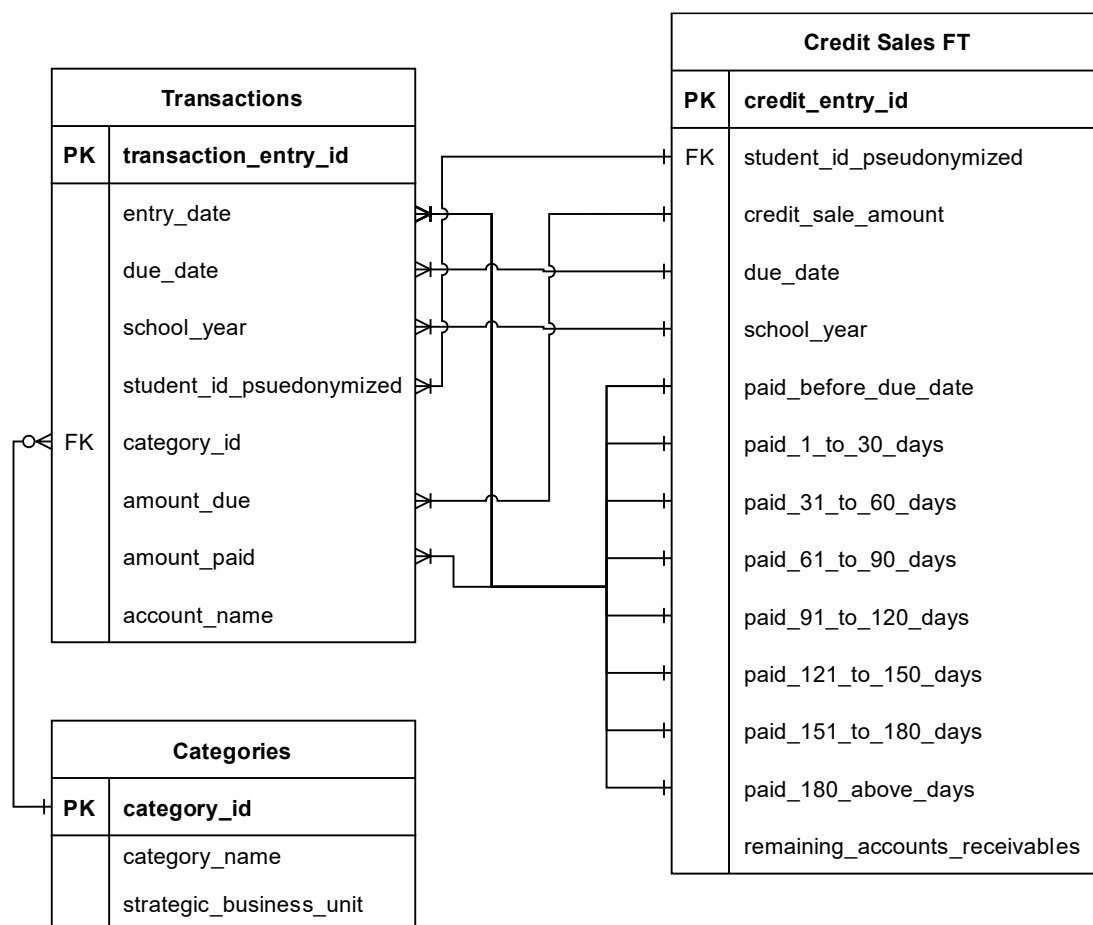
552 The primary dataset consists of 11,440 raw invoice records from a private school in
553 Rizal, Philippines, spanning academic years 2019–2025 (with payment activity observed
554 through March 31, 2026). The data originates from three Excel files manually exported
555 from the school's internal enterprise resource planning (ERP) system. The revenues file
556 contains itemized receivables: every billed amount with its due date, discounts,
557 adjustments, and the dates and amounts of payments applied against it. The enrollees file
558 records student enrollment per school year, including the selected installment plan, which
559 allows enrollment streaks and plan-based features to be derived. The chart of accounts file
560 maps every transaction category to its account classification and strategic business unit,
561 enabling the category-level granularity central to this study. Each resulting record
562 represents a discrete receivable item (e.g., Tuition, Miscellaneous Fee, E-Learning
563 Platform) rather than an aggregate student-level balance.

564 Data were obtained with written institutional approval (Appendix G). All student
565 identifiers were pseudonymized using a deterministic, irreversible hash before any
566 analysis, implemented via a dedicated pseudonymization utility in the project codebase,
567 and the original data files were excluded from the project's version-controlled repository.
568 From the 11,440 raw records, 6,527 labeled records were retained after filtering for
569 sufficient payment history to compute the days-to-payment (DTP) behavioral features;
570 records lacking observable payment histories cannot support the lagged features that the
571 models require. The temporal train–test split is set at March 7, 2025: invoices due before
572 this date form the training set, and invoices due on or after it form the test set.

573 Initial preprocessing involved three steps. First, student identifiers were
574 pseudonymized as described above. Second, payment dates were aligned with due dates to
575 construct the target variable, Days to Payment (DTP), defined as the number of days
576 between an invoice's due date and the date its balance was fully settled; negative or zero
577 values indicate on-time settlement. Third, DTP was discretized into four ordinal brackets:
578 Class 0 (On-Time, $DTP \leq 0$), Class 1 (1–30 days late), Class 2 (31–60 days late), and
579 Class 3 (61+ days late). Invoices still unpaid at the observation cutoff are flagged as
580 censored and handled by the survival analysis described in Section 3.4.

581 Figure 3.1 presents the entity-relationship diagram (ERD) of the institutional dataset. Three
582 core entities (Transactions, Categories, and Enrollees) are linked via foreign keys, forming
583 the basis for feature engineering. The Transactions table captures every discrete receivable
584 item at the category level, the primary innovation of this study's data model compared to
585 aggregate student-level approaches in prior work.

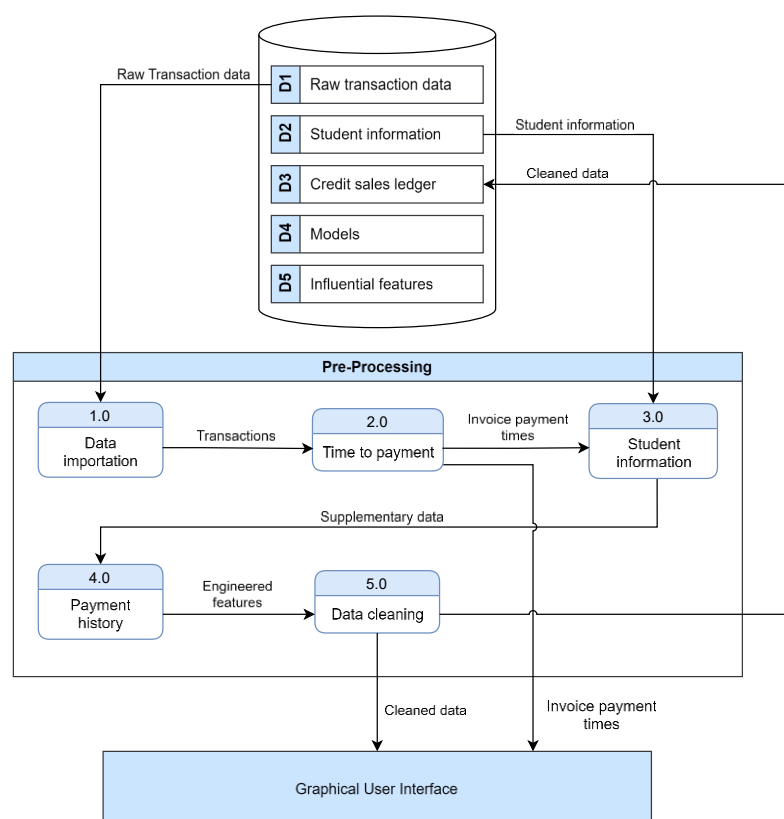
586

587 **Figure 3.1: Entity-relationship diagram (ERD) of the institutional dataset.**

588 The relationships visible in the ERD determine how the modeling dataset is
589 assembled. Each transaction references a category via `category_id`, allowing every
590 receivable line item to be typed (e.g., tuition, miscellaneous fees, course materials, other
591 services). At the same time, the pseudonymized student identifier links transactions to
592 enrollment records across school years. The `due_date` and `amount_paid` fields jointly define
593 the target variable: the gap between the due date and the date the obligation is fully offset
594 yields Days to Payment, from which the four ordinal payment brackets are derived. The
595 Credit Sales Fact Table consolidates these joins into a single analysis-ready view per
596 receivable.

597

598 Figure 3.2 presents the Level-1 data flow diagram (DFD) of the pre-processing
 599 component, which transforms the three raw institutional exports into the analysis-ready
 600 credit sales dataset.



601

602 **Figure 3.2: Level-1 DFD of the Pre-Processing component.**

603 The diagram traces the main processing steps: the raw revenues, enrollees, and chart-
 604 of-accounts files are first validated and pseudonymized, then merged into category-level
 605 transactions; payment applications are temporally aligned against due dates to compute
 606 Days to Payment; and the engineered behavioral, financial, and temporal features described
 607 in Section 3.3 are appended before the labeled records are written to the modeling cache as
 608 two distinct data streams, an ML training data stream and a survival analysis data stream,

609 forwarded to separate downstream processes. Each module is deterministic, so the same
 610 raw exports always reproduce the same modeling dataset, a property that supports the
 611 auditability objectives discussed in Section 3.7.

612 After cleaning, the pipeline produces two distinct data streams. The first stream,
 613 referred to as the ML training data, contains only records with a censor indicator of 1 (i.e.,
 614 the event was observed). Survival-specific columns are dropped from this stream before it
 615 is forwarded to the modeling component for balancing, partitioning, and classifier training.
 616 The second stream, referred to as survival analysis data, retains all records and all survival
 617 columns (time-to-event T and event indicator E). This stream is forwarded exclusively to
 618 the Cox Proportional Hazards tuning sub-process (7.5) and subsequently to the survival
 619 feature generation sub-process (8.5).

620 Figure 3.3 presents the Level-2 DFD of Process 1.0 (Data Importation), detailing the
 621 four sub-processes that transform raw Excel files into typed, datetime-parsed records with
 622 lookup-corrected due dates.

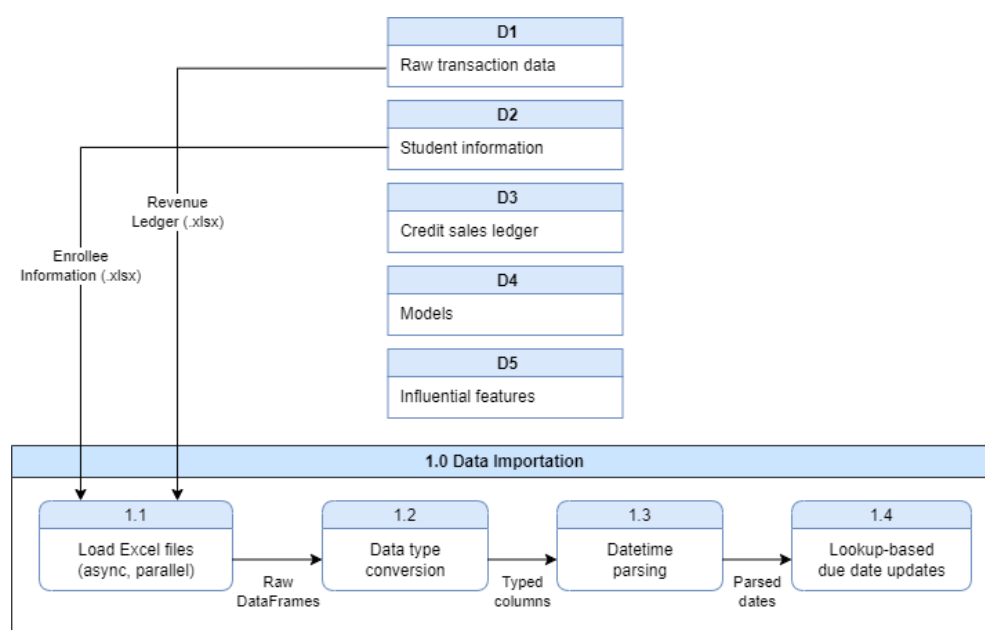


Figure 3.3: Level-2 DFD of Process 1.0, Data Importation.

625

626 The diagram decomposes Process 1.0 into four sequential sub-processes. Sub-
627 process 1.1 performs asynchronous parallel loading of the revenue and enrollee Excel files
628 using base64 decoding and the Calamine Excel engine, reducing blocking during file reads.
629 Sub-process 1.2 applies data-type conversion to ensure that numeric, categorical, and date
630 fields conform to the types required by downstream feature engineering. Sub-process 1.3
631 handles datetime parsing, standardizing all date representations into a uniform format from
632 which time differences can be reliably computed. Sub-process 1.4 performs lookup-based
633 due date updates, resolving any date overrides that originate from institutional adjustments
634 or payment plan renegotiations. The outputs of this process are two typed and datetime-
635 normalized DataFrames, one for revenue records and one for enrollee records, forwarded
636 to Process 2.0 (Time to Payment) and Process 3.0 (Student Information) for feature
637 derivation.

638 Figure 3.4 presents the Level-2 DFD of Process 5.0 (Data Cleaning), detailing the
639 four sub-processes that build invoice records, engineer features, apply post-processing, and
640 split the cleaned dataset into the ML training data and survival analysis data streams.

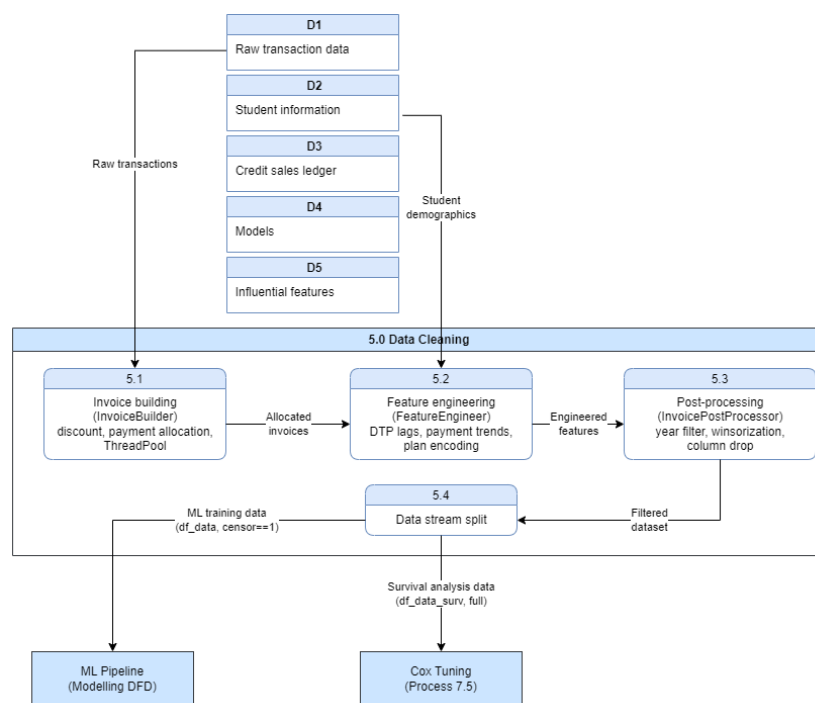


Figure 3.4: Level-2 DFD of Process 5.0, Data Cleaning.

The diagram decomposes Process 5.0 into four sequential sub-processes executed by the CreditSalesProcessor pipeline. Sub-process 5.1 (InvoiceBuilder) allocates every payment amount into one of eight aging brackets (paid before due, 1–30 days, 31–60 days, 61–90 days, 91–120 days, 121–150 days, 151–180 days, and 180-plus days) using sequential conditional bucketing based on elapsed days between the due date and each payment date; this step runs in parallel threads via a ThreadPool to contain processing time over the full 11,440-record dataset. Sub-process 5.2 (FeatureEngineer) derives the behavioral, financial, and temporal features described in Section 3.3, including the four DTP lag features, weighted and simple averages, cumulative balance fields, enrollment plan encodings, and temporal indicators. Sub-process 5.3 (InvoicePostProcessor) applies post-processing filters, including school year filtering, winsorization of outlier financial values, and removal of columns not required for modeling. Sub-process 5.4 performs the

655 data stream split: records with a censor indicator of 1 have their survival-specific columns
 656 removed and are written to the ML training stream (df_data). In contrast, all records with
 657 survival columns intact are written to the survival analysis stream (df_data_surv). These
 658 two streams are the sole outputs of Process 5.0 and flow to different downstream processes.

659 Table 3.1 presents the data dictionary for the Transactions table, detailing each
 660 attribute's format and role in the preprocessing pipeline.

661 **Table 3.1. Entity data dictionary of the *Transactions* table.**

Attribute Name	Format	Description
transaction_entry_id	AutoNumber	Automatic numbering for a unique identifier
entry_date	Date	The date the journal entry was entered
due_date	Date	The date the specific product/service category is due to be paid
school_year	smallInt(4)	The school year the transaction is for
student_id_pseudonymized	mediumInt(6)	The identifier of the student the transaction is related to
category_id	smallInt(4)	The category of the transaction
amount_due	Float	The amount needed to be paid
amount_paid	Float	The amount paid to offset the amount due
account_name	Char(30)	The account the money was sent to (e.g., Cash on Hand, Bank Transfer, or GCash)

662 Among these fields, due_date and amount_paid are the most consequential: together,
 663 they are the source of the target variable, since Days to Payment is computed from the gap
 664 between an obligation's due date and the date it is fully offset. The category_id field is the
 665 link that enables granular line-item modeling, the central innovation of this study. At the
 666 same time, school_year and the pseudonymized student identifier allow behavioral features
 667 to be accumulated across a student's enrollment history.

668 Table 3.2 presents the data dictionary for the Categories table, detailing each
 669 attribute's format and role in the preprocessing pipeline.

670 **Table 3.2. Entity data dictionary of the *Categories* table.**

Attribute Name	Format	Description
category_id	smallInt(4)	Automatic numbering for a unique identifier
category_name	Char(60)	The name of the category
strategic_business_unit	Char(35)	The business unit the category is accounted in (e.g., Teaching, Goods, Other services, or Administrative)

671 Although structurally simple, this table is what gives the pipeline its granularity:
 672 category_name distinguishes tuition from miscellaneous and product-type charges, and
 673 strategic_business_unit groups categories into the operational units used for institutional
 674 reporting. Attaching these attributes to transactions allows the models to learn payment
 675 behavior by fee type rather than by aggregate balance.

Table 3.3 presents the data dictionary for the Credit Sales Fact Table, the consolidated analysis-ready view produced by the preprocessing pipeline.

Table 3.3. Entity data dictionary of the *Credit Sales Fact Table (FT)*.

Attribute Name	Format	Description
credit_entry_id	autoNumber	Automatic numbering for a unique identifier
student_id_pseudonymized	mediumInt(6)	The pseudonymized identifier for the student number
credit_sale_amount	Currency	The amount payable for the respective student ID
due_date	Date	The date when the obligation is due to be paid
school_year	smallInt(4)	The school year in which the credit sale occurred
paid_before_due_date	Currency	The amount paid in advance before the due date
paid_1_to_30_days		The amount paid after the due date is grouped into spans of [1 to 30], [31 to 60], etc., days.
paid_31_to_60_days		
paid_61_to_90_days		
paid_91_to_120_days		
paid_121_to_150_days		
paid_151_to_180_days		
paid_180_above_days		
remaining_accounts_receivables		The amount of accounts receivable left that needs to be paid as of the time this fact table is created.

The fact table decomposes each receivable into payment-aging buckets (paid before the due date, 1–30 days, 31–60 days, and so on), from which the four ordinal payment brackets are labeled. The remaining_accounts_receivables field identifies invoices still unpaid at the observation cutoff; these censored records are exactly the cases handled by the survival analysis described in Section 3.4.

685 3.3 Granular Feature Engineering

686 The feature space comprises 40 variables across six categories, derived from
687 institutional journal entries and engineered to capture granular payment behaviors:

688 **(a) Raw Financial:** `gross\_receivables`, `amount\_discounted`, `adjustments`,
689 `credit\_sale\_amount` (net receivable)

690 **(b) Days-to-Payment (DTP) Historical:** `dtp\_1` through `dtp\_4` (most recent 4
691 invoices), `dtp\_avg`, `dtp\_wavg` (weighted 0.4,0.3,0.2,0.1), `dtp\_2\_trend`, `dtp\_3\_trend`,
692 `days\_since\_last\_payment`, `dtp\_rolling\_std`, `dtp\_max`

693 **(c) Financial/Cumulative:** `amount\_due\_cumsum`, `amount\_paid\_cumsum`,
694 `opening\_balance`, `opening\_balance\_flag`, `payment\_ratio` (paid/due ratio)

695 **(d) Behavioral/Historical:** `prev\_bracket` (most recent payment bracket),
696 `early\_payer\_flag` (binary), `on\_time\_streak` (consecutive on-time payments)

697 **(e) Payment Plan:** One-hot encoded `plan\_type\_Plan-A` through
698 `plan\_type\_Plan-E` and `plan\_type\_nan`, plus ordinal `plan\_type\_risk\_score`
699 (A=0→NaN=5)

700 **(f) Temporal:** `due\_month` (1-12), `due\_quarter` (1-4)

701 These features were generated by the `CreditSalesProcessor` pipeline, which transforms
702 raw transactional data into analysis-ready inputs. All features were retained for modeling.

703 3.4 Survival-Analysis-Derived Features

704 Process 7.5 performs hyperparameter tuning for the Cox Proportional Hazards
705 model (CoxnetSurvivalAnalysis, scikit-survival) using the survival analysis data stream
706 produced by Process 5.0. A grid of 18 hyperparameter combinations is evaluated: six
707 values of the regularisation strength alpha and three values of the elastic-net mixing
708 parameter l1_ratio. For each combination, k-fold cross-validation is applied, and each fold
709 is scored using Harrell's concordance index (C-index). The combination that maximizes
710 the mean C-index across folds is selected as the best set of hyperparameters. Following
711 hyperparameter selection, nine optimal time points are derived from the observed event
712 distribution using a slope-change algorithm applied to the Kaplan-Meier survival curve.
713 These nine time points are stored alongside the best hyperparameters and are used by
714 Process 8.5 to generate per-sample survival features.

715 Process 8.5 generates survival-derived features that augment the original feature set
716 before classifier training. Using the best hyperparameters obtained from Process 7.5, a
717 CoxnetSurvivalAnalysis model is fitted on the training split of the survival analysis data.
718 The fitted model is then applied to both training and test splits to compute, for each sample,
719 the following features at each of the nine optimal time points: the survival probability $S(t)$
720 and the cumulative hazard $H(t)$. Additionally, a scalar risk score and the expected survival
721 time $E[T]$ are computed for each sample. These survival-derived features are concatenated
722 with the original feature matrix to produce an enhanced dataset. Both the original and
723 enhanced datasets are forwarded to Process 8.0 (Model Building), enabling a paired
724 comparison between baseline and survival-augmented classification performance.

725

726 3.5 Model Architectures

727 The researchers benchmarked **15 models** categorized into three families:

728 **BASE CLASSIFIERS (8.1).** Six classifiers are trained independently on both the
 729 original and survival-enhanced feature sets: AdaBoost (AdaBoostClassifier), Random
 730 Forest (RandomForestClassifier), XGBoost (XGBClassifier), Decision Tree
 731 (DecisionTreeClassifier), Gaussian Naive Bayes (GaussianNB), and K-Nearest Neighbors
 732 (KNeighborsClassifier). Each classifier is trained under each of the five balancing
 733 strategies, yielding a full experimental matrix.

734 **ORDINAL CLASSIFIERS (8.2).** Three ordinal classifiers are built using the Frank
 735 and Hall (2001) binary decomposition method: Ordinal AdaBoost, Ordinal Random Forest,
 736 and Ordinal XGBoost. For four payment outcome classes (0–3), the method trains $K-1 = 3$
 737 binary classifiers: Classifier 0 learns $P(y > 0)$: on-time vs any late; Classifier 1 learns $P(y$
 738 $> 1)$: at most 30-day late vs 60-day or more late; Classifier 2 learns $P(y > 2)$: at most 60-
 739 day late vs 90-day late. Class probabilities are recovered as differences: $P(\text{class} = k) = P(y$
 740 $> k-1) - P(y > k)$, with boundary values $P(y > -1) = 1$ and $P(y > K-1) = 0$. Monotonicity is
 741 enforced by clipping negative differences to zero and re-normalizing the resulting
 742 distribution.

743 **TWO-STAGE ENSEMBLE CLASSIFIERS (8.3).** Six two-stage ensemble
 744 classifiers are trained, each combining two tree-based estimators: XGBoost-XGBoost,
 745 XGBoost-Random Forest, Random Forest-Random Forest, XGBoost-AdaBoost, Random
 746 Forest-AdaBoost, and AdaBoost-XGBoost. Stage 1 is a binary classifier trained on the full
 747 dataset to predict $P(\text{late})$: the probability that a payment is late (any class other than on-
 748 time). Stage 2 is a multiclass classifier trained only on the late subset, predicting $P(\text{class} =$

749 k | late) for the 30-day, 60-day, and 90-day late classes. Final class probabilities are
750 computed via the chain rule: $P(\text{class} = k, k > 0) = P(\text{late}) \times P(\text{class} = k | \text{late})$.

751 **ARCHITECTURAL RESTRICTION ON ORDINAL AND TWO-STAGE**
752 **MODELS.** The ordinal (8.2) and two-stage (8.3) classifiers are restricted to tree-based
753 estimators (XGBoost, Random Forest, AdaBoost) because the training pipeline applies
754 feature selection via mean decrease in impurity (MDI) using scikit-learn's
755 SelectFromModel. This requires each estimator to expose a `feature_importances_` attribute,
756 which is only available for tree-based models. K-Nearest Neighbors and Gaussian Naive
757 Bayes do not expose this attribute and are therefore excluded from the ordinal and two-
758 stage experimental conditions.

759 Process 6.0 performs four sequential operations on the ML training data stream
760 received from Process 5.0. First, ordinal labels are encoded: on-time, 30-day, 60-day, and
761 90-day payment outcomes are mapped to integer classes 0–3. Second, a temporal train/test
762 split is applied by sorting records by the installment due date and assigning the earliest 80
763 percent to the training partition and the latest 20 percent to the test partition, thereby
764 preventing data leakage from future records. Third, a user-selected balancing strategy is
765 applied only to the training partition. Five strategies are supported: SMOTE, Borderline
766 SMOTE, SMOTEENN, SMOTETomek, and the custom HybridBalance strategy; each
767 strategy is treated as a separate experimental condition. Fourth, min-max normalization is
768 applied to all numerical features. An optional linear discriminant analysis (LDA) projection
769 may also be applied at this stage to reduce dimensionality before forwarding the prepared
770 data to Process 7.0.

Figure 3.5 presents the Level-1 DFD of the modeling component, covering class balancing, model training, and hyperparameter search across the three model families.

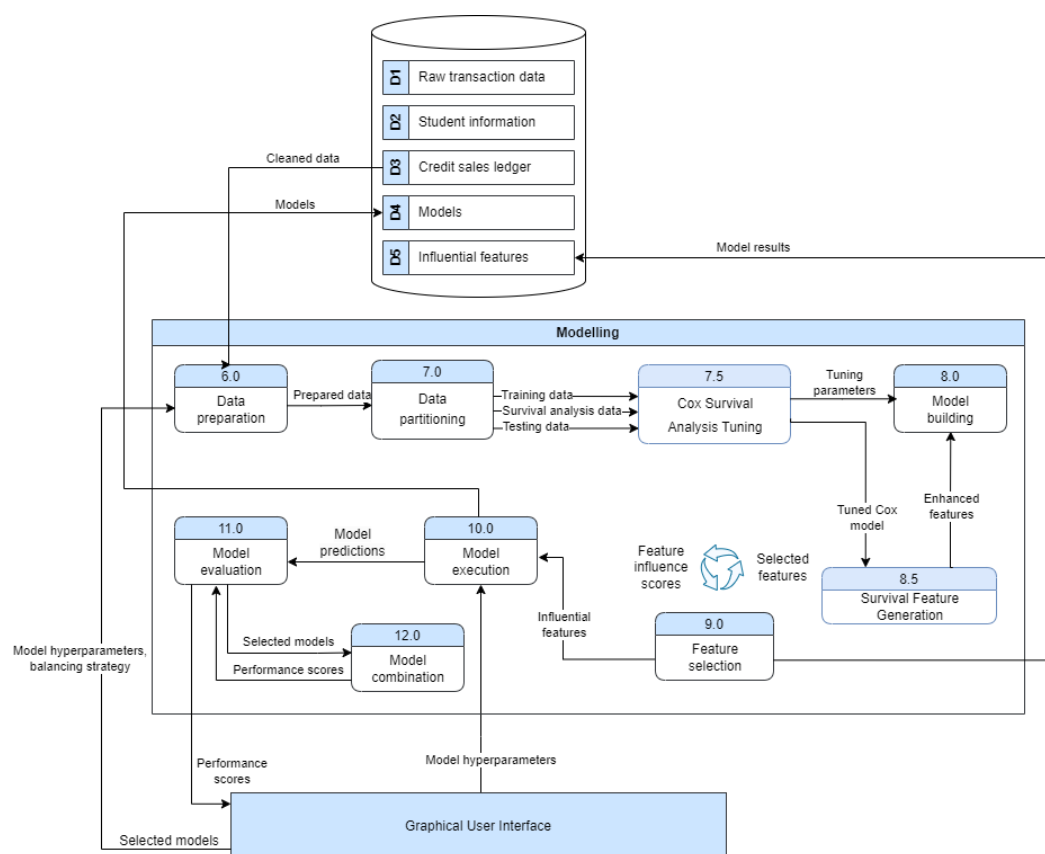
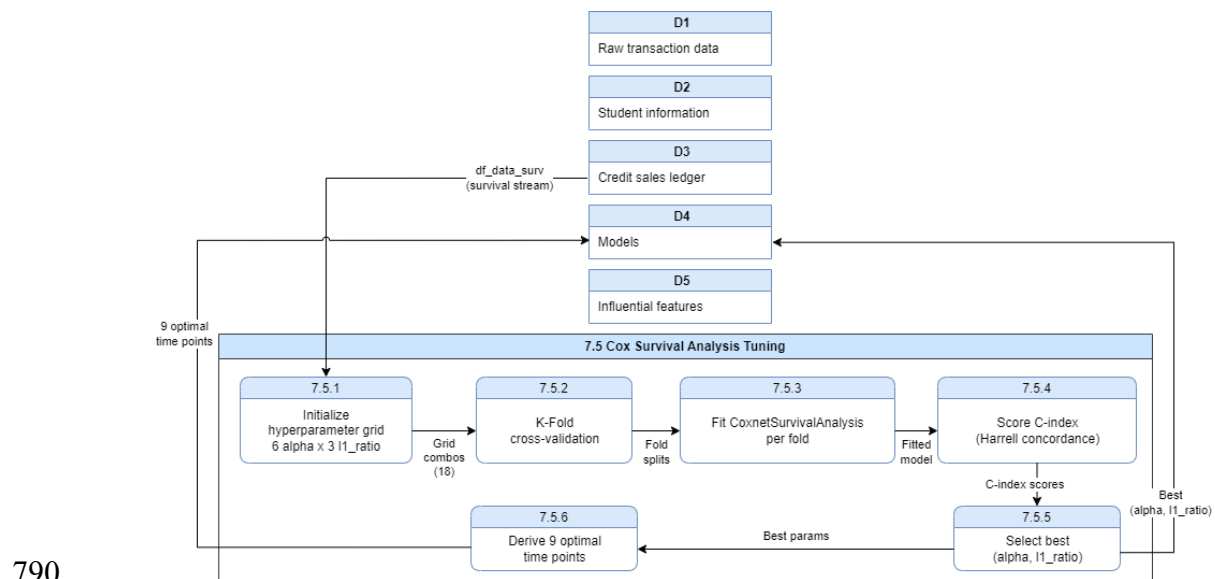


Figure 3.5: Level-1 DFD of the Modeling component.

The modeling component operates two concurrent training pipelines. The baseline pipeline trains all fifteen classifier architectures directly on the ML training data stream received from Process 5.0. The survival-augmented pipeline first routes the survival analysis data stream through Process 7.5 (Cox Survival Analysis Tuning), which identifies optimal hyperparameters and nine evaluation time points, and then through Process 8.5 (Survival Feature Generation), which appends 20 survival-derived features per sample to produce an enhanced dataset; the same fifteen architectures are then trained on this augmented feature set. Both pipelines share the same temporal split, balancing strategy, and hyperparameter grid, ensuring that any performance difference between the baseline

784 and enhanced conditions is attributable solely to the survival-derived features. Evaluation
 785 metrics and feature importance scores from both pipelines are logged to the results database
 786 for aggregation in Process 12.0.

787 Figure 3.6 presents the Level-2 DFD of Process 7.5 (Cox Survival Analysis Tuning),
 788 detailing the six sub-processes from hyperparameter grid initialization through optimal
 789 time-point derivation.

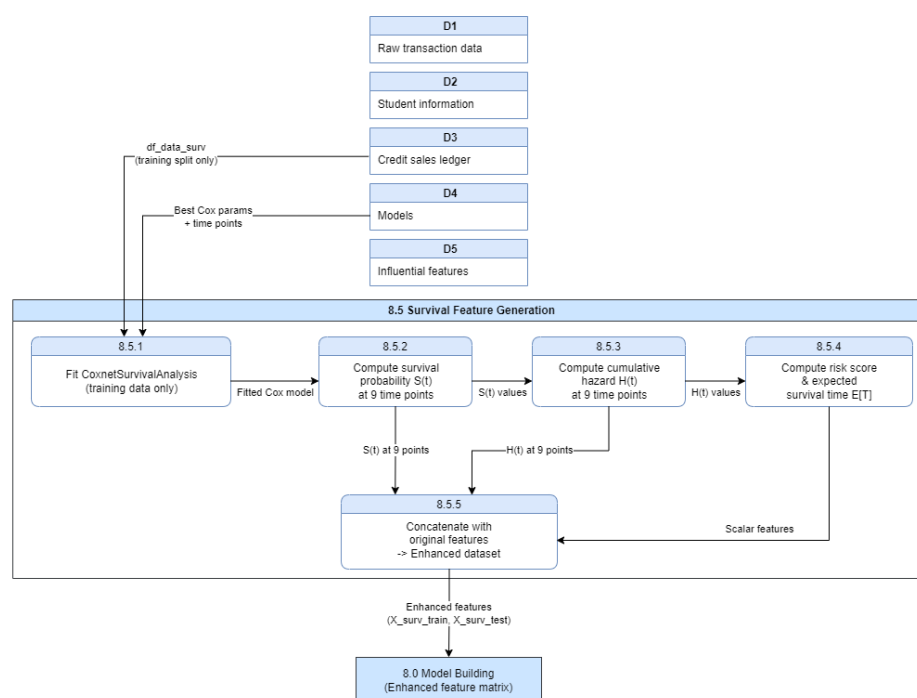


790
 791 **Figure 3.6: Level-2 DFD of Process 7.5, Cox Survival Analysis Tuning.**

792 The diagram decomposes Process 7.5 into six sequential sub-processes executed by
 793 the CoxHyperparameterTuner. Sub-process 7.5.1 initializes the hyperparameter search
 794 grid: six values of the regularisation strength alpha (0.001, 0.01, 0.05, 0.1, 0.5, 1.0) are
 795 combined with three values of the elastic-net mixing parameter l1_ratio (0.5, 0.75, 1.0),
 796 yielding eighteen candidate configurations. Sub-process 7.5.2 partitions the training
 797 portion of the survival analysis stream into k folds for cross-validation. Sub-process 7.5.3
 798 fits a CoxnetSurvivalAnalysis model (scikit-survival) on the training folds of each
 799 configuration. Sub-process 7.5.4 scores the fitted model on each held-out validation fold

800 using Harrell's concordance index (C-index), a rank-based measure of how well the model
 801 orders samples by risk. Sub-process 7.5.5 selects the configuration with the highest mean
 802 C-index across all folds as the best hyperparameter set; the full grid search results are also
 803 written to `cox_tuning_report.xlsx` for audit. Sub-process 7.5.6 derives nine optimal
 804 evaluation time points from the observed event distribution using a slope-change algorithm
 805 applied to the Kaplan-Meier survival curve; these time points represent periods of greatest
 806 informational density in the observed settlement distribution and are passed along with the
 807 best hyperparameters to Process 8.5.

808 Figure 3.7 presents the Level-2 DFD for Process 8.5 (Survival Feature Generation),
 809 detailing the five sub-processes that produce per-sample features for survival probability,
 810 cumulative hazard, risk score, and expected survival time.



811 **Figure 3.7: Level-2 DFD of Process 8.5, Survival Feature Generation.**

815 The diagram decomposes Process 8.5 into five sequential sub-processes. Sub-
 816 process 8.5.1 fits a CoxnetSurvivalAnalysis model using the best hyperparameters from
 817 Process 7.5 exclusively on the training partition of the survival analysis stream, preventing
 818 data leakage from test-set survival patterns. Sub-process 8.5.2 applies the fitted model to
 819 both partitions and, at each of the nine optimal time points, computes the survival
 820 probability $S(t)$: the estimated likelihood that an invoice remains unpaid beyond time t .
 821 Sub-process 8.5.3 computes the cumulative hazard $H(t)$ at each of the nine time points: the
 822 accumulated probability of settlement up to and including time t . Sub-process 8.5.4
 823 computes two scalar summaries per sample: the risk score, derived from the exponentiated
 824 log-hazard ratio, and the expected survival time $E[T]$; a safeguard clips the linear predictor
 825 to the range $[-10, +10]$ before exponentiation to prevent numerical overflow. Sub-process
 826 8.5.5 concatenates the original features with the 18 time-varying features ($9 \times S(t) + 9 \times$
 827 $H(t)$) and the two scalar features (risk score, $E[T]$) to produce the enhanced dataset
 828 alongside the unmodified baseline dataset; both datasets are forwarded to Process 8.0
 829 (Model Building) to enable a direct paired comparison between baseline and survival-
 830 augmented classification performance.

831 Figure 3.8 presents the Level-2 DFD of Process 8.0 (Model Building), showing the
 832 three sub-process categories: base classifier training (8.1), ordinal classifier training (8.2),
 833 and two-stage ensemble classifier training (8.3).

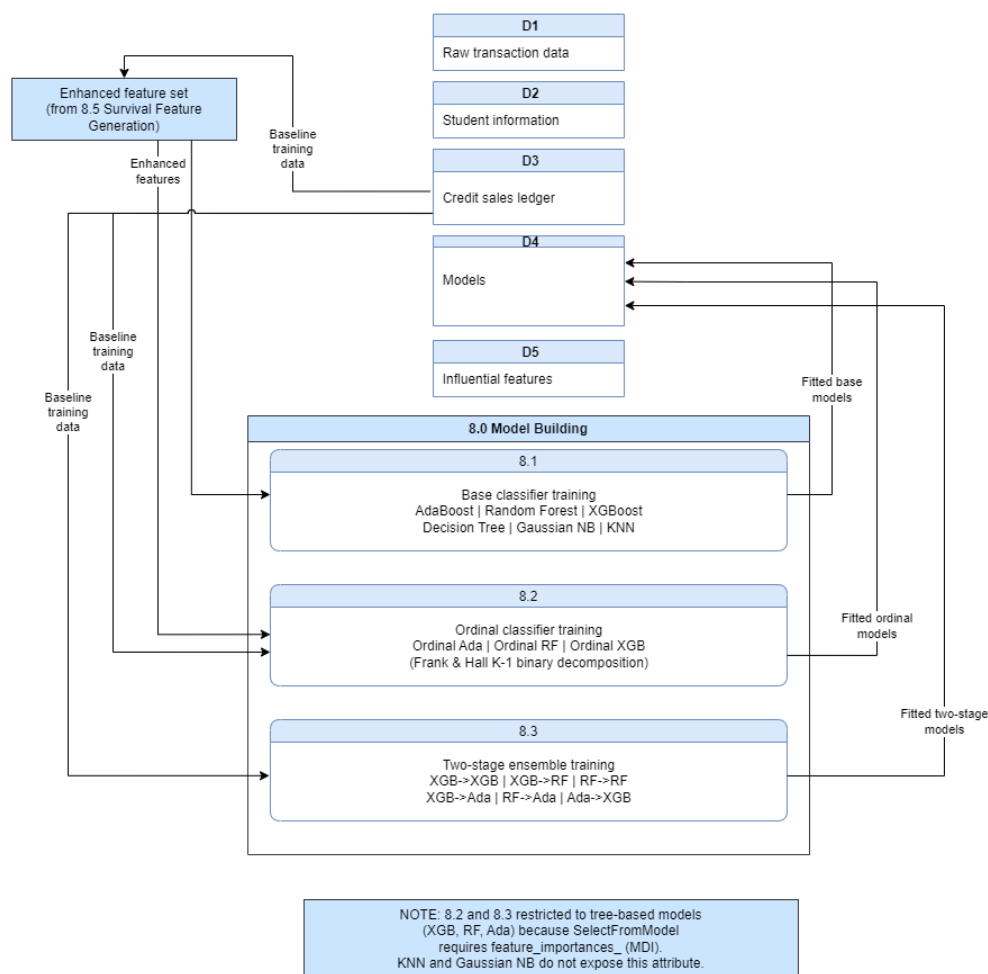


Figure 3.8: Level-2 DFD of Process 8.0, Model Building.

The diagram decomposes Process 8.0 into three concurrent sub-processes that collectively train fifteen classifier variants. Sub-process 8.1 trains six base classifiers (AdaBoost, Random Forest, XGBoost, Decision Tree, Gaussian Naive Bayes, and K-Nearest Neighbors) on both the baseline and enhanced feature sets. Sub-process 8.2 trains three ordinal classifiers using the Frank and Hall (2001) K-1 binary decomposition: for the four payment outcome classes, three binary classifiers are trained to estimate $P(y > 0)$, $P(y > 1)$, and $P(y > 2)$ respectively; class probabilities are recovered as sequential differences and renormalized after clipping negative values to zero. Only tree-based estimators are used for ordinal classifiers because the feature selection step (Process 9.0) relies on mean

845 decrease in impurity (MDI) importance scores, which require the estimator to expose a
846 `feature_importances_` attribute unavailable in K-Nearest Neighbors and Gaussian Naive
847 Bayes. Sub-process 8.3 trains six two-stage ensemble classifiers: each pipeline first trains
848 a binary Stage 1 model to classify an invoice as on-time versus late, then trains a multiclass
849 Stage 2 model on the late-only subset to discriminate the 30-day, 60-day, and 90-day
850 brackets; final class probabilities are computed as $P(\text{class } k, k > 0) = P(\text{late}) \times P(\text{class } k \mid$
851 $\text{late})$. All fifteen classifiers are trained in parallel using scikit-learn's joblib backend
852 (`n_jobs=-1`), and their evaluation metrics and feature importance scores are written to the
853 results database for aggregation in Process 12.0.

854 Grid search hyperparameter tuning was employed to identify the optimal model
855 configurations. The specific parameter grids applied to each model type and family are
856 presented in Tables 3.4, 3.5, and 3.6 found on the next pages, corresponding to the base,
857 ordinal, and multi-step classifiers, respectively.

858 The following table presents the hyperparameter grid searched for the base classifier
 859 configurations.

860 **Table 3.4. Hyperparameters used (Base Models).**

Model	Tuned Parameters	Fixed Parameters	Configs
AdaBoost	learning_rate: {0.01, 0.1, 0.5, 1.0} n_estimators: {50, 150}	algorithm: SAMME.R	7
Decision Tree	max_depth: {10, 20} min_samples_leaf: {1, 3, 5}	criterion: gini	6
Gaussian Naive Bayes	var_smoothing: {1e-9, 1e-8, 1e-7, 1e-6, 1e-5, 1e-4, 1e-3, 1e-2}	N/A	8
KNN	n_neighbors: {3, 5, 7} weights: {uniform, distance}	metric: minkowski	6
Random Forest	max_depth: {10, 20, 30} min_samples_leaf: {1, 3, 5} n_estimators: {100, 200, 300}	criterion: gini	21
XGBoost	max_depth: {3, 5, 6} learning_rate: {0.01, 0.05} n_estimators: {300, 500} subsample: {0.7, 0.8} colsample_bytree: {0.7, 0.8}	min_child_weight: 3, reg_alpha: 0.0, reg_lambda: 1.0	11
Total			59

861 The ranges reflect three constraints. The computational budget capped each grid at
 862 roughly ten configurations per model so that the full 1,092-experiment benchmark
 863 remained tractable; the specific values follow prior benchmarking literature, which finds
 864 diminishing returns beyond moderate tree depths and ensemble sizes [27]; and the
 865 XGBoost grid was additionally shaped by GPU memory constraints, favoring moderate
 866 depth with subsampling over exhaustive expansion.

867

868 The following table presents the hyperparameter grid searched for the ordinal
 869 classifier configurations.

870 **Table 3.5. Hyperparameters used (Ordinal Models).**

Model	Tuned Parameters	Fixed Parameters	Configs
Ordinal AdaBoost	learning_rate: {0.01, 0.1, 0.5, 1.0} n_estimators: {50, 150}	scale_pos_weight: false	7
Ordinal Random Forest	max_depth: {10, 20, 30} min_samples_leaf: {1, 3, 5} n_estimators: {100, 200, 300}	scale_pos_weight: false	17
Ordinal XGBoost	max_depth: {3, 5, 6} learning_rate: {0.01, 0.05} n_estimators: {300, 500} subsample: {0.7, 0.8} colsample_bytree: {0.7, 0.8}	min_child_weight: 3, reg_alpha: 0.0, reg_lambda: 1.0, scale_pos_weight: true	11
Total			35

871 The ordinal wrappers reuse the grids of their underlying base learners so that any
 872 performance difference is attributable to the Frank–Hall decomposition itself rather than to
 873 differential tuning effort. The `scale_pos_weight` flag is the only ordinal-specific addition,
 874 compensating for the shifting class ratios within each binary sub-problem.

The table below shows the hyperparameter grids for the two-stage model (binary first stage and multi-class second stage).

Table 3.6. Hyperparameters used (Two-Stage Models).

Model	Stage 1 Parameters		Stage 2 Parameters		Configs
	Tuned	Fixed	Tuned	Fixed	
Two-Stage XGB → XGB	max_depth: {3} lr: {0.01, 0.05} n_estimators: {300, 500}	subsample: 0.8 colsample: 0.8 mcw: 3	max_depth: {3, 5} lr: {0.01, 0.05} n_estimators: {300, 500}	subsample: 0.8 colsample: 0.8 mcw: 3	12
Two-Stage XGB → RF	max_depth: {3} lr: {0.01, 0.05} n_estimators: {300, 500}	subsample: 0.8 colsample: 0.8 mcw: 3	max_depth: {10, 20} min_samples_leaf: {1, 3} n_estimators: {200, 300}	criterion: gini	12
Two-Stage RF → RF	max_depth: {10, 20} min_samples_leaf: {1, 3} n_estimators: {200}	criterion: gini	max_depth: {10, 20} min_samples_leaf: {1, 3} n_estimators: {200, 300}	criterion: gini	12
Two-Stage XGB → Ada	max_depth: {3, 5} lr: {0.01, 0.05} n_estimators: {300, 500}	subsample: 0.8 colsample: 0.8 mcw: 3	learning_rate: {0.01, 0.1} n_estimators: {50, 150}	algorithm: SAMME.R	10
Two-Stage RF → Ada	max_depth: {10, 20} min_samples_leaf: {1, 3} n_estimators: {200, 300}	criterion: gini	learning_rate: {0.01, 0.1} n_estimators: {50, 150}	algorithm: SAMME.R	10
Two-Stage Ada → XGB	learning_rate: {0.01, 0.1, 0.5} n_estimators: {50, 150}	algorithm: SAMME.R	max_depth: {3, 5} lr: {0.01, 0.05} n_estimators: {300, 500}	subsample: 0.8 colsample: 0.8 mcw: 3	10
Total					66

878 Because each two-stage pipeline trains two models, the per-stage grids were
 879 deliberately kept compact to contain combinatorial growth; the tuned values focus on the
 880 parameters with the largest observed effects (depth, learning rate, ensemble size), while
 881 secondary regularization parameters were fixed at the values established in the base-model
 882 grids.

883 These influence scores are then fed into a dedicated feature selection process in
 884 Module 9.0, where the most predictive variables are retained. Table 3.7 presents the feature
 885 importance method used for each model type.

886 **Table 3.7. List of the feature importance methods used per model.**

Model	Feature Importance Method
Decision Tree	Gini importance
Random Forest	Mean decrease in impurity (MDI) or Permutation importance
AdaBoost	Importance derived from the weighted sum of weak learners (decision stumps/trees).
XGBoost	Multiple metrics: Gain (improvement in accuracy from splits), Cover (number of samples affected), and Frequency (split count).
Gaussian Naive Bayes	Feature influence comes from likelihoods (mean and variance per class).
KNN	Permutation importance

887

888 The methods differ because feature attribution must respect each model's internal
889 structure: impurity-based measures suit tree learners; the gain/cover/frequency metrics
890 decompose XGBoost's boosted splits; likelihood parameters expose Gaussian Naive Bayes'
891 per-class evidence; and model-agnostic permutation importance covers learners such as
892 KNN that lack intrinsic attribution. Normalizing these scores per experiment allows for
893 comparison of importance rankings across model families in Chapter 4.
894

895 3.6 Experimental Design and Evaluation

896 The benchmark encompasses 1,092 unique configurations (15 models $\times$ 7
897 balancing strategies $\times$ $\sim$ 10 parameter sets $\times$ 2 feature regimes). Models were evaluated
898 using a temporal 70/30 train–test split, where the training set comprised invoices with due
899 dates before March 7, 2025, and the test set included invoices due on or after that date.
900 Given the extreme class imbalance (Class 0 dominates at $\sim$ 76%), macro-averaged F1-score
901 was selected as the primary performance metric, supplemented by Area Under the Receiver
902 Operating Characteristic Curve (ROC-AUC) and confusion matrix analysis to assess per-
903 class recall.

904 The temporal split was deliberately chosen over random cross-validation: invoices
905 are not exchangeable over time, and a random split would leak future payment behavior
906 into the training set, inflating measured performance relative to deployment conditions.
907 Training on all invoices due before March 7, 2025, and testing on those due afterward,
908 reproduces the situation the school faces in production, predicts forthcoming invoices from
909 historical behavior, and exposes the models to any distribution drift across school years.
910 The class imbalance statistics underscore the choice of metric. With Class 0 at roughly
911 76% of records, raw accuracy is dominated by the majority class, while the minority classes
912 that carry the greatest financial risk contribute the least to it. Macro-averaged F1 corrects
913 this by weighting all four classes equally, ROC-AUC complements it with a threshold-
914 independent view of separability, and confusion matrices retain the per-class recall that a
915 finance office ultimately acts on.

916 Figure 3.9 illustrates the distribution of the four payment brackets across the 6,527
917 training records used in this study.

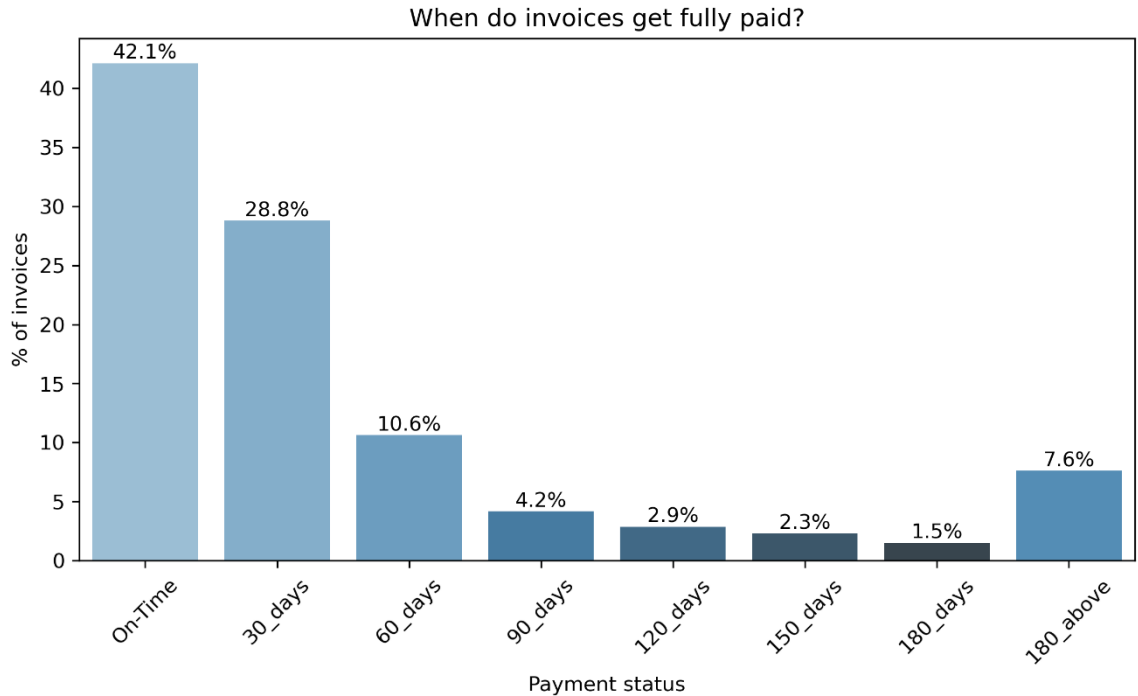


Figure 3.9: Distribution of payment statuses.

The distribution is extremely imbalanced: roughly 76% of invoices fall into Class 0 (on-time), while the three late brackets share the remainder, with the severest brackets the rarest. Left untreated, this imbalance lets a classifier achieve high accuracy by always predicting the majority class while failing on the late invoices that matter operationally. It is this property that necessitates the resampling strategies evaluated in the benchmark (SMOTE [43], Borderline-SMOTE [44], SMOTE-Tomek [45], and threshold-based hybrid undersampling) and that motivates macro-averaged F1, which weights all four classes equally, as the primary evaluation metric, consistent with standard practice in imbalanced classification [46].

The last module of the framework is the analysis phase, presented in Figure 3.10. After the benchmark completes, the analysis component aggregates the logged experiments for evaluation and comparison.

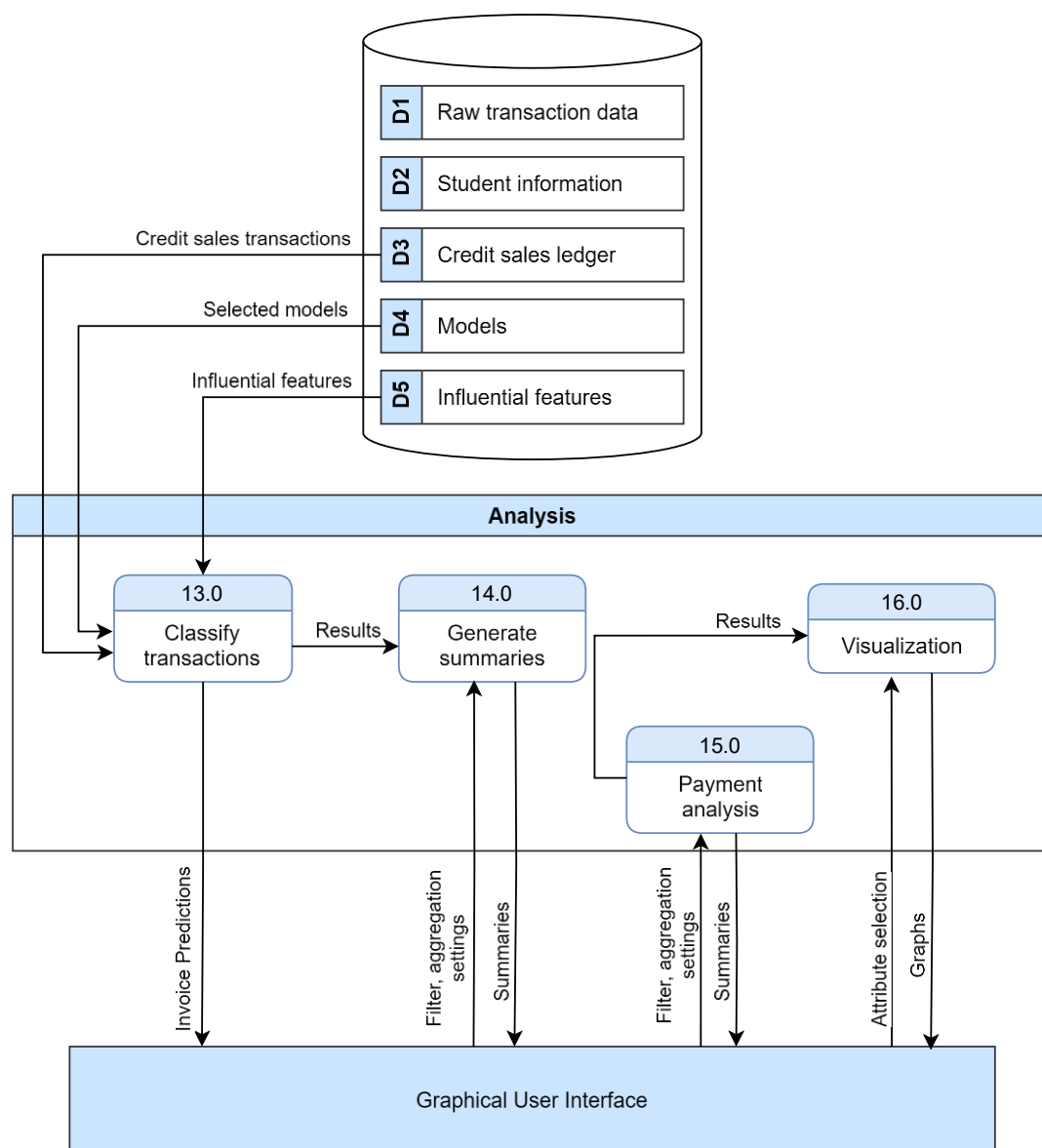


Figure 3.10: Level-1 DFD of the Analysis component.

The analysis component reads the per-experiment metrics, feature importance scores, and class mappings from the results database, ranks configurations by macro-F1 and ROC-AUC, and renders the comparative figures presented in Chapter 4. Keeping analysis decoupled from training means new experiments extend the same results store without rerunning prior configurations, and every figure in Chapter 4 is reproducible from the 1,092 logged experiments.

941 **3.7 Ethical Considerations**

942 Because the study processes sensitive student financial records and produces
943 predictions about identifiable behavior, two ethical dimensions require explicit treatment:
944 the privacy of the data used to train the models, and the manner in which the resulting
945 predictions may be used.

946 **3.7.1 Data Privacy**

947 The dataset contains sensitive student financial records, and privacy was addressed
948 before any analysis took place. All student identifiers were pseudonymized using a
949 deterministic, irreversible hash implemented in a dedicated pseudonymization utility in the
950 project codebase; no real names or student numbers appear in any processed file, and the
951 mapping cannot be reversed from the published artifacts. Raw data files are never
952 committed to version control; their exclusion is enforced through the repository's ignore
953 rules, so the source records exist only within the institution's systems and the researchers'
954 controlled working environment. These measures ensure the study complies with the Data
955 Privacy Act of 2012 (Republic Act 10173) [47], which governs the processing of personal
956 information in the Philippines and requires that such processing be limited to declared,
957 legitimate purposes and accompanied by proportionate safeguards. Data access was
958 granted under written institutional authorization, reproduced as Appendix G, which defines
959 the scope of data access and the restrictions on its use. Finally, the predictive model outputs
960 are intended solely for institutional receivables management; they are not designed or
961 released for individual student profiling for any public purpose.

3.7.2 Ethical Use of Predictions

There is an inherent risk that machine-learning predictions of payment delinquency could be used to discriminate against students from families with poor payment histories, and the researchers explicitly acknowledge this risk. Three mitigations are recommended wherever the system is deployed. First, predictions should inform early outreach and support (earlier reminders, proactive restructuring of installment plans, or referrals to social welfare assistance) and should never result in punitive action against the student. Second, any intervention workflow built on the model must comply with Republic Act 11984 [11], which prohibits academic penalties, including examination denial, for outstanding balances; the system's outputs, therefore, cannot lawfully gate any academic activity. Third, the model should be audited periodically for demographic bias, comparing error rates across student segments, and retrained where disparities emerge. The study's framing is deliberately supportive rather than punitive: the goal is to enable schools to offer targeted payment assistance earlier, not to flag students for enforcement. This orientation is embedded in the recommendations of Chapter 5.

978

CHAPTER 4

979

RESULTS AND DISCUSSION

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The experimental results from 1,092 benchmark configurations reveal significant performance variances across model families, resampling strategies, and feature regimes. The macro-averaged F1 Score primarily ranks performance to account for the severe class imbalance.

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This chapter is organized around the four research questions posed in Section 1.3. Section 4.1 addresses RQ1 by comparing two-stage and ordinal ensemble architectures against single-stage base classifiers. Section 4.2 addresses RQ2, isolating the marginal contribution of survival-analysis-derived features. Section 4.3 addresses RQ3, evaluating seven class-balancing strategies across all model families. Section 4.4 examines the convergence of the two headline metrics and the resulting model selection criteria, and Section 4.5 addresses RQ4 by analyzing which granular features most consistently drive payment-bracket predictions. The chapter closes with a demonstration of the prototype system that operationalizes the best-performing model (Section 4.6) and an assessment of the pipeline's generalizability to public benchmark datasets (Section 4.7).

4.1 RQ1: Performance of Ensemble Architectures vs. Base Classifiers

Table 4.1 presents the peak macro-F1 and ROC-AUC scores for each model family under the enhanced feature regime, identifying the best individual model and the best resampling strategy within each family.

Table 4.1. Peak performance per model family (Enhanced Feature Regime).

FAMILY	PEAK F1	PEAK ROC-AUC	BEST INDIVIDUAL MODEL	BEST STRATEGY
TWO-STAGE	0.6003	0.8919	two_stage_xgb_ada	BORDERLINE_SMOTE
ORDINAL	0.5621	0.8205	ordinal_ada_boost	Hybrid (t=0.5)
BASE	0.5589	0.8607	Ada_boost	Hybrid (t=0.5)

The two-stage family leads on both headline metrics: its best configuration (two_stage_xgb_ada under Borderline-SMOTE) reaches a macro-F1 of 0.6003 and ROC-AUC of 0.8919, exceeding the best ordinal model by approximately 0.038 F1 and the best base classifier by approximately 0.041 F1. With respect to RQ1, this gap indicates that architectural decomposition, separating the on-time/late decision from delay-severity classification, yields a larger improvement than either exploiting class ordering alone (the ordinal family) or tuning strong single-stage learners. However, the modest margins also show that base ensembles remain competitive when paired with well-chosen resampling.

Figure 4.1 visualizes the full F1 and AUC lift of ordinal and two-stage variants over their corresponding base classifiers under the enhanced feature regime, making both the gains and the exceptions visible at a glance.

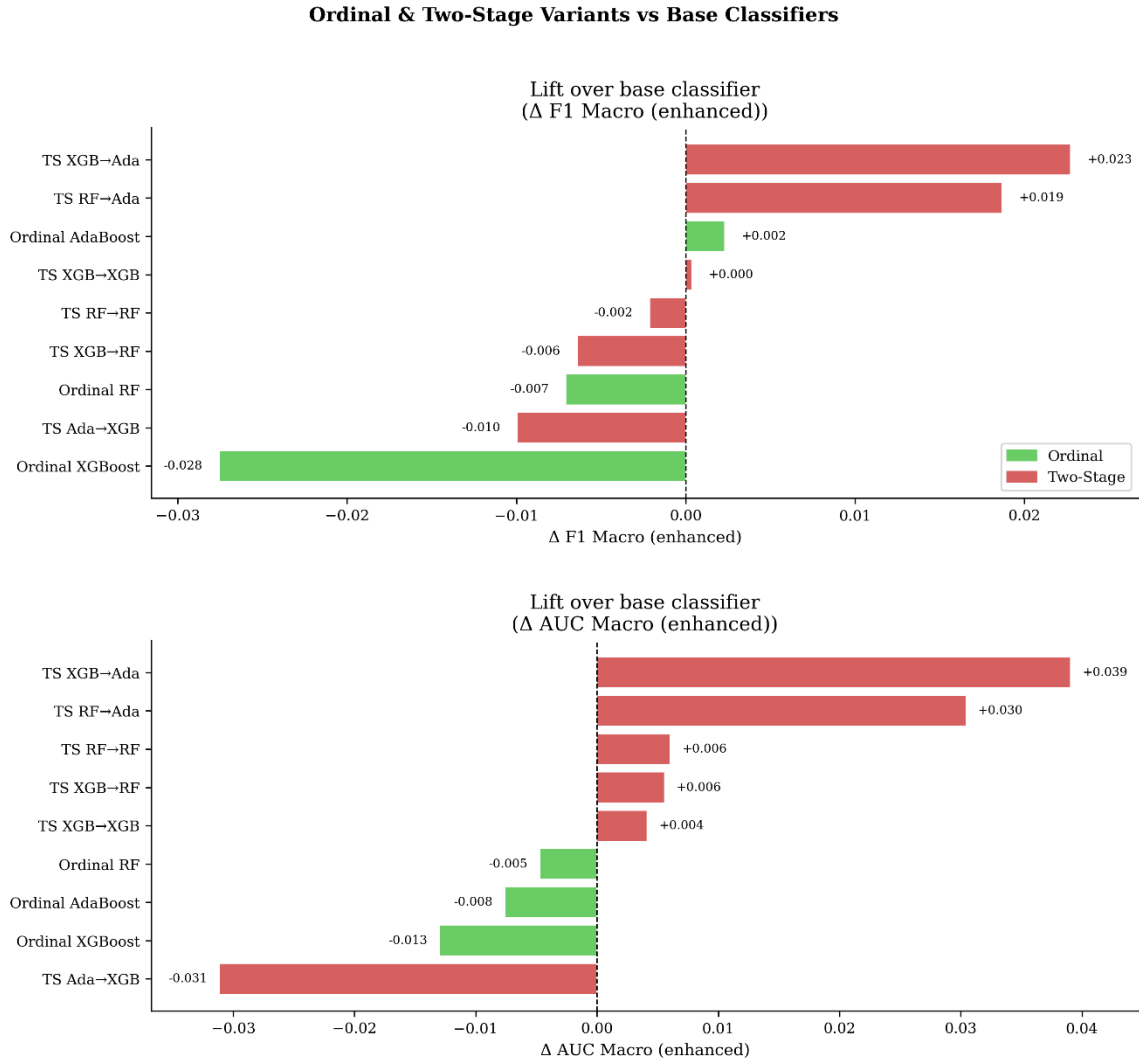


Figure 4.1: Ordinal & Two-Stage Variants vs. Base Classifiers (lift in F1 and AUC metrics).

The two-stage ensemble family clearly dominates at the top of the overall performance ranking (**Figure 4.1**). The best configuration, a Two-Stage XGBoost-to-AdaBoost pipeline with SMOTE resampling, achieves a macro-F1 of 0.6003 and an ROC-AUC of 0.8819. However, performance is highly sensitive to the choice of second-stage classifier: two-stage pipelines that route into AdaBoost yield the largest gains, while those routing into XGBoost (TS XGB→XGB, TS Ada→XGB) underperform their base

1020 classifiers. This suggests that hierarchical decomposition is most effective when paired
1021 with a complementary learner in Stage 2, rather than being universally beneficial.

1022 Ordinal classifiers provide modest and inconsistent gains over standard base
1023 models, confirming that while exploiting class ordering is beneficial, it is secondary to the
1024 architectural decomposition afforded by well-configured multi-stage pipelines. Among
1025 ordinal models, Ordinal AdaBoost ($F1 = 0.5621$) under hybrid resampling was the strongest
1026 performer.

1027 4.2 RQ2: Impact of Survival-Analysis-Derived Features

1028 The inclusion of survival-derived features produced a differential impact highly
1029 dependent on the base learner's architecture:

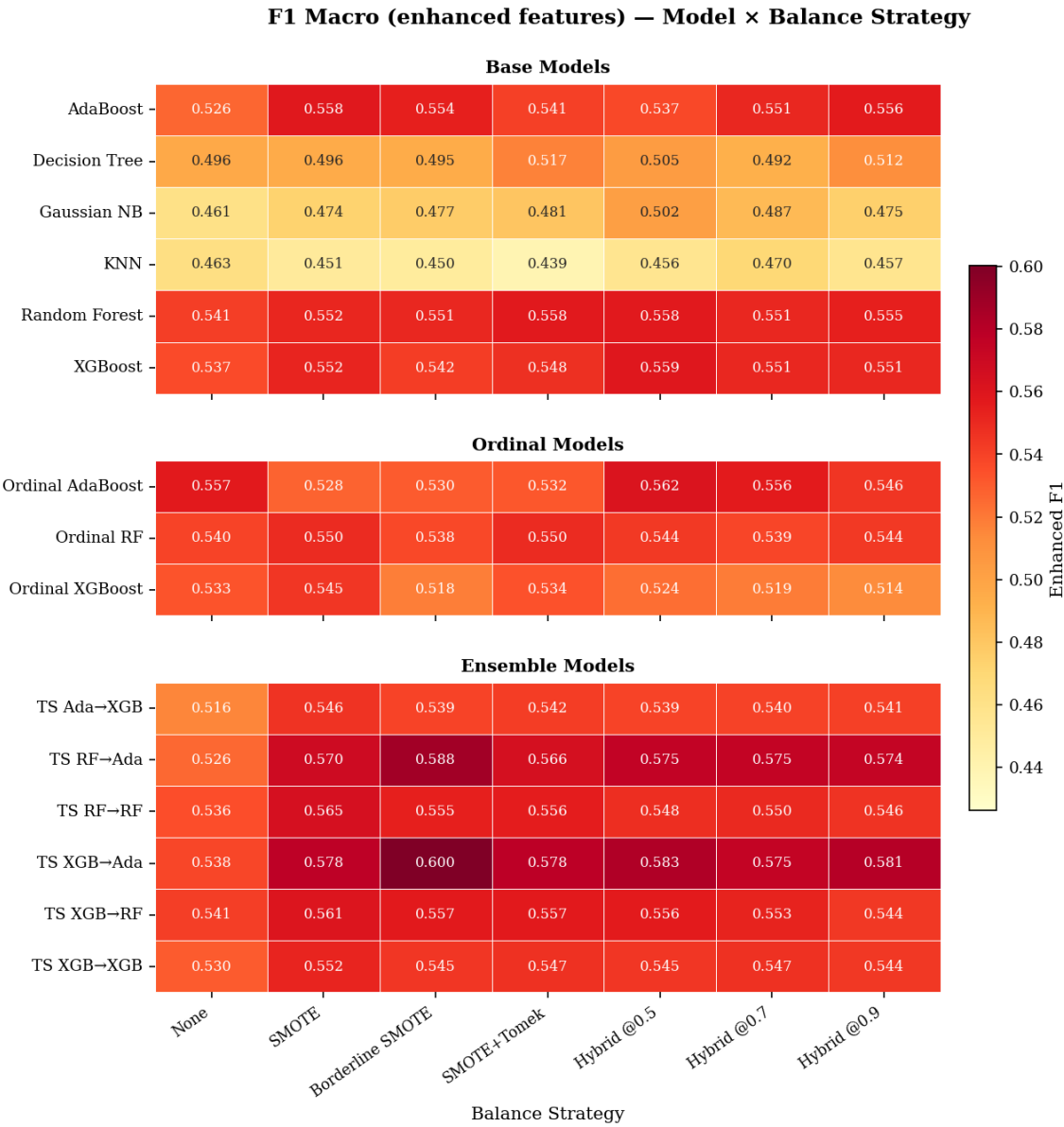
1030 **(a) Positive Lift:** Distance-based (KNN) and probabilistic (Gaussian Naive Bayes)
1031 models showed the highest mean F1 lifts (+0.0050 to +0.0061). These learners lack internal
1032 mechanisms to capture non-linear temporal interactions, making pre-computed survival
1033 statistics, such as partial hazard and survival probabilities, highly informative.

1034 **(b) Negligible-to-Negative Lift:** High-capacity tree-based ensembles (Random
1035 Forest, XGBoost, AdaBoost) exhibited neutral or weakly negative results. These models
1036 can independently approximate survival patterns through complex branch splits and feature
1037 interactions, rendering the Cox PH-derived features redundant or, in cases of small class
1038 sizes, noisy.

1039 This finding suggests a conditional feature-engineering strategy: survival features
1040 should be prioritized for simpler, faster models, but may be omitted for high-capacity
1041 ensembles to reduce computational overhead. The magnitude of the contribution is
1042 quantified visually by comparing the baseline-regime distributions in Figure 4.4 against
1043 their enhanced-regime counterparts in Figure 4.2, and the feature importance analysis
1044 presented in Section 4.5 (Figures 4.5 and 4.6) confirms the relative weight of survival
1045 features across model types.

1046 **4.3 RQ3: Effect of Class-Balancing Strategies on Model Performance**

1047 Figure 4.2 presents macro-F1 distributions across all model types and balancing
1048 strategies under the enhanced feature regime.



1049
1050 **Figure 4.2: F1 Macro by Model & Balance Strategy (enhanced features).**

1051 Borderline-SMOTE wins most consistently across model types, matching or
1052 exceeding vanilla SMOTE in nearly every column, while configurations without
1053 resampling trail for all but the strongest ensembles. The variance across strategies is itself
1054 informative: high-capacity ensembles are relatively robust to the choice of strategy,
1055 whereas KNN and Gaussian Naive Bayes swing substantially; strategy selection matters
1056 most for precisely the models least able to compensate internally.

Figure 4.3 presents ROC-AUC distributions across all model types and balancing strategies under the enhanced feature regime.

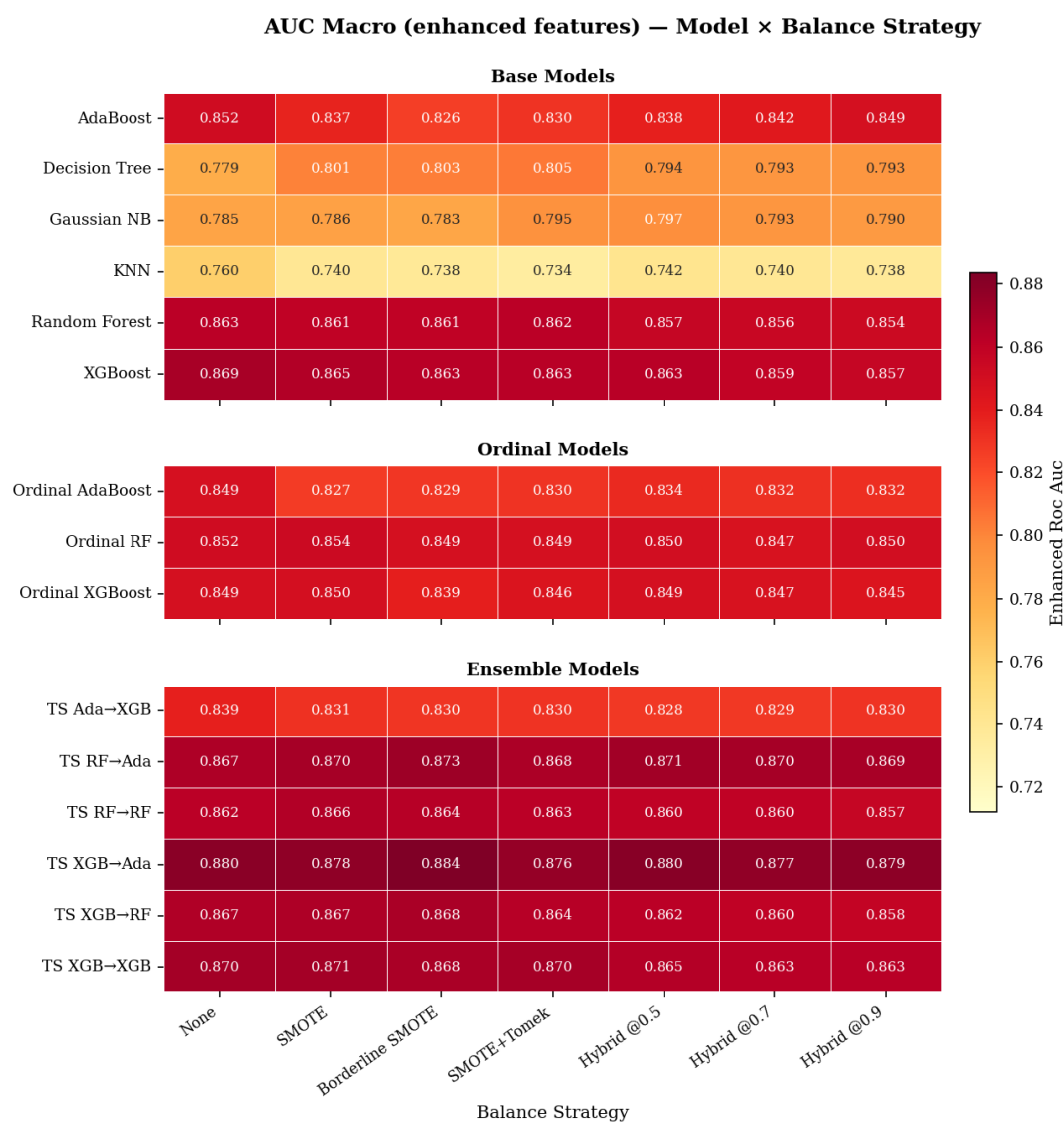


Figure 4.3: AUC Macro by Model & Balance Strategy (enhanced features).

The AUC view largely mirrors the F1 ranking; the same two-stage configurations top both charts, with the best AUC of 0.882 achieved by the two-stage XGBoost-to-AdaBoost pipeline under Borderline-SMOTE, but the spread between strategies is narrower than under F1. This indicates that resampling primarily improves the placement of the decision threshold rather than the underlying separability of the classes.

Figure 4.4 presents macro-F1 distributions by model and balancing strategy under the baseline feature regime, that is, without the five survival-analysis-derived features.

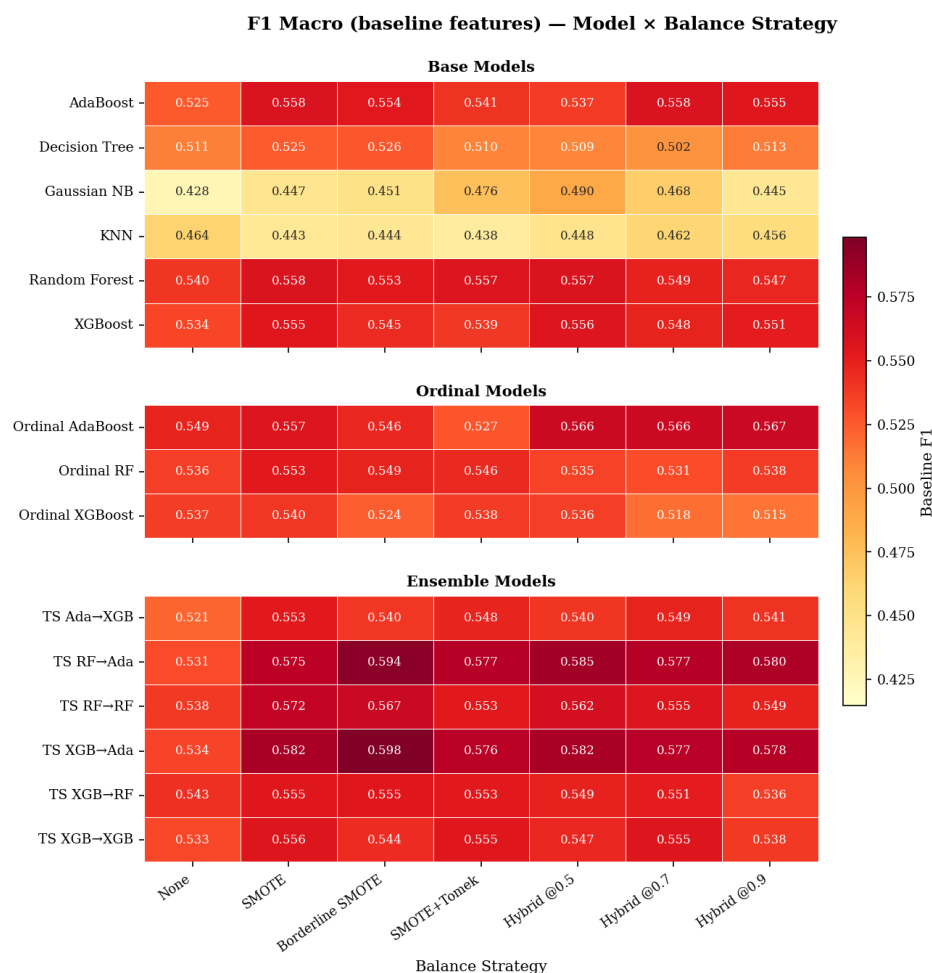


Figure 4.4: F1 Macro by Model & Balance Strategy (baseline features).

Comparing Figure 4.4 against Figure 4.2 quantifies the survival-feature contribution discussed in Section 4.2. The distributions shift upward modestly under the enhanced regime for distance-based and probabilistic models (mean F1 lifts of +0.0050 to +0.0061 for KNN and Gaussian Naive Bayes), while tree-based ensembles are essentially unchanged. The strategy rankings, however, are stable across the two regimes. Borderline-SMOTE leads in both cases, indicating that the resampling choice and the feature regime act as largely independent levers.

1077 Resampling is confirmed as the most critical preprocessing step. Borderline-
1078 SMOTE consistently outperforms or matches Vanilla SMOTE across most model–strategy
1079 combinations, with the peak F1 difference reaching approximately 0.022 for top-
1080 performing ensembles (e.g., TS XGB→Ada: 0.600 vs. 0.578 in **Figure 4.2**). Borderline-
1081 SMOTE also yields the highest observed ROC-AUC at 0.882 (TS XGB→Ada, **Figure**
1082 **4.3**). Hybrid undersampling strategies offer a moderate but stable alternative, with mean
1083 F1 values clustering around 0.54–0.58; however, their variance across model types remains
1084 notable. Weaker classifiers like KNN and Gaussian NB still lag substantially under hybrid
1085 strategies, limiting the claim that they are uniformly reliable when the classifier is not pre-
1086 selected.

1087 The impact of different balancing strategies on model performance is visualized in
1088 **Figure 4.2** and **Figure 4.3**, which show F1-score and ROC-AUC distributions across
1089 models and strategies using the enhanced feature set. Configurations without resampling
1090 tend to underperform resampled counterparts, particularly for weaker classifiers. However,
1091 certain ensemble models (e.g., Ordinal AdaBoost at 0.557 and TS RF→RF at 0.536) show
1092 competitive F1 scores even without resampling, suggesting that the magnitude of
1093 improvement is model-dependent. Baseline performance without feature engineering is
1094 shown in **Figure 4.4** for comparison, where similar patterns hold but with generally lower
1095 absolute scores for base and ordinal models.

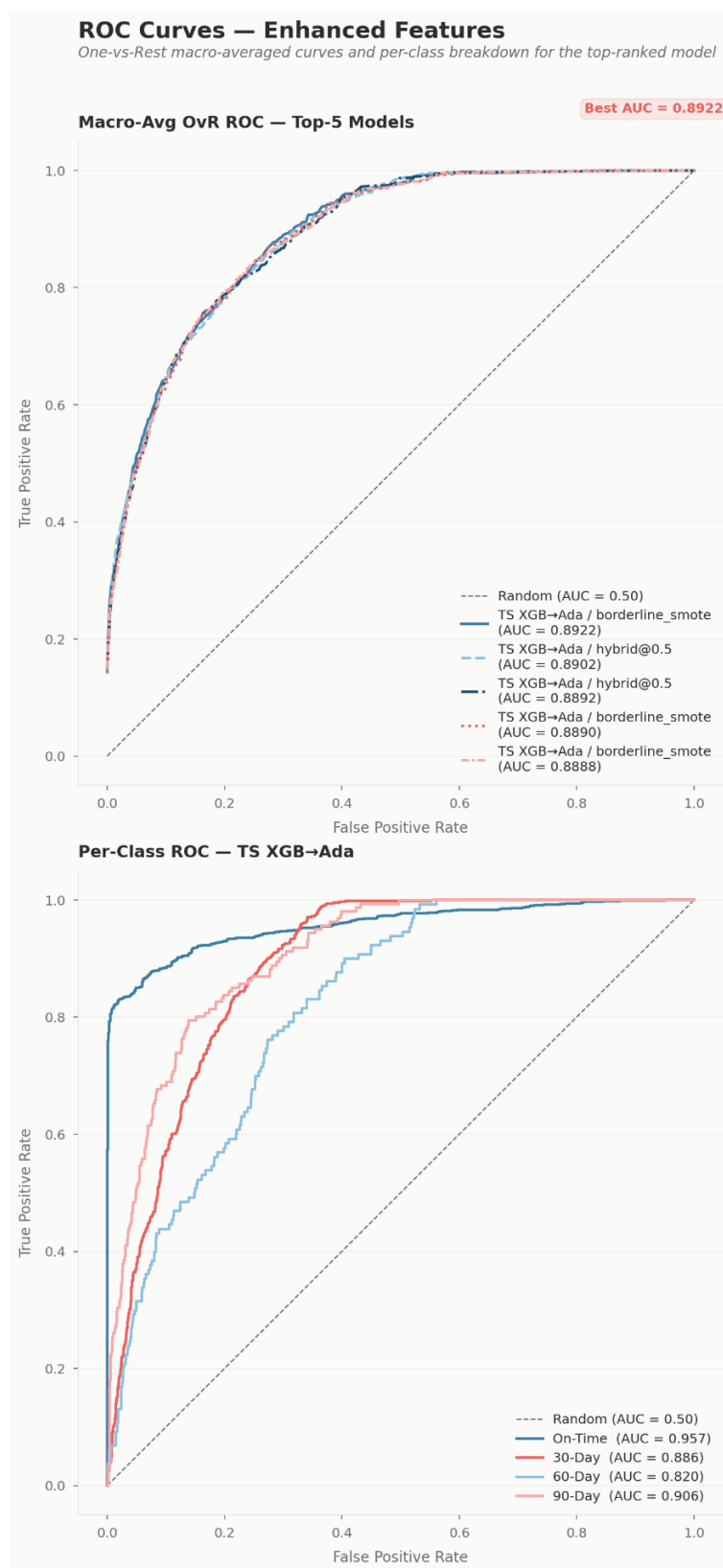
1096

1097 4.4 Metric Convergence and Model Selection Criteria

1098 Analysis of the Spearman rank correlation between macro-F1 and ROC-AUC (ρ
1099 $= 0.732$, $p < 0.001$) confirms a strong agreement between the two metrics. Models that
1100 excel at maximizing the harmonic mean of precision and recall also tend to provide
1101 superior class separation, validating macro-F1 as a reliable primary criterion for model
1102 selection in school finance applications.

1103 Figure 4.5, shown on the next page, presents ROC curves for the top-performing
1104 models, plotting the trade-off between true positive rate and false positive rate across
1105 classification thresholds.

1106 The curves separate cleanly from the diagonal chance line, with the two-stage
1107 XGBoost-to-AdaBoost configuration achieving the largest area under the curve
1108 (approximately 0.89). Its advantage is most pronounced in the low-false-positive region,
1109 which is the operationally relevant regime: a finance office acting on predictions wants
1110 high recall for late invoices while contacting as few on-time payers as possible.



1111

1112

Figure 4.5: ROC Curves for Top Models.

Figure 4.6 presents the confusion matrices of the top three models, detailing classification performance per payment bracket.

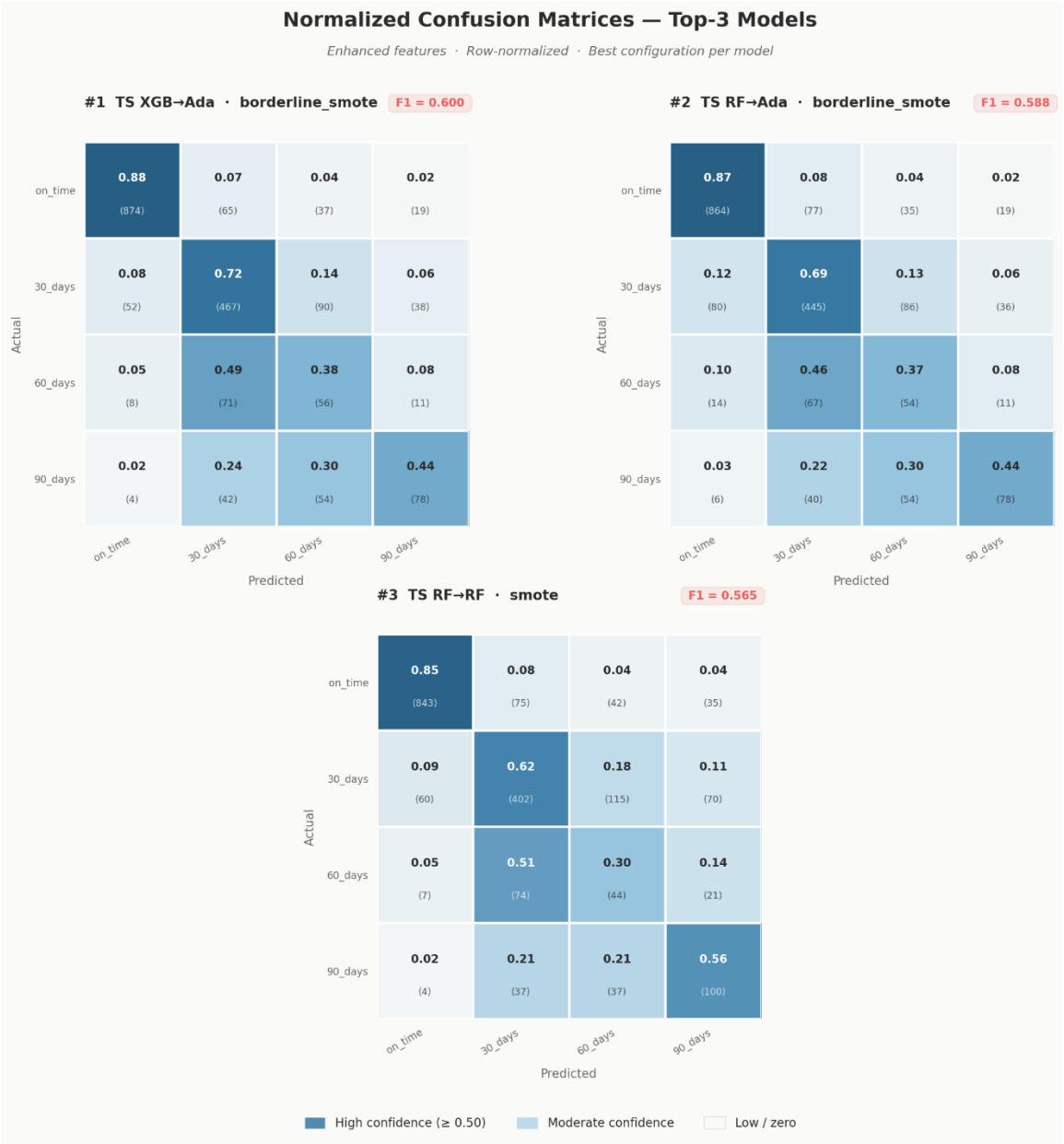


Figure 4.6: Confusion Matrices for Top 3 Models.

1118 The matrices reveal a consistent class-level pattern: Class 0 (on-time) recall is
1119 uniformly high and Class 1 (1–30 days late) is recovered reasonably well, but Classes 2
1120 and 3 remain difficult under every strategy, with a substantial share of 31–60 day invoices
1121 absorbed into neighboring brackets. The errors are predominantly ordinal-adjacent,
1122 misclassifications land one bracket away rather than at the opposite extreme, which
1123 moderates their operational cost, since an invoice flagged one bracket early still receives
1124 an intervention.

1125 The relationship between F1-score and ROC-AUC is further illustrated in **Figure**
1126 **4.5** (ROC Curves for Top Models), which shows the trade-off between true positive rate
1127 and false positive rate across various threshold settings. Confusion matrices for the top-
1128 performing models are presented in **Figure 4.6** to detail classification performance per
1129 payment bracket.

1130

1131 4.5 RQ4: Granular Feature Contribution

1132 Figures 4.7 and 4.8 present feature-importance scores aggregated across model
1133 types, revealing which variables most consistently drive payment-bracket predictions.

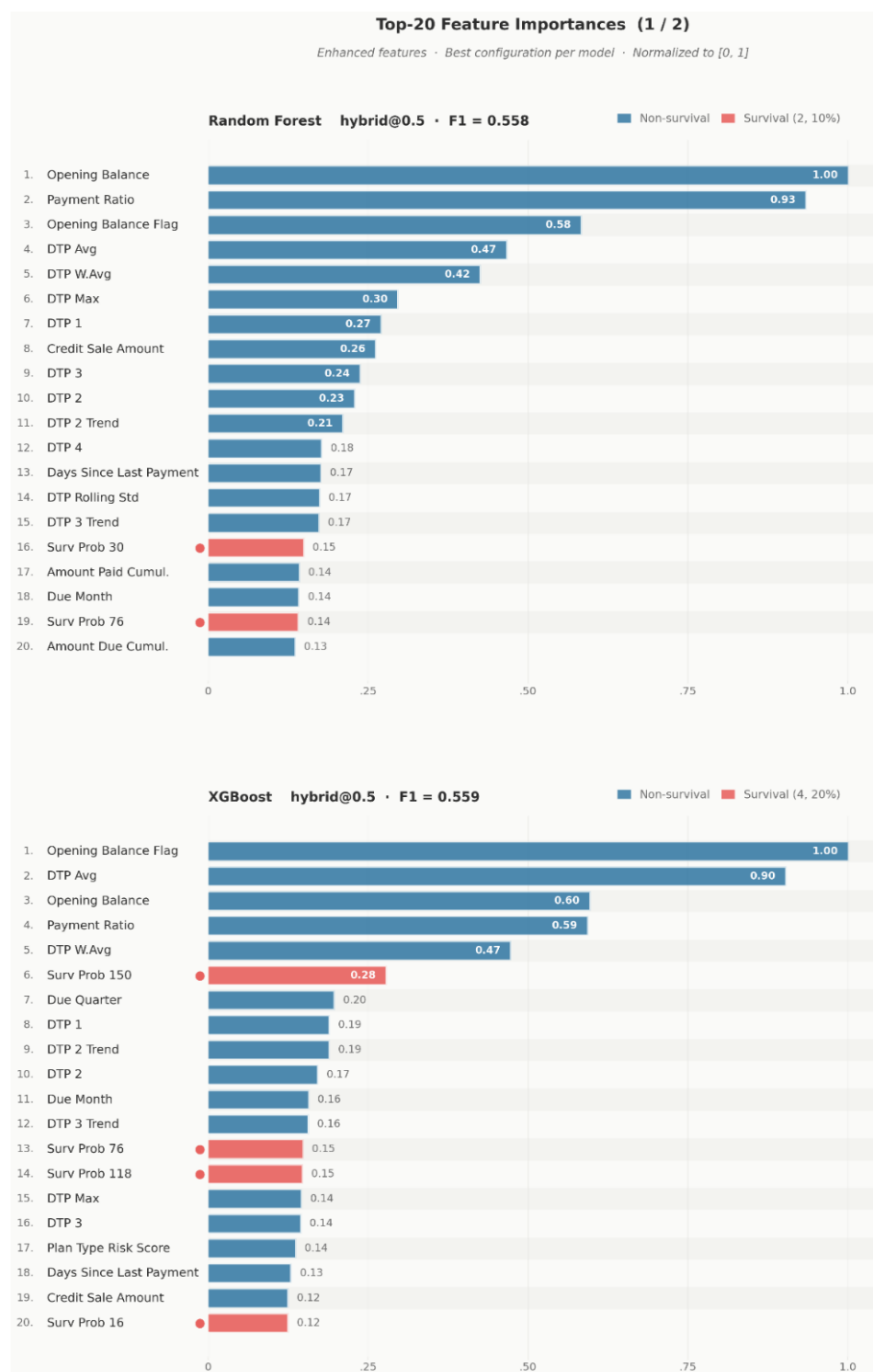


Figure 4.7: Feature Importance across Model Types (1 of 2).

1136 Figure 4.7 covers the first half of the model types, in which the same small set of
1137 behavioral variable heads appears in every ranking. Figure 4.8 continues the ranking with
1138 the remaining model types, allowing the cross-family comparison discussed on the next
1139 page.

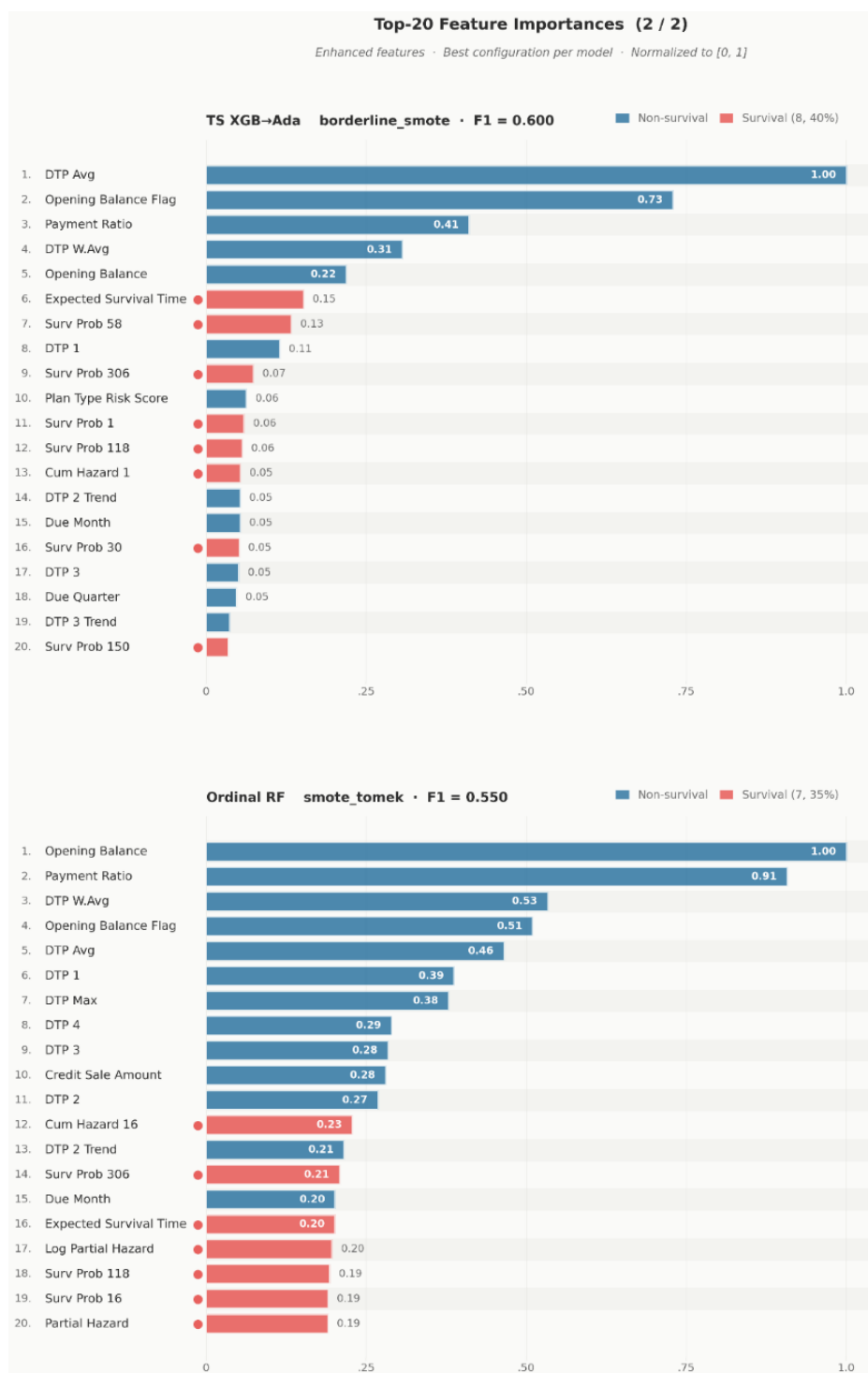


Figure 4.8: Feature Importance across Model Types (2 of 2).

1140

1141

1142

1143

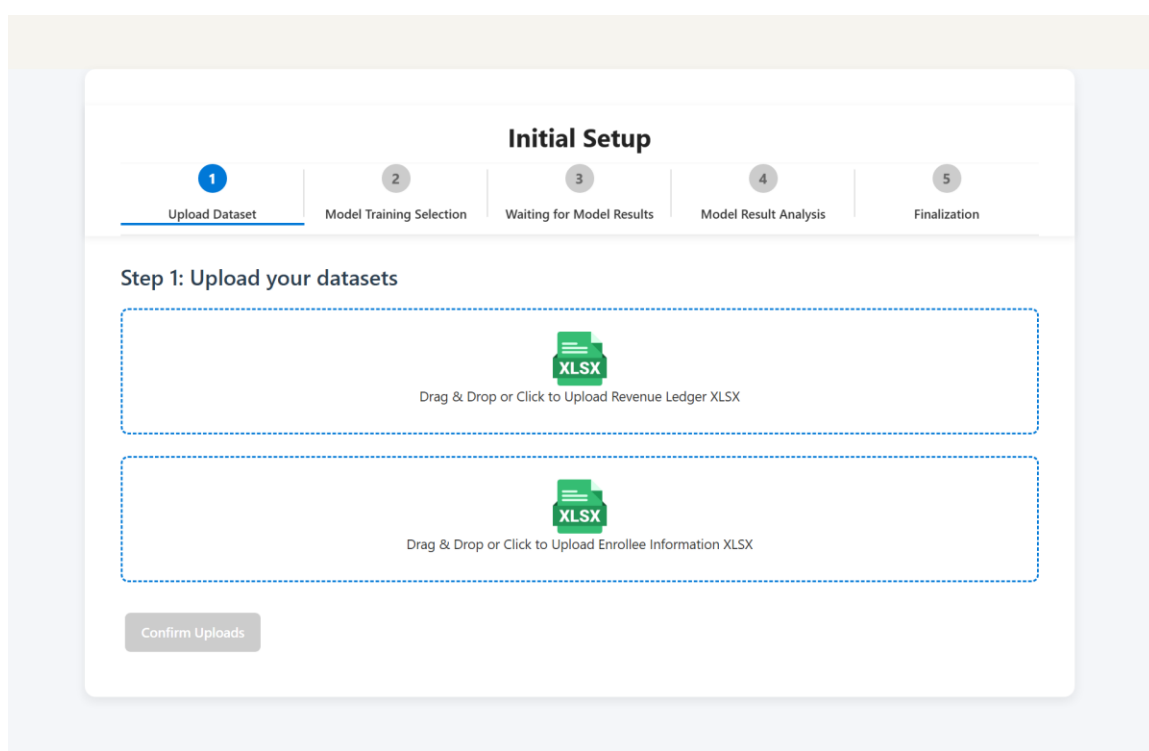
Three features dominate across model families: prev_bracket, the payment bracket of the student's most recent invoice; dtp_wavg, the recency-weighted average of historical

1144 days-to-payment; and opening_balance_flag, indicating whether the student carried an
1145 unpaid balance into the period. All three are behavioral-historical features engineered at
1146 the granular, line-item level described in Chapter 3, confirming the study's central design
1147 rationale with respect to RQ4: a student's payment future is best predicted by a compact
1148 summary of their payment past, and that summary is only available when invoices are
1149 tracked at category-level granularity rather than as aggregate balances.

1150 The exploratory linear discriminant analysis corroborates this ranking from a
1151 different angle. A four-class LDA on the training set finds that the first discriminant axis
1152 (LD1) explains 79.5% of between-class separation variance, and the features loading most
1153 heavily on it are opening_balance_flag, the log-transformed opening_balance,
1154 prev_bracket, and dtp_wavg, essentially the same compact behavioral set identified by the
1155 supervised importances. When the analysis is restricted to the three delinquent classes, LD1
1156 explains 95.9% of separation, indicating that delay severity behaves as a nearly one-
1157 dimensional behavioral construct. The agreement between this projection-based view and
1158 the supervised importance rankings strengthens confidence that these variables capture
1159 genuine structure rather than model-specific artifacts.

1160 4.6 Prototype Demonstration

1161 The benchmarking results are operationalized in a working prototype: a Dash
1162 (Python/Plotly) web application that serves as the study's delivery vehicle for institutional
1163 users. The prototype is best characterized as a Minimum Viable Product (MVP): a
1164 functional, working system that demonstrates the core workflow end-to-end, from raw data
1165 upload through model training to invoice-level prediction, while deferring selected non-
1166 core integrations to future development. An administrator interacts with five principal
1167 screens, described below.



1168

1169 **Figure 4.9: Multi-step initial setup wizard screen.**

1170 The entry point is a multi-step Initial Setup Wizard that guides the administrator
1171 through uploading the two institutional source files (revenues and enrollees) and triggering
1172 the training pipeline, removing any need to interact with code or notebooks.

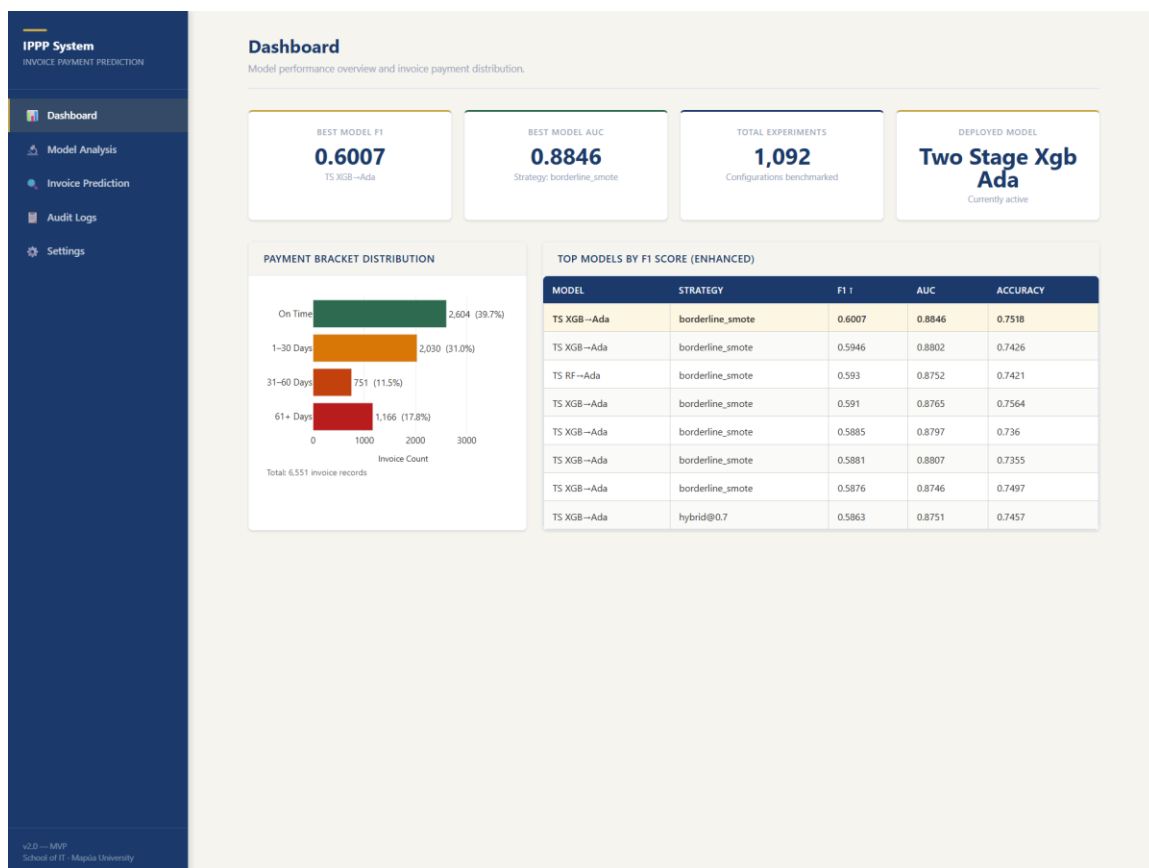


Figure 4.10: Main KPI dashboard screen.

Once training has been run, the KPI Dashboard loads live data from the results database on mount: four indicator cards report the best model's macro-F1, its ROC-AUC, the total number of logged experiments, and the name of the currently deployed model, alongside a payment-bracket distribution chart built from the processed invoice cache and a table of top models sorted by enhanced-regime F1. The screen gracefully falls back to an empty state when no training has been performed yet. For a school administrator, this view answers the first operational question: how reliable is the deployed model and what does the receivables mix look like, at a glance?

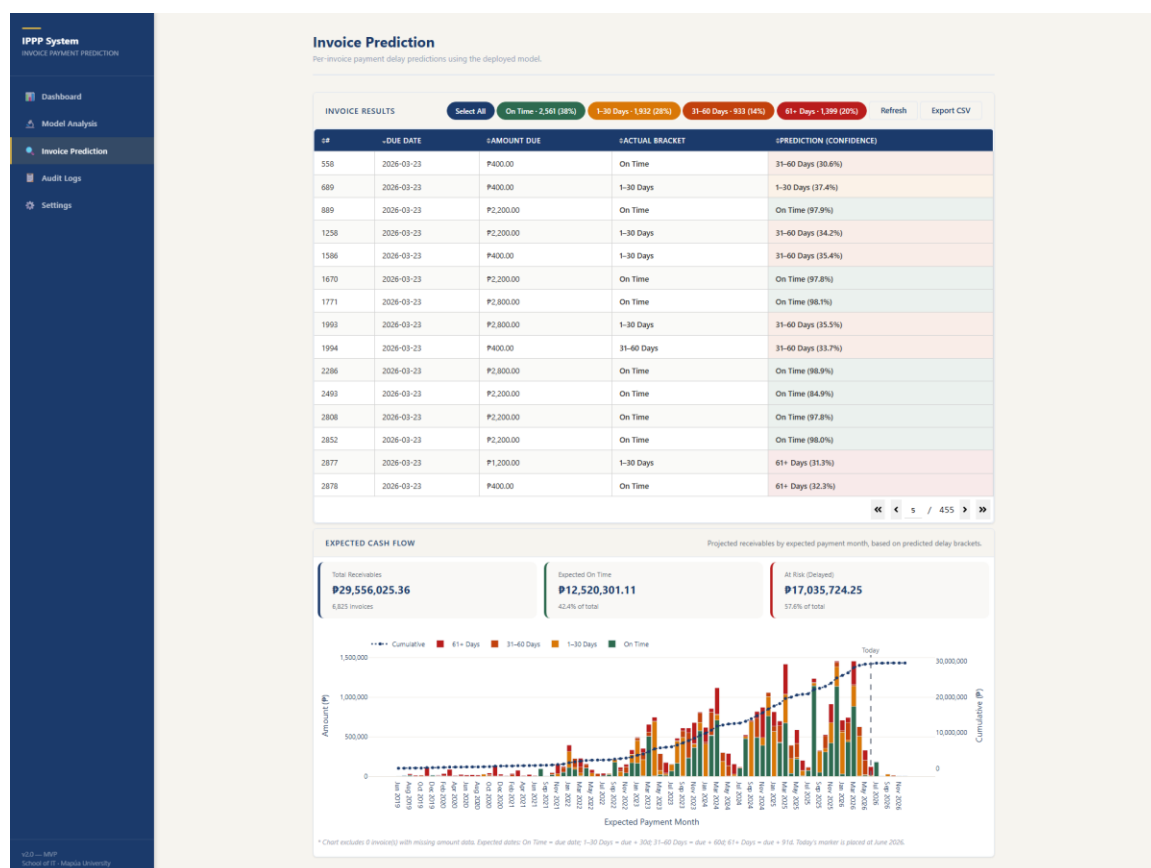


Figure 4.11: Invoice prediction drilldown screen.

The Invoice Prediction Drilldown is the screen where predictions become actionable. It loads the processed credit sales cache, runs the deployed inference pipeline's class and probability predictions across all invoice records, and displays a paginated table of invoice number, due date, amount, predicted payment bracket, prediction confidence, and the actual bracket where known. The administrator can filter the table by predicted bracket (isolating, for example, all invoices expected to fall 61 or more days late) and export the result to CSV for use in collection workflows; every prediction run is recorded in the audit log.

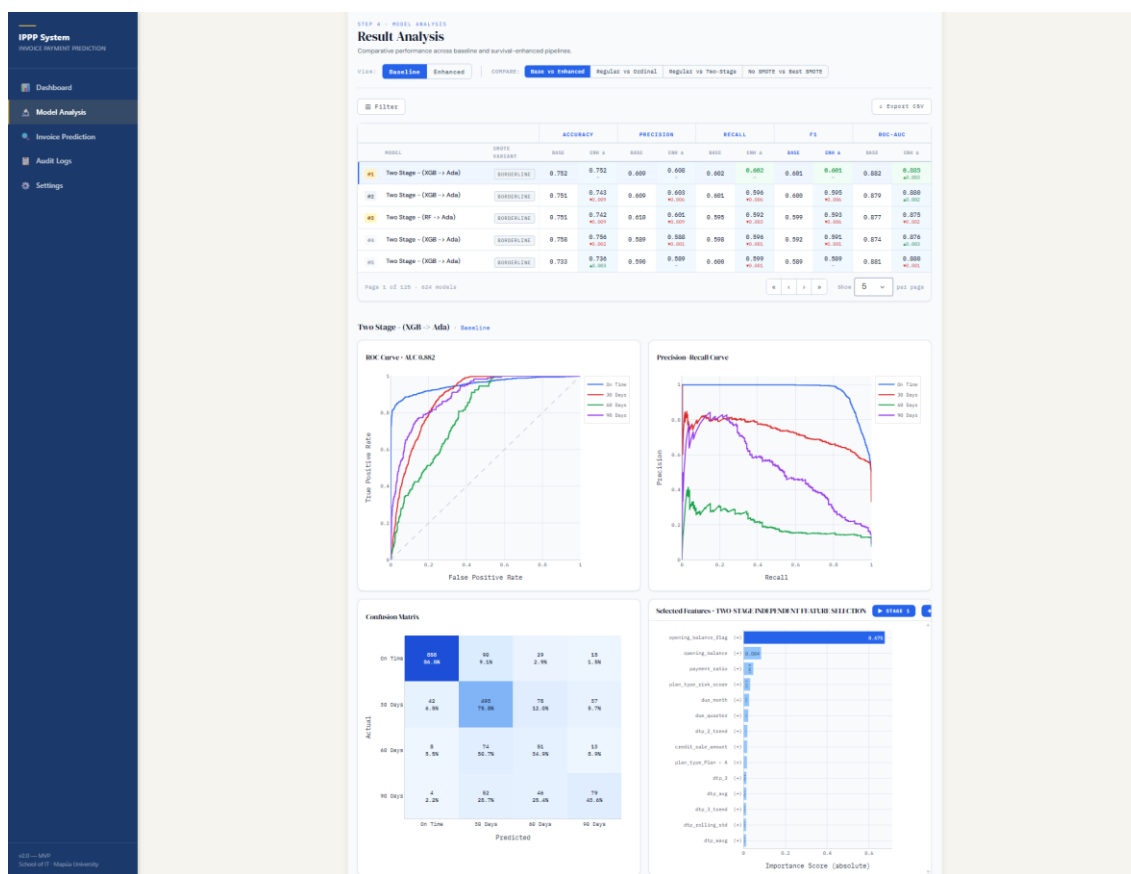


Figure 4.12: Comparative model dashboard screen.

The Comparative Model Dashboard provides the analytical depth behind the deployment choice, allowing filtering by model type and balance strategy and rendering ROC curves, confusion matrices, and F1/AUC comparison charts across all 1,092 experiment configurations.

EVENT LOG Refresh		
TIMESTAMP	ACTION	DETAILS
2026-06-16T21:26:42.669365+00:00	prediction_run	model=two_stage_xgb_ada, n_invoices=6825
2026-06-16T21:00:08.109992+00:00	prediction_run	model=two_stage_xgb_ada, n_invoices=6825
2026-06-16T20:45:14.772804+00:00	prediction_run	model=two_stage_xgb_ada, n_invoices=6825
2026-06-16T20:44:45.006596+00:00	prediction_run	model=two_stage_xgb_ada, n_invoices=6825
2026-06-16T20:06:40.355542+00:00	prediction_run	model=two_stage_xgb_ada, n_invoices=6825
2026-06-16T20:02:43.959598+00:00	prediction_run	model=two_stage_xgb_ada, n_invoices=6825
2026-06-16T19:10:11.975972+00:00	prediction_run	model=two_stage_xgb_ada, n_invoices=6620
2026-06-16T19:08:52.529827+00:00	prediction_run	model=two_stage_xgb_ada, n_invoices=6620
2026-06-16T19:03:52.402052+00:00	prediction_run	model=two_stage_xgb_ada, n_invoices=6620
2026-06-16T19:02:16.713045+00:00	prediction_run	model=two_stage_xgb_ada, n_invoices=6620
2026-06-16T19:00:28.258965+00:00	prediction_run	model=two_stage_xgb_ada, n_invoices=6620
2026-06-16T18:58:36.426771+00:00	prediction_run	model=two_stage_xgb_ada, n_invoices=6620
2026-06-16T18:56:47.899746+00:00	prediction_run	model=two_stage_xgb_ada, n_invoices=6620
2026-06-16T18:31:49.940073+00:00	prediction_run	model=two_stage_xgb_ada, n_invoices=6620
2026-06-16T18:30:59.774236+00:00	prediction_run	model=two_stage_xgb_ada, n_invoices=6620
2026-06-16T18:27:31.181660+00:00	prediction_run	model=two_stage_xgb_ada, n_invoices=6620
2026-06-16T18:23:10.768696+00:00	prediction_run	model=two_stage_xgb_ada, n_invoices=6620
2026-06-16T17:52:59.497683+00:00	prediction_run	model=two_stage_xgb_ada, n_invoices=6620
2026-06-16T17:13:45.971640+00:00	prediction_run	model=two_stage_xgb_ada, n_invoices=6620
2026-06-16T17:12:54.688465+00:00	prediction_run	model=two_stage_xgb_ada, n_invoices=6620

32 event(s) shown.

« 1 / 2 »

Figure 4.13: Audit logs screen.

Two supporting screens round out the MVP. The Audit Logs screen lists all system events (predictions run, settings saved, models loaded) with timestamps, actions, and details, and refreshes automatically every 30 seconds; this provides the accountability trail required for responsible institutional use (Section 3.7).

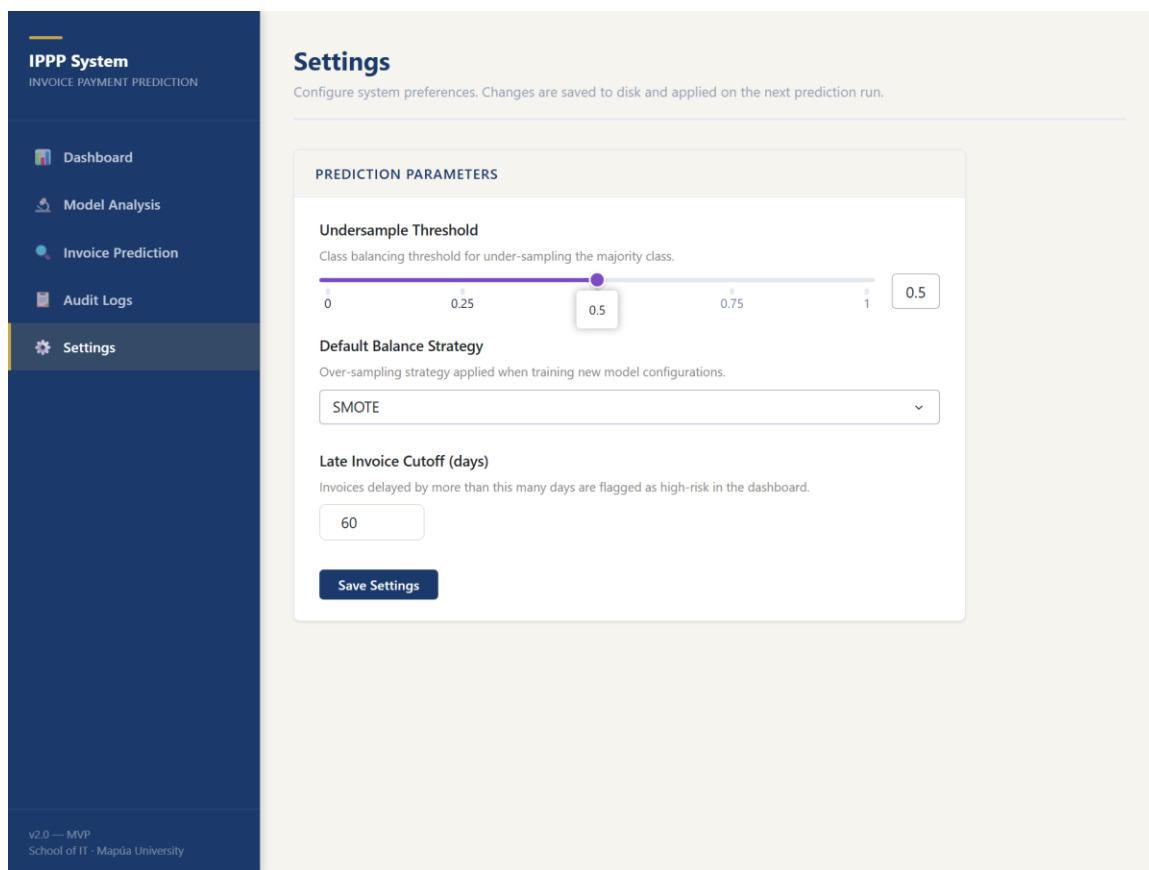


Figure 4.14: Settings screen.

The Settings screen exposes the undersample threshold, the default balance strategy, and the late-invoice cutoff, persisting preferences to a configuration file and logging each change. All five screens are implemented and functional in the MVP. One integration is deliberately deferred: a compatibility adapter that would map external dataset schemas (such as public Kaggle invoice datasets with columns like `invoice_date`, `due_date`, `amount`, `customer_id`, and `paid_date`) to the input schema expected by the feature-engineering pipeline. At present, only the proprietary three-file institutional schema is supported; the adapter and additional data source integrations are planned for future development (Section 5.4).

1216 4.7 Benchmark Dataset Generalizability

1217 The pipeline as implemented is designed around a specific institutional schema: the
1218 three Excel exports (revenues, enrollees, and chart of accounts) described in Section 3.2.
1219 Its strong results, therefore, demonstrate effectiveness for the partner institution's data
1220 model but not yet generalizability beyond it. The natural validation step is to benchmark
1221 the pipeline against publicly available invoice and accounts receivable datasets, such as
1222 those published on Kaggle under searches for "B2B invoice payment prediction,"
1223 "accounts receivable dataset," or "customer payment behavior." Doing so requires the
1224 compatibility adapter described in Section 4.6: a mapping layer that maps external columns
1225 to the schema expected by the feature-engineering pipeline and gracefully degrades when
1226 institution-specific variables (installment plan types, enrollment streaks, category-level fee
1227 structures) have no external equivalent. Because several of the study's strongest features
1228 are institution-specific, such benchmarking would also reveal how much of the measured
1229 performance stems from the granular school data model itself, which is informative in
1230 either direction. This evaluation is explicitly flagged as planned future work rather than a
1231 completed contribution of this study (Section 5.4).

CHAPTER 5

CONCLUSION AND RECOMMENDATION

5.1 Summary of Findings

This study benchmarked 1,092 experimental configurations to address the Invoice Payment Prediction Problem (IPPP) within a private educational context. By evaluating fifteen machine learning architectures across multiple resampling and feature engineering regimes, four conclusions emerge:

(1) Hierarchical architectures dominate: Two-stage ensemble classifiers, which separate the discrimination of on-time from late invoices before determining delay severity, consistently outperform single-stage and ordinal benchmarks. The `two-stage_xgb_ada` configuration represents the state of the art for this task ($F1 = 0.6002$).

(2) Resampling is indispensable: Given the heavy concentration of on-time payments, synthetic oversampling via SMOTE or Borderline-SMOTE is necessary to achieve meaningful recall for late-payment brackets.

(3) Ordinal structure yields modest utility: While exploiting the ordered nature of payment delay provides consistent gains under hybrid resampling, these improvements are marginal compared to the gains from multi-stage ensemble architectures.

(4) Survival feature impact is model-specific: Survival-analysis-derived features provide significant informative lift for distance-based and probabilistic models but offer redundant signals for high-capacity tree ensembles that can independently model temporal interactions.

1253 **5.2 Implications for Practice**

1254 For private educational institutions, these findings provide a directly deployable
1255 framework to shift from reactive collections to proactive cash flow management. The
1256 recommended production pipeline is a Two-Stage XGBoost-to-AdaBoost architecture
1257 trained with SMOTE resampling. Institutional administrators can leverage model outputs
1258 to identify high-risk accounts at the start of billing cycles and prioritize tailored
1259 interventions (e.g., early reminders for Class 1 vs. installment restructuring for Class 3).

1260 **5.3 Recommendation for Continuous Calibration**

1261 To account for temporal drift in payment behaviors caused by shifting
1262 socioeconomic conditions or changes in institutional policies, the researchers recommend
1263 that schools re-fit the Cox PH model and retrain the downstream classifiers annually. This
1264 ensures that the survival probabilities and partial hazard features remain calibrated to the
1265 latest student cohorts.

1266 **5.4 Future Directions**

1267 Future research and development should proceed along six directions. First,
1268 explainable AI integration: a SHAP value layer over the deployed two-stage model would
1269 let administrators see why an individual invoice is flagged as high risk, increasing the
1270 administrative trust on which adoption depends. Second, time-varying covariates within
1271 the Cox model would allow hazard estimates to update as partial payments arrive during
1272 the term, rather than fixing survival features at invoice issuance. Third, multi-institution
1273 federated learning would improve model generalizability while preserving student data
1274 privacy, since schools could train shared models without exchanging raw records. Fourth,

1275 the Dash prototype should be extended beyond its MVP scope, most notably through the
1276 Kaggle dataset compatibility adapter described in Sections 4.6 and 4.7, a mapping layer
1277 that would translate external invoice schemas onto the input format expected by the feature
1278 engineering pipeline, together with additional data source integrations beyond the three-
1279 file institutional export. Fifth, and enabled by that adapter, the pipeline should be tested on
1280 publicly available accounts receivable and invoice datasets to establish generalizability
1281 beyond the partner institution. Finally, deployments should adopt the retraining cadence
1282 recommended in Section 5.3: an annual recalibration of the Cox PH model and downstream
1283 classifiers to ensure that survival features and decision thresholds continue to track each
1284 new cohort's payment behavior.

1285

1286 **5.5 Conclusion**

1287 This study demonstrated that hierarchical ensemble decomposition is a viable
1288 architectural paradigm for the Invoice Payment Prediction Problem, outperforming both
1289 ordinal classifiers and single-stage baselines across most resampling and feature regimes
1290 tested. Across 1,092 controlled configurations, the two-stage XGBoost-to-AdaBoost
1291 pipeline established the performance ceiling at a macro-F1 of 0.6003 and ROC-AUC of
1292 0.8919. The experiments further demonstrated two structural results: that granular, line-
1293 item behavioral features (a student's previous bracket, weighted payment history, and
1294 carried balance) are the dominant predictive signal, and that survival-analysis feature
1295 engineering has conditional rather than universal utility, helping probabilistic and distance-
1296 based learners while adding little to high-capacity tree ensembles.

1297 These numbers have a concrete operational meaning for the partner school,
1298 connecting back to the significance articulated in Section 1.5. A macro-F1 of 0.60 on a
1299 four-class, heavily imbalanced problem means that if one hundred invoices fall due next
1300 month, the model places roughly sixty of the eventually-late ones in their correct delay
1301 bracket, and the confusion analysis in Section 4.4 shows that most of its remaining errors
1302 land in adjacent brackets rather than at the opposite extreme. Measured against the status
1303 quo (no forward visibility into receivables at all), this allows the finance office to focus
1304 outreach on the highest-risk invoices before due dates lapse: earlier reminders, proactive
1305 restructuring offers, and social welfare referrals, in place of after-the-fact collection, which
1306 RA 11984 has rendered largely unenforceable. Prediction, in other words, converts bad-
1307 debt exposure into earlier and gentler intervention.

1308 Beyond the single institution, the contribution is methodological. The study leaves
1309 behind a replicable benchmarking framework: a factorial protocol across model families,
1310 balancing strategies, and feature regimes, with every experiment logged in a queryable
1311 results store, along with a working prototype that operationalizes the winning
1312 configuration. Any institution facing the IPPP, educational or otherwise, can rerun the same
1313 protocol on its own records and obtain a defensible, evidence-based model selection rather
1314 than an imported assumption about what works.

1315 Predictive receivables management, finally, should be read as an instrument of
1316 institutional responsibility rather than financial surveillance. A school that can see payment
1317 difficulty coming can keep its programs funded without leaning on enforcement
1318 mechanisms the law has rightly removed, and can direct assistance to the families who
1319 need it. At the same time, there is still time to help. In aligning financial sustainability with
1320 educational equity, this study argues that predictive analytics becomes part of responsible
1321 governance, and that the gap between what schools can know and what they currently act
1322 on is precisely where data science has the most to offer.

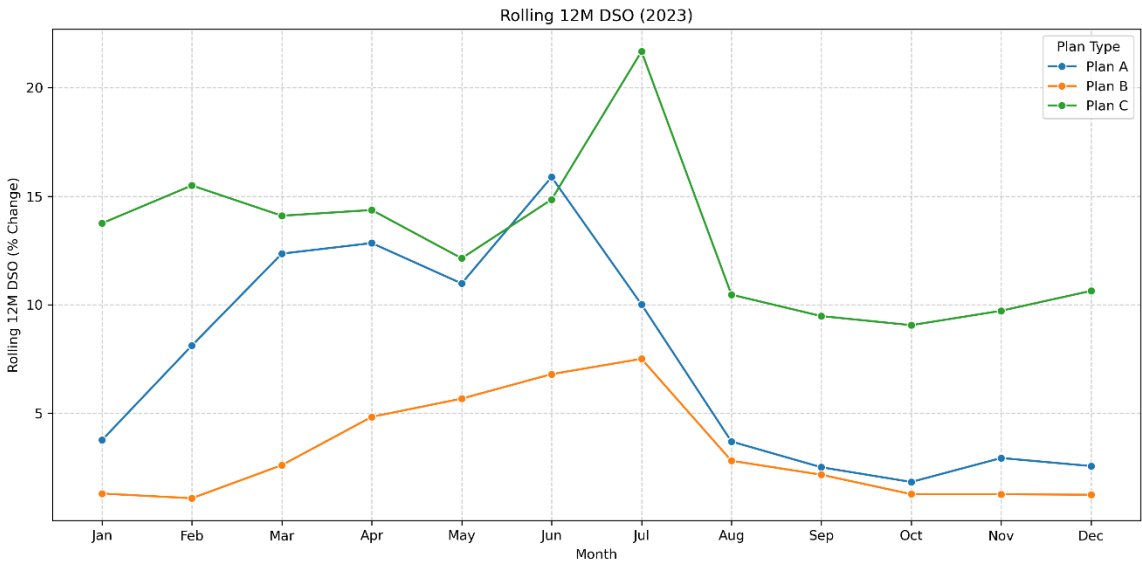
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APPENDICES

1325 **APPENDIX A: Days Sales Outstanding per Plan Type (calendar year 2023)**

1326 Appendix A presents the Days Sales Outstanding (DSO) per payment plan type for
1327 the calendar year 2023. DSO is computed as the average number of days between the
1328 invoice due date and full settlement, segmented by the student's chosen installment plan (A
1329 through E, or none).

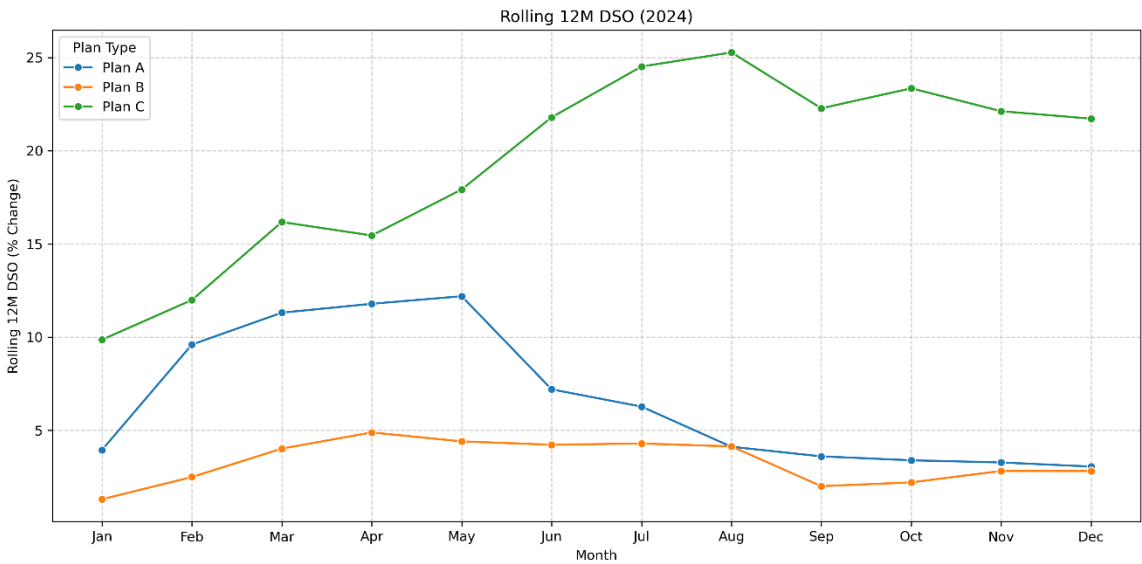


1330

1331 The figure shows the same plan-level ordering observed across all three reported
1332 years: longer credit windows correspond to higher DSO. A consolidated observation across
1333 Appendices A–C follows the final figure in Appendix C.

1334 **APPENDIX B: Days Sales Outstanding per Plan Type (calendar year 2024)**

1335 Appendix B presents the Days Sales Outstanding (DSO) per payment plan type for
1336 the calendar year 2024. DSO is computed as the average number of days between the
1337 invoice due date and full settlement, segmented by the student's chosen installment plan (A
1338 through E, or none).

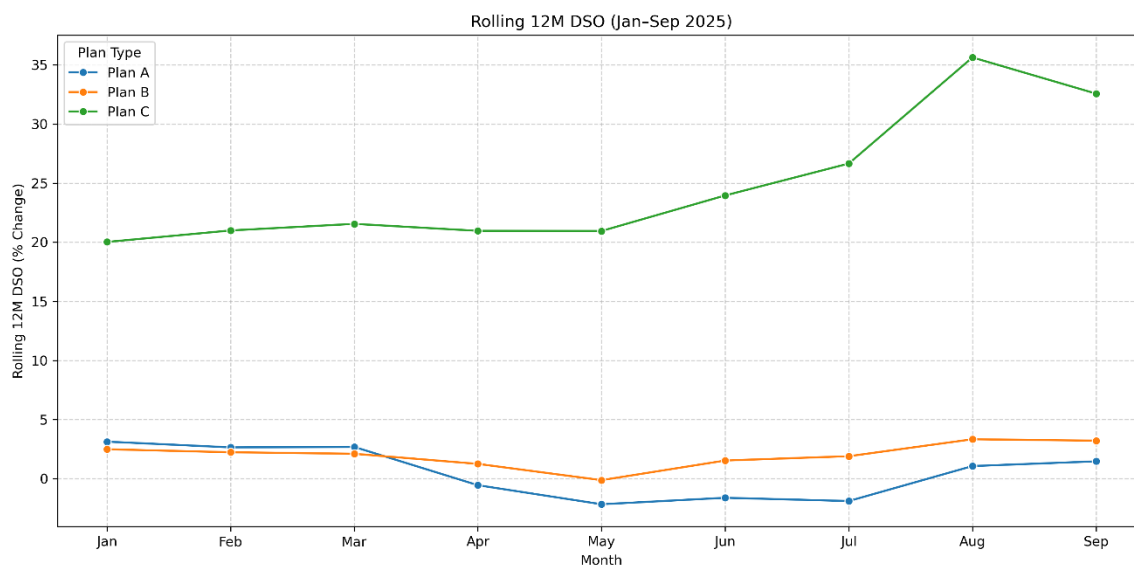


1339 The figure shows the same plan-level ordering observed across all three reported
1340 years: longer credit windows correspond to higher DSO. A consolidated observation across
1341 Appendices A–C follows the final figure in Appendix C.

1343

1344 APPENDIX C: Days Sales Outstanding per Plan Type (calendar year 2025)

1345 Appendix C presents the Days Sales Outstanding (DSO) per payment plan type for
 1346 the calendar year 2025. DSO is computed as the average number of days between the
 1347 invoice due date and full settlement, segmented by the student's chosen installment plan (A
 1348 through E, or none).

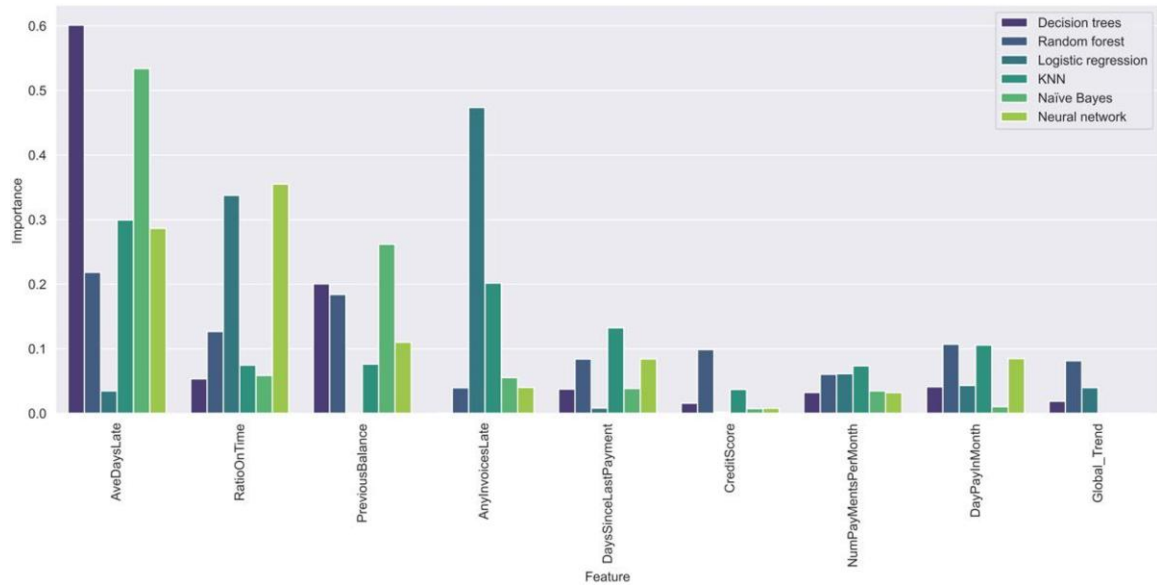


1349

1350 Across the three years presented in Appendices A through C, the plan types that
 1351 extend the longest credit windows, the extended monthly installment arrangements, and
 1352 invoices with no assigned plan, consistently exhibit the highest DSO, while Plan A (full
 1353 upfront payment) settles fastest. The implication is that settlement speed tracks the length
 1354 of the credit window a plan extends: the more payment is deferred, the longer receivables
 1355 remain outstanding. This ordering is consistent with the ordinal plan-risk encoding used as
 1356 a model feature (Section 3.3), and it explains why plan-type variables carry predictive
 1357 signal in the payment-bracket models.

APPENDIX D: Feature importance from the paper titled “A MACHINE-LEARNING APPROACH TOWARDS SOLVING THE INVOICE PAYMENT PREDICTION PROBLEM”

Appendix D reproduces the first set of feature-importance rankings reported by Schoonbee et al. [5], which is included as the principal point of comparison for the importance analysis in Section 4.5.



Their top-ranked variables are aggregate, student-level payment history features, which are consistent with this study's finding that behavioral payment history dominates prediction, while lacking the category-level granularity and engineered survival features introduced here.

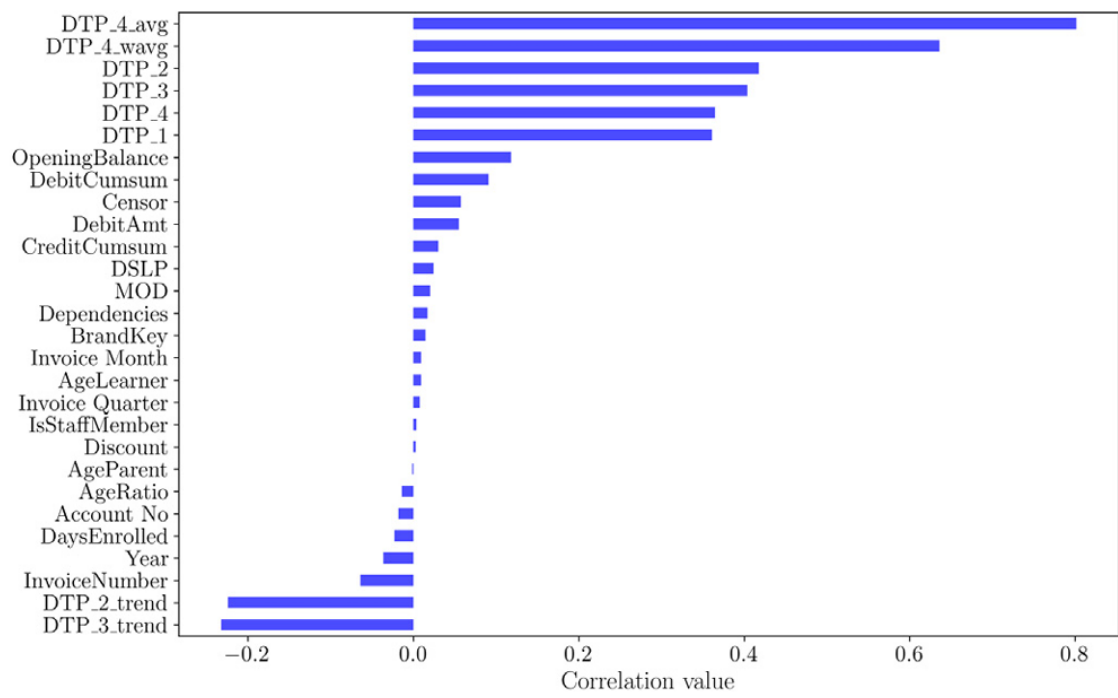
1369 **APPENDIX E: Feature importance from the paper titled “A MACHINE-**
 1370 **LEARNING APPROACH TOWARDS SOLVING THE INVOICE PAYMENT**
 1371 **PREDICTION PROBLEM”**

1372 Appendix E reproduces the second set of feature importance rankings from
 1373 Schoonbee et al. [5], complementing Appendix D.

	Feature	Spearman	Mutual information	Lasso (L1) regression	Sequential fwd selection
1	AveDaysLate	0.55	X	X	X
2	RatioOnTime	0.54	X	X	X
3	PreviousBalance	0.54	X	X	X
4	DausSinceLastPayment	0.44	X	X	X
5	CreditScore	0.29	X	X	X
6	DayPayInMonth	0.10	X	X	X
7	AnyInvoicesLate	0.47	X	X	
8	GlobalTrend	0.08		X	X
9	NumPaymentsPerMonth	0.05	X	X	
10	AccountID		X		X
11	ActualAmt		X		X
12	Month				X

1374
 1375 Together, Appendices D and E show that prior educational IPPP work concentrated
 1376 its predictive signal on a small set of aggregate history variables, supporting this study's
 1377 design decision to expand the feature space at the line-item level (Section 3.3).

1378 **APPENDIX F: Correlation scores between features and the days to payment variable**
1379 **from the paper “A framework for modeling customer invoice payment prediction**
1380 Appendix F reproduces the correlation scores between candidate features and the
1381 days-to-payment variable reported by Moore and van Vuuren [4].



1382
1383 The strongest correlates in their framework are historical payment-delay aggregates,
1384 anticipating the dominance of dtp-derived features observed in this study's importance
1385 rankings (Figures 4.5 and 4.6).

1386 APPENDIX G: Institutional Communication and Authorization Letter

1387 This appendix contains the written authorization from the partner institution
1388 permitting the research team to access and process student financial records for this study,
1389 subject to the conditions described in Section 3.7.1. The letter is issued on the school's
1390 letterhead and signed by an authorized signatory, specifying the scope of data access
1391 granted, the restrictions on data use (research purposes only, mandatory pseudonymization,
1392 and no public release of raw records), and the date of authorization. This communication
1393 is distinct from any non-disclosure agreement: it constitutes the school's formal
1394 authorization to use its data for research.

NON-DISCLOSURE AGREEMENT

This Agreement contains Confidential Information, as exchanged among the startup, its team members, advisors, and collaborators, shall include but not be limited: the definition and scope of such information; the obligations and responsibilities of all signatories; the duration and enforceability of the agreement; recognized exceptions; and applicable legal remedies in the event of breach.

This **NON-DISCLOSURE AGREEMENT** (the "Agreement") is BETWEEN:

1. **Rafael Joseph Beley**, an individual residing at *Block 6, Lot 27, Peso St., Tunasan, Muntinlupa City, Philippines* and **Christine Julliane Reyes**, an individual residing at *2350 Crisolita St., San Andres Bukid, Manila, 1017, Metro Manila, Philippines*, acting together as third year undergraduate thesis partners in compliance with the requirements of their degree programs at Mapua University (the "Receiving Party"); and,
2. Confidential a non-stock and non-profit association residing at Confidential Philippines (the "Disclosing Party").

BACKGROUND

- A. The Disclosing Party possesses certain valuable confidential and proprietary information related to the Receiving Party's undergraduate research paper.
- B. The Receiving Party wishes to receive Confidential Information from the Disclosing Party for the purpose of contributing to the development and protection of the Receiving Party's undergraduate research paper, including but not limited to technical, business, and project information (the "Permitted Purpose").

1. DEFINITIONS

"Confidential Information" means any and all information, data or know-how (whether commercial, financial, technical, operational or otherwise) relating to the business, affairs, projects, developments, trade secrets or suppliers of the Disclosing Party which the Receiving Party obtains or receives from the Disclosing Party or its representatives, whether before, on or after the date of this Agreement, regardless of the form in which such information is presented or preserved.

2. CONFIDENTIALITY

2.1 The Receiving Party shall keep the Confidential Information secret and confidential and shall not at any time, whether during the term of this Agreement or thereafter, disclose or permit to be disclosed to any person or otherwise make use of or permit the use of any of the Confidential Information other than for the Permitted Purpose.

2.2 The Receiving Party shall take all necessary precautions to maintain the confidentiality of the Confidential Information, which shall be no less stringent than the precautions it takes to protect its own confidential information.

3. EXCEPTIONS TO CONFIDENTIALITY

3.1 The obligations of confidentiality shall not apply to Confidential Information which:

- (a) was known to the Receiving Party prior to its receipt from the Disclosing Party;
- (b) is or becomes publicly known through no fault of the Receiving Party;
- (c) is received by the Receiving Party from a third party who is not under any obligation of confidentiality with respect to that information; or
- (d) is required to be disclosed by law, by any governmental or other regulatory authority, or by a court of competent jurisdiction.

4. RETURN OF CONFIDENTIAL INFORMATION

Upon the completion of the Permitted Purpose or the termination of this Agreement, the Receiving Party shall promptly return or, at the Disclosing Party's request, destroy all Confidential Information, and shall not retain any copies of the Confidential Information.

5. TERM AND TERMINATION

5.1 **Term:** This Agreement shall commence on **October 05, 2025** and remain in full force and effect until the Confidential Information no longer qualifies as confidential or until terminated by either party in accordance with this Agreement.

5.2 **Termination:** Either party may terminate this Agreement at any time by providing 30 days written notice to the other party.

5.3 **Survival of Obligations:** Notwithstanding the termination of this Agreement, the obligations of confidentiality and non-disclosure with respect to the Confidential Information shall survive for a period of 1 year after termination.

5.4 **No Waiver:** Termination of this Agreement does not waive any rights or obligations that may have accrued prior to such termination.

6. BREACH AND COMPENSATION

6.1 In the event of a breach of this Agreement, the breaching party agrees to compensate the non-breaching party in the amount of PHP1.00 (One Philippine Peso and zero centavos) or the proven higher amount of actual damages incurred, whichever is greater. This compensation is payable within 50 calendar days from the date the breach is identified and is intended to cover the actual damages suffered by the non-breaching party, not as a penalty.

6.2 If the breach involves a violation of applicable Philippine laws or regulations, including but not limited to the Data Privacy Act of 2012 (Republic Act No. 10173) or any other relevant Philippine statutes, the breaching party shall be liable for any fines, penalties, or legal actions resulting from such violations. The breaching party agrees to indemnify the non-breaching party against any and all losses, costs, or damages arising from such violations, and the non-breaching party may immediately terminate this Agreement without further notice.

6.3 In addition to the compensation, the non-breaching party shall have the right to seek injunctive relief or any other remedies available under applicable law, to prevent further harm resulting from the breach.

7. ENTIRE AGREEMENT

This Agreement constitutes the entire agreement between the parties with respect to its subject matter and supersedes all prior discussions, negotiations, or agreement.

8. SEVERABILITY

If any provision of this Agreement is found to be invalid or unenforceable, the remaining provisions shall continue in full force and effect.

9. GOVERNING LAW AND JURISDICTION

9.1 This Agreement shall be governed by and construed in accordance with the laws of the Philippines.

9.2 Each party irrevocably agrees that the courts of the Philippines shall have exclusive jurisdiction to settle any dispute or claim (including non-contractual disputes or claims) arising out of or in connection with this agreement or its subject matter or formation.

ACKNOWLEDGEMENT OF TERMS AND INTENT TO SIGN

By signing below, the undersigned parties confirm their understanding and acceptance of all provisions outlined in this Non-Disclosure Agreement, including definitions of confidential information, signatory obligations, agreement duration, exceptions, and applicable legal remedies.

SIGNATURES**RECEIVING PARTY:**

Researcher:



Signature

Rafael Joseph Beley

Printed Name

10/30/2025

Date Signed

Researcher:



Signature

Christine Julliane Reyes

Printed Name

10/30/2025

Date Signed

DISCLOSING PARTY:

Corporate Secretary

Designated Role



Signature

Confidential

Printed Name

10/30/2025

Date Signed

1399 APPENDIX H: Dataset Description and Variable Dictionary

1400 The pseudonymized dataset comprises 11,440 raw invoice records exported from
 1401 the partner institution's ERP system, of which 6,527 labeled records were retained for
 1402 modeling after filtering for sufficient payment history. Records span academic years 2019–
 1403 2025, with payment activity observed through March 31, 2026, and originate from three
 1404 source tables: revenues (itemized receivables and payments), enrollees (per-year
 1405 enrollment and installment plan), and the chart of accounts (category classifications). The
 1406 table below lists every variable used in the machine learning pipeline, its category, type,
 1407 description, and source.

1408

FEATURE NAME	CATEGORY	TYPE	DESCRIPTION	SOURCE
SCHOOL_YEAR	Identity (not a model input)	Categorical	Academic year of the invoice	Revenues
STUDENT_ID_PSEUDONYMIZED	Identity (not a model input)	Integer	Anonymized student identifier	Revenues (pseudonymized)
CATEGORY_NAME	Identity (not a model input)	Categorical	Fee category (e.g., tuition, miscellaneous)	Chart of accounts
GROSS_RECEIVABLES	Raw financial	Numeric	Total billed amount before deductions	Revenues
AMOUNT_DISCOUNTED	Raw financial	Numeric	Discount applied to the invoice	Revenues

ADJUSTMENTS	Raw financial	Numeric	Post-billing adjustments (credit or debit)	Revenues
CREDIT_SALE_AMOUNT	Raw financial	Numeric	Net receivable after discount and adjustments	Derived
DUE_DATE	Raw financial	Date	Contractual payment due date	Revenues
DATE_FULLY_PAID	Raw financial	Date	Date the invoice was fully settled (empty if unpaid)	Revenues
DTP_1	Days-to-payment history	Numeric	Days to full payment, most recent prior invoice	Derived
DTP_2	Days-to-payment history	Numeric	Days to full payment, 2nd most recent prior invoice	Derived
DTP_3	Days-to-payment history	Numeric	Days to full payment, 3rd most recent prior invoice	Derived
DTP_4	Days-to-payment history	Numeric	Days to full payment, 4th most recent prior invoice	Derived

DTP_AVG	Days-to-payment history	Numeric	Simple average of available DTP values	Derived
DTP_WAVG	Days-to-payment history	Numeric	Weighted average of DTP values (recent invoices weighted higher)	Derived
DTP_2_TREND	Days-to-payment history	Numeric	Slope of DTP across the 2 most recent invoices	Derived
DTP_3_TREND	Days-to-payment history	Numeric	Slope of DTP across the 3 most recent invoices	Derived
DAYS_SINCE_LAST_PAYMENT	Days-to-payment history	Numeric	Calendar days since the student's last full payment	Derived
DTP_ROLLING_STD	Days-to-payment history	Numeric	Rolling standard deviation of recent DTP values	Derived
DTP_MAX	Days-to-payment history	Numeric	Maximum DTP observed across recent invoices	Derived
AMOUNT_DUE_CUMSUM	Financial / cumulative	Numeric	Cumulative total billed to the student to date	Derived

AMOUNT_PAID_CUMSUM	Financial / cumulative	Numeric	Cumulative total paid by the student to date	Derived
OPENING_BALANCE	Financial / cumulative	Numeric	Unpaid balance carried over from prior periods	Derived
OPENING_BALANCE_FLAG	Financial / cumulative	Binary	1 if the current invoice has a non-zero opening balance	Derived
PAYMENT_RATIO	Financial / cumulative	Numeric	Ratio of cumulative paid to cumulative billed	Derived
PREV_BRACKET	Behavioral / historical	Ordinal	Payment bracket of the most recent prior invoice	Derived
EARLY_PAYER_FLAG	Behavioral / historical	Binary	1 if the previous invoice was paid before the due date	Derived
ON_TIME_STREAK	Behavioral / historical	Integer	Consecutive on- time payments preceding the current invoice	Derived
PLAN_TYPE_PLAN - A	Payment plan	Binary (one-hot)	Full payment up front	Enrollees

PLAN_TYPE_PLAN - B	Payment plan	Binary (one-hot)	Installment plan with 3 payment periods	Enrollees
PLAN_TYPE_PLAN - C	Payment plan	Binary (one-hot)	Installment plan with 6 payment periods	Enrollees
PLAN_TYPE_PLAN - D	Payment plan	Binary (one-hot)	Monthly installment plan	Enrollees
PLAN_TYPE_PLAN - E	Payment plan	Binary (one-hot)	Special COVID- era plan (one school year only)	Enrollees
PLAN_TYPE_NAN	Payment plan	Binary (one-hot)	No plan assigned; student not enrolled	Enrollees
PLAN_TYPE_RISK_SCORE	Payment plan	Ordinal	Plan type encoded by associated payment risk (A=0 ... none=5)	Derived
DUE_MONTH	Temporal	Integer (1– 12)	Calendar month of the due date	Derived
DUE_QUARTER	Temporal	Integer (1– 4)	Fiscal quarter of the due date	Derived
PARTIAL_HAZARD	Survival analysis	Numeric	Exponentiated linear predictor from the Cox PH model	Cox PH model

LOG_PARTIAL_HAZARD	Survival analysis	Numeric	Natural log of the partial hazard	Cox PH model
EXPECTED_SURVIVAL_TIME	Survival analysis	Numeric	Expected days to full payment under the Cox model	Cox PH model
SURVIVAL_PROBABILITY	Survival analysis	Numeric	Probability of remaining unpaid beyond a reference time point	Cox PH model
CUMULATIVE_HAZARD	Survival analysis	Numeric	Cumulative hazard at the reference time point	Cox PH model
DTP_BRACKET	Target variable	Ordinal (4 classes)	Payment bracket label: on-time, 1–30, 31–60, or 61+ days late	Derived
CENSOR	Target variable	Binary	1 if the invoice was still unpaid at the observation cutoff	Derived

1410 The raw data files underlying these variables are not publicly available due to the
1411 privacy constraints described in Section 3.7.1; access may be requested through
1412 institutional channels, subject to the authorization conditions documented in Appendix G.
1413

RAFAEL JOSEPH T. BELEY

Data Scientist | Financial Analyst | Researcher

Muntinlupa City, Philippines • rjbeley.analytics@gmail.com • (+63) 917-813-4658 • [linkedin.com/in/rjbeley](https://www.linkedin.com/in/rjbeley)

PROFESSIONAL SUMMARY

Data Scientist with a rare combination of machine learning expertise and deep financial domain knowledge. Specialized in predictive modeling, time-series forecasting (SARIMA-LSTM), and workflow automation — delivering a 29% reduction in bad debt expense and 40+ automated man-hours monthly. Experienced in building end-to-end data pipelines, EDA on financial datasets, and orchestrating workflows with Databricks — bridging data engineering and data science in production environments. Proficient in Python, SQL, Power BI, Tableau, and Excel. Contributed to peer-reviewed research submitted to ICCMS 2026 on predictive receivables modeling.

TECHNICAL SKILLS

Languages & Databases: Python, SQL, Pandas, NumPy

ML / AI: SARIMA, LSTM, Scikit-learn, Keras / TensorFlow

Cloud & DevOps: AWS (S3/EC2 basics), Git, Docker (basic)

Visualization & BI: Power BI, Tableau, Excel (Adv.), Dash

Data Engineering: Databricks, Airflow (familiar), DuckDB

Other Tools: Jupyter, VSCode, Claude Code

CORE COMPETENCIES

- Financial Modeling & Forecasting
- Automation & Workflow Optimization
- Accounting & Finance Expertise

- Machine Learning & Predictive Analytics
- Data Visualization & Dashboarding
- Advanced Analytics & Problem-Solving

- Risk Management & Decisioning
- Strategic Budgeting & Cashflow
- Research & Publication

PROFESSIONAL EXPERIENCE

Data Scientist & Financial Analyst

Jan 2020 – Present

Gain Christian Academy of Montalban Inc. | Hybrid/Remote

- Built predictive receivables models in Python — conducting exploratory data analysis on financial datasets, engineering features, and iterating on model performance — achieving a 7.1% ROC-AUC improvement and 29% reduction in bad debt expense.
- Engineered end-to-end financial data pipelines using Python and Databricks for orchestration — incorporating SARIMA-LSTM forecasting (Pandas, Scikit-learn, PyTorch), EDA on cashflow datasets, and Power BI visualization — supporting budgeting, loan avoidance, and expansion planning.
- Automated data collection, validation, and reporting pipelines using Python and Gmail API — scripting end-to-end accounts receivable workflows, enforcing data quality checks, and saving 40+ monthly man-hours.
- Delivered Tableau, Power BI dashboards, and Python Dash websites, with variance reports that empowered executive financial decision-making across departments.

Independent Data Science & Finance Consultant

Sep 2019 – Present

Freelance

- Developed a 10-year financial model for a café expansion incorporating loan amortization, salary projections, and government deductions, projecting a \$58,000 USD increase in overall business valuation.
- Conducted business plans and market research across fintech, agriculture, manufacturing, and retail; applying SWOT, Porter's Five Forces, and KPI-driven recommendations.
- Built interactive Excel dashboards with inventory tracking, KPI scorecards, and trend visualizations, enabling clients to monitor performance and drive data-informed financial decisions.
- Applied multi-framework strategic analysis (SPACE, IFE, EFE, IE, and Grand Strategy Matrices) to deliver actionable market positioning reports, enabling data-backed strategic decisions for clients.

1415

Accounts Payable Associate		<i>Jan 2022 – May 2023</i>
<i>R.S. Bernaldo and Associates</i>		
- Automated journal entry migration from legacy systems, saving 100+ hours by processing 100,000 historical entries; maintained books of accounts for 4 companies. - Designed and maintained Excel-based financial templates to automate employee loan amortization schedules and recurring calculations, reducing manual errors and cutting processing time significantly.		
RESEARCH & PUBLICATIONS		
“Utilizing Machine Learning in Solving the Invoice Payment Prediction Problem (IPPP): A Granular Approach”		
Submitted to ICCMS 2026 • Peer-reviewed • Predictive receivables modeling using multi-step machine learning approach		
EDUCATION		
B.S. in Data Science		<i>Aug 2023 – Expected Aug 2026</i>
<i>Mapúa University — Makati City, Philippines</i>		
B.S. in Business Administration — General Management		<i>Aug 2019 – Mar 2020</i>
<i>Mapúa University — Makati City, Philippines</i>		
B.S. in Accountancy (54 units completed)		<i>Aug 2015 – Aug 2019</i>
<i>Mapúa University — Makati City, Philippines</i>		
Coursework: Accounting, Economics & Finance		
CERTIFICATIONS		
Predictive Analytics Project Ideation		2025
<i>Coursera • University of Minnesota • License: MMJDROGAG3QI</i>		
Predictive Analytics		2025
<i>Coursera • Dartmouth • License: XB9AX45DCM7V</i>		
Data Analysis with Tableau		2024
<i>Coursera • Tableau Learning Partner • License: CP34RWQ5GF4Q</i>		
Practical Time Series Analysis		2025
<i>Coursera • The State University of New York • License: MX2DXZMT3FFJ</i>		
Data Ethics, AI and Responsible Innovation		2025
<i>Coursera • The University of Edinburgh • License: Y48MPUSX4KS5</i>		
VOLUNTEER WORK & EXTRACURRICULAR ACTIVITIES		
Member		<i>Aug 2024 – Dec 2024</i>
<i>ASES Manila</i>		
Participated in initiatives, networking events, and collaborative projects centered around technology, business, and professional development. Engaged with peers and professionals to expand knowledge in innovation, startups, leadership, and emerging industries while contributing to a culture of growth and continuous learning.		
REFERENCES		
References available upon request.		

CHRISTINE JULLIANE LAURE REYES

Manila City, Philippines • reyes.christinejulliane@gmail.com • (+63)9267416724

LinkedIn • GitHub • Portfolio • ORCID

PROFESSIONAL SUMMARY

Multidisciplinary Product Technologist, AI Engineer, and Designer dedicated to bridging the gap between complex technical architecture and intuitive, human-centric user experiences. Expert in mobilizing communities and facilitating product-market fit, exemplified by leading **50+ builders** at ASES Manila and orchestrating cross-cultural deployments for international clients across the **EU, Singapore**, and the **US**. Combines operational excellence in fundraising such as receiving offers on a **\$25,000** Founders Institute Google Credits scholarship, and an **PHP800,000** feature in The Business Manual with a hands-on approach to crafting scalable, aesthetically-driven product roadmaps that solve real-world problems.

TECHNICAL SKILLS

Languages: Python, JS/TS, SQL, C++, R, Kotlin

Cloud/DevOps: GCP, AWS, Docker, Vercel

AI/ML: TensorFlow, PyTorch, Scikit-learn, NLTK

Tools: VS Code, Cursor, Claude Code, Codex

PROFESSIONAL EXPERIENCE

INDEPENDENT AI/SOFTWARE CONSULTANT

Manila City, Philippines

Freelance | Remote (Global Clients: EU, SG, US)

May 2026 — Present

- Architected and deployed custom AI and product solutions for international stakeholders, managing end-to-end development cycles from concept to production. (References: [ryeolabs.org/freelance](#))
- Successfully navigated diverse technical and cultural requirements, delivering scalable software infrastructure across multiple time zones and business domains.
- Established a proven track record of maintaining high client retention and delivering production-ready code in fast-paced, remote-first environments.

REVOLT (EV Infrastructure Platform)

Metro Manila, Philippines

Product Lead & Project Manager | Hybrid

June 2026 — Present

- Architected and deployed a scalable MVP for a national EV charging solution using React Native, Node.js, and Firebase, securing ₱100,000 in seed funding.
- Engineered route-based optimization algorithms to align the product roadmap with Movem Electric's public adoption initiatives, increasing validated market-fit for infrastructure scaling.
- Orchestrated cross-functional development sprints, prioritizing high-impact features through user-centric data analysis that improved community integration metrics by targeting specific resource gaps.

MAPUA UNIVERSITY

Makati City, Philippines

Data Analytics Intern | Remote

May 2026 — July 2026

- Architecting a student portfolio dashboard to centralize data classification and visualization, utilizing Python for automation and SQL for structured data management.
- Modernizing the OJT submission system by transitioning from unstructured shared folders to a centralized, role-based access architecture; improving data security and streamlining workflow for faculty and students.

CLINIVUE (AI-Powered HealthTech)

Metro Manila, Philippines

Technical Lead & Engineering Manager | Hybrid

April 2025 — May 2026

- Developed and shipped a production-ready AI health monitoring application to the Google Play Store, utilizing computer vision for non-invasive physiological measurement.
- Scaled platform reach by securing strategic R&D partnerships with DOST and the Founders Institute, facilitating the collection of critical datasets for model training.
- Directed technical operations and engineering workflows, reducing friction in the delivery pipeline through automated documentation and rigorous beta testing protocols.

- Leveraged institutional support and international innovation forums (Founders Institute, Singapore Geronpreneurship Festival) to scale platform reach and technical capabilities.

PAYRETO SERVICES INC.

Data Analytics Intern | Onsite

Makati City, Philippines

March 2023 — April 2023

- Engineered Google Apps Script automation for internal organization queries and data migrations, optimizing workflow efficiency across multiple spreadsheets.

ORGANIZATIONS

AFFILIATED STANFORD ENTREPRENEURIAL SOCIETY - MANILA

Co-Head Executive of Marketing | Hybrid, Part-time

Metro Manila, Philippines

May 2026 — Present

- Led the end-to-end brand strategy and technical marketing infrastructure for the premier student builder community. Functions as a hybrid marketer and full-stack developer, driving top-of-funnel acquisition and community retention through data-driven storytelling, continuous UI/UX iteration on the organization's platform (asesmanila.com), and the production of highly technical creative assets including 3D CAD modeling and multimedia campaigns.

SIP AND SCALE

Makati City Lead | Hybrid, Seasonal

Makati, Philippines

May 2026 — Present

- Spearheading local community outreach, logistics, and partner negotiations to facilitate networking events for founders and builders in Makati.
- Manage end-to-end event operations, including venue procurement, financial planning, and marketing campaigns to grow the local builder ecosystem.

RYEO LABS

Founder | Self-employed

Metro Manila, Philippines

June 2025 — Present

- Directing the growth of a collaborative R&D lab dedicated to distributing engineering kits and fostering interdisciplinary invention through structured governance and sustainable business models.
- Currently developing a community feedback loop to identify resource gaps for aspiring scientists and engineers; leveraging digital creator platforms to amplify the mission and drive engagement.

EDUCATION

MAPUA UNIVERSITY

Bachelor of Science in Data Science

Makati, Philippines

Expected July 2026

- Ms. School of IT 2026
- 6-time Cardinal Excellence Awardee (Top Academic Distinction)
- 3-time School of IT Excellence Awardee (Top Departmental Distinction)

ADAMSON UNIVERSITY

STEM-Technology (SHS)

Manila, Philippines

April 2023

- With Honors
- Head Cartoonist at the Spotlight Publication
- Multimedia Designer at the Spotlight Publication

TECHNICAL PROJECTS

TRIPS PH — Lead Full-Stack Engineer

[GitHub](#) | Traffic Routing and Intelligent Parking System

April 2026

- Engineered a real-time Traffic Routing and Intelligent Parking System utilizing AI-based violation detection, winning the MMITS Bagong Gawi Challenge 2026.
- Developed and implemented the core functionalities of the web application, including real-time parking intelligence, AI-based violation detection, and a user-friendly interface.

- A submission for MMITS Bagong Gawi, Bagong Galaw Challenge 2026 hosted by the MMDA and the Japan International Cooperation Agency (JICA).

LANDA — Lead Systems Architect

[GitHub](#) | *Non-Invasive Localized Care Monitoring System*

March 2026

- Architected a decentralized CSI-based care monitoring network for non-invasive presence detection; won 3rd place at Cambridge University.
- Developed a decentralized network of hardware transceiver nodes to monitor the safety of vulnerable populations without the use of invasive cameras or high-bandwidth internet.

AMBIFY — Embedded IoT Engineer

[GitHub](#) | *Environmental Intelligence & Mental Well-being Tracker*

February 2026

- Developed a full-stack IoT ecosystem with ESP32/Python quantifying indoor air quality effects on cognitive performance; automated real-time telemetry pipelines.
- Established a data pipeline to correlate indoor air quality with user cognitive performance; designed a custom mobile dashboard for proactive health alerts.

STRATA — Quantitative Developer

[GitHub](#) | *Real-time stock behavior prediction dashboard*

November 2025

- Architected a quantitative trading dashboard from scratch using Python and Streamlit, implementing LSTM models for real-time market behavior prediction.
- Developed the entire codebase from scratch using Python and Streamlit, delivering an intuitive interface for complex financial data analysis.

MERALCO SMARTGRID — ML Engineer

[LinkedIn](#) | *Weather-based predictions on smart meter degradations*

November 2024

- Pioneered LSTM deep learning models for smart meter degradation forecasting; secured ₱75,000 in R&D funding from Meralco.
- Developed a weather pattern simulation module that correlates environmental variables (temperature, humidity, storms) with meter performance data.
- Presented a proof-of-concept solution to Meralco judges demonstrating how AI-driven predictive maintenance can enhance grid resilience in the Philippines.

ACHIEVEMENTS

CHAMPION <i>GrowthCon: The Biggest National Startup Pitching Competition 2025</i> The Business Manual, AGC PHC	2025
CHAMPION <i>IDOL Hackathon 2025</i> Meralco	2025
CHAMPION <i>UP Manila, Surgical Innovation & Biotech Lab (SIBOL) & UPSCALE</i> Care-Tech Innovation Hackathon	2025
1ST PLACE <i>National Programming Challenge, Finals</i> CodeChum	2024

2ND PLACE <i>0 to 1 Hackathon</i> ASES Manila	2025
2ND PLACE <i>DisruptorX Hackathon</i> Serial Disruptors	2025
3RD PLACE <i>National Programming Challenge, Grand Finals</i> CodeChum	2024
TOP 10 IN NCR <i>for a paper titled, "A Low-Computational-Cost CNN Model for Camera-Based Physiological Measurement Using Remote Photoplethysmography"</i> DOST-QC Regional Invention Contest	2025
TOP 10 FINALIST <i>Spark-A-Change: A Pitching Competition Fueling MSMEs with Innovation</i> Quezon City MSME Week	2025
TOP BOOK BORROWER FOR 2 YEARS <i>Mapua Library</i> Mapua University	2024 to 2025

RESEARCH & PUBLICATIONS

Utilizing Machine Learning to Solve the Invoice Payment Prediction Problem (IPPP): A Multistage Approach

[GitHub](#) | Beley, R.J., Reyes, C.J., De Goma, J. | Mapua University, School of IT

- Developed a hierarchical ordinal classification system using survival-analysis feature engineering, improving predictive accuracy with a 60% F1 score and 88% AUC.

Utilizing Machine Learning to Solve the Invoice Payment Prediction Problem (IPPP): A Granular Approach

[GitHub](#) | Beley, R.J., Reyes, C.J., De Goma, J. | Peer-reviewed | Mapua University, School of IT

- Leveraged granular student fee data to create a predictive tool for private educational institutions, accepted for publication at the 18th International Conference on Computer Modeling and Simulation (ICCMS 2026).

Deep-KerrNet: Physics-Informed Deep Learning for Black Hole Accretion Disk Variability

[DOI](#) | Reyes C.J. | Mapua University, School of IT

- Authored research utilizing PINNs to overcome computational bottlenecks in traditional simulations, enabling real-time, physically accurate predictions for next-generation observatories.

AMIHAN: An Advanced Monitoring Intelligence for Harmful Air Navigation based on Mandaluyong, Philippines

[DOI](#) | Reyes, C.J., Ng, L., Esperanza K. | Mapua University, School of IT

- Engineered a machine learning model to forecast daily air pollution in Mandaluyong, providing urban planners with actionable data to mitigate environmental hazards and vehicle emissions.

CERTIFICATIONS

DATA SCIENCE AND AI/ML

Advanced Data Analytics Professional Certificate
Coursera • Google

March 2026

Predictive Analytics Coursera • Dartmouth College	February 2026
Fundamentals of Reinforcement Learning Coursera • University of Alberta	January 2026
Machine Learning Foundations: A Case Study Approach Coursera • University of Washington	August 2025
Introduction to Artificial Intelligence (AI) Coursera • IBM	October 2024
Database Management Essentials Coursera • University of Colorado Boulder	June 2025
Practical Time Analysis Coursera • The State University of New York	March 2025
Matrix Algebra for Engineers Coursera • The Hong Kong University of Science and Technology	October 2024
Introduction to Probability and Data with R Coursera • Duke University	November 2024
Inferential Statistics Coursera • Duke University	November 2024

BUSINESS AND ENTREPRENEURSHIP

Essentials of Entrepreneurship: Thinking & Action Coursera • University of California, Irvine - The Paul Merage School of Business	October 2025
Business Intelligence (BI) Essentials Coursera • IBM	February 2025
English for Effective Business Writing Coursera • The Hong Kong University of Science and Technology	May 2025

SOFTWARE AND PRIVACY

Introduction to Software Engineering Coursera • IBM	October 2025
Data Privacy Fundamentals Coursera • IBM	January 2026
Introduction to the Internet of Things and Embedded Systems Coursera • UC Irvine	January 2026
Data Ethics, AI and Responsible Innovation Coursera • University of Edinburgh	May 2026
Data Science Ethics Coursera • University of Michigan	May 2026
Data Structures Coursera • University of California, San Diego	November 2024

SOCIAL STUDIES

Gender and Society Coursera • Mapua University	October 2025
Gender Equality Coursera • The University of Western Australia	September 2025
Act on Climate: Steps to Individual, Community, and Political Action Coursera • University of Michigan	February 2025
Data Ethics, AI and Responsible Innovation Coursera • University of Colorado Boulder	February 2025

EXTRACURRICULAR ACTIVITY

SPEAKER <i>Cybershe-curity: She Leads, She Protects, She Secures</i> De La Salle University, Saint Benilde: The Bastion	2026
SPEAKER & VOLUNTEER <i>Hack and Yap 2026</i> Pizza and Friends	2026
SCHOLAR <i>ASPIRE Leaders Cohort 2</i> Harvard Business School - Aspire Institute	2026
SELECTED FACILITATOR <i>Data Science Service Excellence Challenge</i> Mapua University	2026
STUDENT REPRESENTATIVE FOR DATA SCIENCE <i>Exclusive Dyson Early Careers In-Person PTC Event</i> Dyson Limited, d.b.a Dyson	2026
MAGAZINE FEATURE <i>The Business Manual</i> AGC-PH Company	2025

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